Annual Report 2001

Telekom Austria

Contents

The Company
Market leader in all segments

With total managed revenues of EUR 3.9billion in 2001 and 16,600 employees at year-end, the Telekom Austria Group is by far the largest telecommunications group in Austria. With a market capitalization of EUR 4.7billion as of December 31, 2001, Telekom Austria is listed on the Vienna Stock Exchange and is the only Austrian company to enjoy full listing on the New York Stock Exchange (NYSE).

Business segments
The Group has four main strategic business segments, in each of which it is the leading provider Austria-wide.

- Fixed line services
- Mobile communications services
- Data communications services
- Internet

Telekom Austria also has international operations in Liechtenstein, Croatia, Slovenia and the Czech Republic in the mobile communications and Internet business segments.

At the end of 2001, Telekom Austria had a market share based on minutes (voice telephony plus online traffic) of 56.2% in the largest business segment, namely fixed line. As of December 31, 2001, Telekom Austria was responsible for approximately 3.2million lines, including 407,000 ISDN and 100,600 ADSL lines.

The mobile communications business segment encompasses all operating activities of Mobilkom Austria and its foreign subsidiaries in Croatia (VIPnet), Slovenia (Si.mobil) and Liechtenstein (mobilkom [liechtenstein]). Total subscriber numbers in the mobile communications segment increased to almost 4million at the end of December 2001, with the international business accounting for approximately 28%. With a market share of 42.9%, Mobilkom Austria established itself as undisputed market leader in Austria. In Croatia, VIPnet had a market share of 48.7% at year-end. In Slovenia, Si.mobil holds a 20.8% market share.

Datakom Austria, the solutions provider of the Telekom Austria Group, is Austria's market leader in data communications, notably in the areas of leased lines and data services, and has a market share of 58% in the domestic market.

The Internet business segment essentially comprises the activities of both Jet2Web Internet and Czech On Line. Both companies are Internet market leaders in their respective domestic markets.

Strategic orientation
Telekom Austria Group's strategic orientation is determined by its position as domestic market leader and full service provider in all areas of telecommunications. Cutting edge broadband technologies in the fixed line segment, advanced mobile networks and a unique customer base provide the basis for a wide range of services comprising voice, data, multimedia and content. With regard to its foreign subsidiaries, Telekom Austria seeks to consistently capitalize on growth potential as well as on synergy effects within the Group.

The integration of the fixed line, data communications and Internet business segments into the Wireline unit, is aimed at increasing customer orientation and customer service leadership. Telekom Austria exploits the growth potential arising from new technologies and applications: ongoing innovations in connection with harmonized product portfolios guarantee the highest level of customer convenience. Moreover, through the optimization of its operative processes, Telekom Austria will become one of the most efficient telecommunications providers in Europe.

In the mobile communications segment, the Telekom Austria Group pursues a 'regional player strategy'. Tailor-made products and services, as well as attention to country-specific customer needs, guarantee ideal customer proximity. The strong market position in high-quality customer segments in Austria provides the basis for exploiting the potential deriving from future mobile data business. Good prospects for continued growth in Croatia and Slovenia promise to provide additional contributions to the increase in profitability in the mobile communications business segment.

Highlights & Milestones 2001

Jan	**Joint Venture with SAP and Hewlett-Packard**	In January, Telekom Austria announces a joint venture with SAP and Hewlett-Packard for the purpose of developing e-business solutions.
Feb	**Introduction of New TikTak Tariffs**	Following the approval of the second-based tariff options by the Telekom-Control-Kommission, the new TikTak fixed line tariff family for residential and business customers is launched in February.
	Stake in Si.mobil	In February, Mobilkom Austria acquires a controlling stake in the Slovenian mobile operator Si.mobil.
Mar	**Selection of UMTS System Suppliers**	In March, Mobilkom Austria commissions Ericsson and Nortel/AT to supply the system for the first Austrian UMTS network.
Apr	**95,000 New Internet Customers**	In April, Jet2Web Internet acquires 95,000 customers from two domestic Internet Service Providers.
May	**Acquisition of GSM 1,800 MHz frequencies**	In May, Mobilkom Austria enhances the quality of its mobile network by acquiring additional GSM 1,800 MHz frequencies.
Jun	**Launch of www.jet2web.net**	In June, the new horizontal Internet portal www.jet2web.net with a wide-ranging multimedia content is launched.
	First Annual General Meeting	The first Annual General Meeting of Telekom Austria as a publicly traded company on June 28, 2001 meets with great public interest.
Jul	**New Chairman of the Supervisory Board**	In the course of the constituent Supervisory Board Meeting in July, Peter Michaelis is elected new Chairman of the Supervisory Board of Telekom Austria, while Edith Hlawati is elected Deputy Chairperson.
	European Jet2Web Stream	In July, the first part of the Central European glass fiber ring, European Jet2Web Stream, is put into operation by Telekom Austria.
Aug	**Innovative Multimedia Access**	In August, Telekom Austria introduces a new product bundle which combines broadband access for telephony and Internet with satellite TV via a single multimedia access line.
Sep	**Extension of ATM Broadband Network**	In September, Telekom Austria awards the contract to Alcatel and Siemens for the implementation of the new multi-service network in line with its objective to establish its service leadership with modern broadband services.
Oct	**Increased Stake in VIPnet**	In October, Mobilkom Austria increases its stake in the Croatian mobile communications operator VIPnet to 66%.
Nov	**New Wireline Organization**	In November, the Supervisory Board of Telekom Austria approves the reorganization of the fixed line, data communications, and Internet business segments into the Wireline Unit. A wholesale division targeting telecommunications operators and a retail division for end customer services will ensure stronger market orientation.
Dec	**Implementation of the Wireline Organization at Datakom Austria**	In December, in the course of implementing the new Wireline organization, Telekom Austria also appoints a new management team at Datakom Austria.

Supervisory Board of Telekom Austria AG

Supervisory Board of Telekom Austria AG	
Peter Michaelis (Chairman)	since June 28, 2001
Edith Hlawati (Deputy Chairperson)	since June 28, 2001
Günther K. Chaloupek	since September 17, 2001
Stephan Koren	since September 17, 2001
Gerhard Zeiler	since July 23, 2001
Otto G. Zich	since September 17, 2001
Enzo Badalotti	since June 28, 2001
Marco De Benedetti	since June 28, 2001
Personnel Representatives	
Erich Huhndorf	since June 7, 2001
Willhelm Eidenberger	since April 30, 2001
Helmut Hospodar*	since July 23, 2001
Karl-Heinz Muik	since July 23, 2001
2001 resignations from the Supervisory Board	
Johannes Ditz (Chairman)	until June 28, 2001
Rudolf Streicher (Deputy Chairman)	until June 28, 2001
Oscar Cicchetti	until June 28, 2001
Giulia Nobili	until June 28, 2001
Personnel Representatives	
Josef Ebner	until June 7, 2001
Robert Sulzbacher	until April 30, 2001

*resigned in March 2002 and succeeded by Michael Kolek

Telekom Austria AG's Supervisory Board Report to the General Meeting

In 2001, the Supervisory Board was informed by the Management Board, both verbally and in writing, of the economic and financial situation of the company, the business policy, the investment program and the development of the business, and deliberated accordingly. The main focus was placed on the reorganization as well as on the strategic orientation of the Group to guarantee competitiveness. To activate this, the Supervisory Board approved a new, business-oriented corporate structure for Telekom Austria AG and the resulting changes in the tasks and assignments of the Management Board. A special personnel committee was set up to support restructuring measures. In addition, the Supervisory Board decided to give approval for the acquisition of the stake by Mobilkom Austria in Si.mobil in Slovenia.

In the year under review, the Supervisory Board fulfilled its functions at eight meetings as well as at two meetings of the personnel committee and one of the finance committee. Following Johannes Ditz´s resignation at the Annual General Meeting on June 28, 2001, Peter Michaelis was appointed Chairman of the Supervisory Board and Edith Hlawati Deputy Chairperson at the constituent meeting of the Supervisory Board on July 4, 2001.

The Management Board presented to the Supervisory Board the annual financial statements and the management report of Telekom Austria AG, as well as the consolidated financial statements including the Group management report and the reconciliation report, in compliance with sec. 245 Commercial Code (HGB) as of December 31, 2001. The annual financial statements of Telekom Austria AG and the consolidated financial statements were audited by KPMG Austria Wirtschaftsprüfungs-Gesellschaft mbH and Grant Thornton - Jonasch & Platzer Wirtschaftsprüfungs- und Steuerberatungs-OHG, and provided with the auditors' unqualified opinion. The management report of Telekom Austria AG and the Group's management report are consistent with the financial statements and the consolidated financial statements.

The Supervisory Board approves the 2001 annual financial statements in accordance with sec. 125 para. 2 AktG (Stock Corporation Act). Furthermore, the Supervisory Board approves the consolidated financial statements in accordance with sec. 245 Commercial Code (HGB) under U.S. GAAP. Based on retained earnings and the annual net loss, no proposal on the appropriation of earnings was made.

Vienna, April 8, 2002

Peter Michaelis
Chairman of the Supervisory Board

Introduction by the Supervisory Board

Dear Shareholders,

In its first full year as a publicly traded company, Telekom Austria successfully overcame the challenges posed at the beginning of the year. With respect to financial results, a sustainable turnaround was initiated. The restructuring measures are transforming Telekom Austria into a leaner and more flexible company accelerating its adjustment to market requirements.

Telekom Austria's stock price performance clearly reflects this turnaround. In the course of the past year, Telekom Austria´s share price was top performer both in Vienna and in comparison to the European Telecoms sector. Due to the stock price appreciation of 55%, our stockholders also substantially benefited from the positive performance.

Telekom Austria commenced the IPO with an ambitious restructuring program. The objective was to reduce headcount in the fixed line segment by one third within five years. At the same time, a stronger market focus driven by a change in corporate culture, was to provide the basis to slow down market share losses.

Telekom Austria successfully implemented both objectives in 2001. Headcount reduction should be accomplished ahead of target and with the introduction of innovative tariff packages in 2001, important steps were taken to reduce market share losses.

Mobilkom Austria was able to maintain its market leadership in a very competitive environment through innovation leadership and a clear strategic focus on quality customers. Following the highly successful launch of operations in Croatia, a further expansionary step was taken in 2001 by acquiring the second largest mobile communications provider in Slovenia.

We know that we still have some way to go. By approving the new Wireline organization in the last quarter of 2001, the Supervisory Board set another important milestone towards an even stronger market focus. By reorganising Customer Care, a process which was initiated last year and is still continuing, the customer is now put at the centre of the business process. A market offensive to recover lost ground is already underway.

Within the Telekom Austria Group the course for continuing this successful path has been set. Since my election, in July 2001, as Chairman of the Supervisory Board along with Edith Hlawati, Deputy Chairperson and my Italian colleagues, Enzo Badalotti and Marco de Benedetti who were also appointed members of the Supervisory Board following the first annual general meeting, many things have changed in the company. Cooperation between the Management Board and the Supervisory Board has been reshaped and it is the stated objective on the part of the Supervisory Board, to fully support the Management Board in implementing restructuring measures in the future. In cooperation with the Management Board, new guidelines were drawn up to ensure optimal and swift implementation of corporate targets in daily business.

In the course of the financial year 2001, our shareholder, Telecom Italia, announced that for internal reasons it intended to divest itself of its stake in the Telekom Austria Group. Together with Telecom Italia and Telekom Austria's Management Board, the Supervisory Board will find a solution that will bring about a mutually acceptable result for all parties concerned.

I am confident that Telekom Austria will attain its objectives in 2002 as well. I would like to take this opportunity to thank the members of the Management Board and all employees of Telekom Austria for their achievements during 2001. In addition, I would like to extend my appreciation to all shareholders and customers for their trust in us.

Vienna, April 2002

Peter Michaelis
Chairman of the Supervisory Board of Telekom Austria

Introduction by the Management Board

Dear Shareholders,

One year ago, against the background of a highly adverse sector environment, we set out to entirely reposition Telekom Austria and to markedly increase the company's earnings performance. In retrospect, we can take pride in the fact that we successfully mastered that turbulent year of change and are able to embark upon 2002 with confidence.

Highlights of the business year 2001

First of all, let me focus on the most important highlights that demonstrate the successful operating performance in 2001. In the year under review, the fixed line segment, which represents the focus of our transformation process, saw the beginning of a sustainable turnaround. Through new tariff packages we succeeded in reducing market share losses and the personnel restructuring program initiated in 2000 is advancing faster than originally expected. With a total of more than 100,000 ADSL subscribers at the end of 2001, Telekom Austria already ranks among the leading European broadband providers. In the Internet business segment, we further expanded our market leadership in Austria and Czech On Line, our Internet provider in the Czech Republic, commenced its transformation into a full service provider for business customers. In addition, in the data communications segment we initiated a fundamental repositioning of Datakom Austria as a comprehensive solutions provider for corporate customers. In the mobile communications segment, we approached the 4million mark in subscriber numbers by year-end 2001, which now encompasses four countries after the acquisition in February 2001 of a controlling majority in Si.mobil, the second largest mobile operator in Slovenia.

Operating performance in 2001

In spite of an increasingly competitive environment, revenue decline in the fixed line segment was more than offset by the growth segments of mobile communications, data communications and Internet. Total managed revenues of all four business segments increased by 1.2% to EUR 3.9billion. At the same time, EBITDA rose by 39% to almost EUR 1.5billion. As a result, the EBITDA margin improved to the internationally attractive level of over 37% in 2001, up from approximately 27% in 2000.

At the IPO, we committed to significantly reducing capital expenditure and we kept our promise.

In 2001, we succeeded in reducing additions to property, plant and equipment by 11.5% to approximately EUR 812million. This represents an important step on the way to success, but we are far from satisfied. Along with increasing operating earnings performance, we succeeded in reducing the net debt of the Telekom Austria Group from over EUR 3.4billion to less than EUR 3.3billion, despite the acquisition of our stake in Slovenia.

Finally, all of these measures contributed to improving Telekom Austria AG's consolidated net result by over 60% to EUR (105)million, which corresponds to earnings per share of EUR (0.21) in 2001, from EUR (0.57) in 2000.

The successful personnel restructuring measures contributed considerably to this positive development. We commenced the IPO with the objective of reducing fixed line headcount by 5,000 employees within five years. More than half of this personnel reduction was accomplished by the beginning of 2002, making us confident of a positive completion of this program. We take special pride in the fact that we succeeded in implementing this program on the basis of socially sustainable measures for all employees concerned. Our employees are our most important asset and our appreciation goes to them for their loyalty and commitment in contributing to this necessary transformation in such a difficult time for us all.

Exploiting growth opportunities with the new Wireline organization

In 2001, we set the course for a continuation of Telekom Austria's successful development. At the end of 2001, the Supervisory Board approved the new Wireline organization, which will no longer be divided into the technology-oriented fixed line, data communications, and Internet business segments. These segments will be merged into a customer-oriented structure, which encompasses a wholesale division targeting telecommunications operators and a retail division for end customer services. The wholesale segment will be primarily responsible for marketing our multi-service network to other telecommunications operators as well as to the retail division. The retail division will market one-stop shop solutions to our corporate customers as well as Internet and voice access products to the mass market. The Internet segment will focus on content and portal services.

Through innovative products and optimal customer service, we not only want to ensure the reduction of market share losses, a process we have successfully initiated, but we also want to win back market share in the medium-term. Moreover, we will capitalize on our technology leadership to gain an above-average share in the anticipated growth of the broadband market. Through our current ADSL network, we already cover 80% of Austrian households, thus providing Austria with one of the highest ADSL penetration levels in Europe.

Mobile communications expands into new markets

In the mobile communications segment we provided momentum for further growth throughout the year. In Austria, we once again demonstrated our innovation and market leadership while strengthening our market position in the highest-value customer segments. In August 2000, we launched the first full-coverage GPRS-network worldwide. Our experience in designing GPRS services provides an important base from which to best exploit the expected growth in mobile data communications. The extension of the UMTS network is well on track and the launch of the first commercial UMTS services is expected to take place in the second half of 2002. In 2001, VIPnet once again succeeded in capitalizing on the growth potential of the Croatian mobile communications market, achieving almost the same profitability level as Mobilkom Austria. In Slovenia, Si.mobil succeeded not only in doubling customer numbers but also in structurally improving its customer base by increasing its share of contract customers.

It is time for a change in the regulatory framework

Since deregulation, the Austrian regulatory authority has granted 69 licenses for voice telephony. Moreover, Austria faces a mobile communications market with a number of providers almost as high as in Germany, a market ten times the size. Due to this regulatory policy, by the end of 2001, Telekom Austria's market share declined to 56.2% in fixed line and to 42.9% in the mobile communications segment. As a result, the Austrian telecommunications sector is one of the most competitive in Europe. Telekom Austria contributed significantly to this development by providing an efficient infrastructure as well as fair offers to competitors.

In order to take further advantage of growth opportunities, we see a strong need for a change in the regulatory framework. In order to validate our arguments, we commissioned an expert study which confirmed the need for amendments. Through intensive dialogue with all relevant decision-makers we will continue to give emphasis to our claims in the months to come.

Share price reflects successful transformation

Our first full business year as a publicly traded company unfolded against the background of a highly adverse stock market environment, especially for telecommunications companies. All the more favorable therefore was the stock price rise of Telekom Austria by 55% in 2001. Telekom Austria was top performer not only on the Vienna Stock Exchange but also in the European Telecoms sector.

With approximately 90,000 private investors, including 12,000 stock-holding employees, Telekom Austria is the largest publicly traded Austrian corporation. We feel committed to providing comprehensive information and transparency to our stockholders. The fact that Telekom Austria is the only Austrian company to enjoy full listing on the New York Stock Exchange, reinforces our efforts in this respect.

Prepared to meet further challenges

We commenced the IPO with the objective of providing a sustainable increase in shareholder value. 2001 represents an important milestone on this path. The restructuring measures are turning us into a leaner and more flexible company, better suited to meet the challenges that lie ahead. We are convinced that Telekom Austria's future potential is still not adequately reflected in the share price despite the positive share price development in the period under review.

In 2002, we will further intensify our customer focus by adopting an offensive stance in the marketplace, aiming to achieve long-term customer retention in all areas. The previously mentioned integration of the fixed line, data communications and Internet business segments into the new Wireline organization will provide the organizational prerequisites to meet our targets. Entirely new sales structures along with products and services with a stronger customer focus will put an end to market share losses in the fixed line segment in the future.

In mobile communications, we will focus on improving the quality of our customer base in Austria, in order to take optimal advantage of growth opportunities in the mobile and data communications businesses. Abroad, we aim to capitalize on the growth potential arising from the still low penetration levels. In the event of attractive opportunities, we will take further expansionary steps in the neighboring regions, but never at the expense of our overriding objective to reduce Telekom Austria Group's debt.

Through our strategy, we aim to offer security to our shareholders while guaranteeing maximum exploitation of the growth opportunities arising from new technologies and new markets.

Vienna, April 2002

Heinz Sundt
Chairman of the Management Board
and Chief Executive Officer

Management Board of Telekom Austria AG

Heinz Sundt	Chairman of the Management Board and Chief Executive Officer
Stefano Colombo	Vice-Chairman of the Management Board and Chief Financial Officer
Rudolf Fischer	Chief Operating Officer (COO) Wireline
Heinz Brasic*	Chief Marketing Officer

* As of April 10, 2001, Heinz Brasic submitted his resignation as Chief Marketing Officer. In the interim, the post of Chief Marketing Officer was taken over by Heinz Sundt, until November 2001. Within the framework of the new organization, which was approved by the Supervisory Board in November 2001, the functions of Chief Technical Officer and Interim Chief Marketing Officer were merged into the post of Chief Operating Officer Wireline. Rudolf Fischer was entrusted with this position.

The Telekom Austria Share

Top performer on the Vienna Stock Exchange

- 55% price increase despite negative sector performance
- With a trading volume of 195million shares, it ranks among the three most heavily traded shares on the Vienna Stock Exchange
- Number of investment banks publishing analyses on Telekom Austria has doubled
- Inclusion in important Stock Exchange Indices (FTSE 300 Eurotop, DJ Stoxx Telecom)
- First annual general meeting met with great public interest

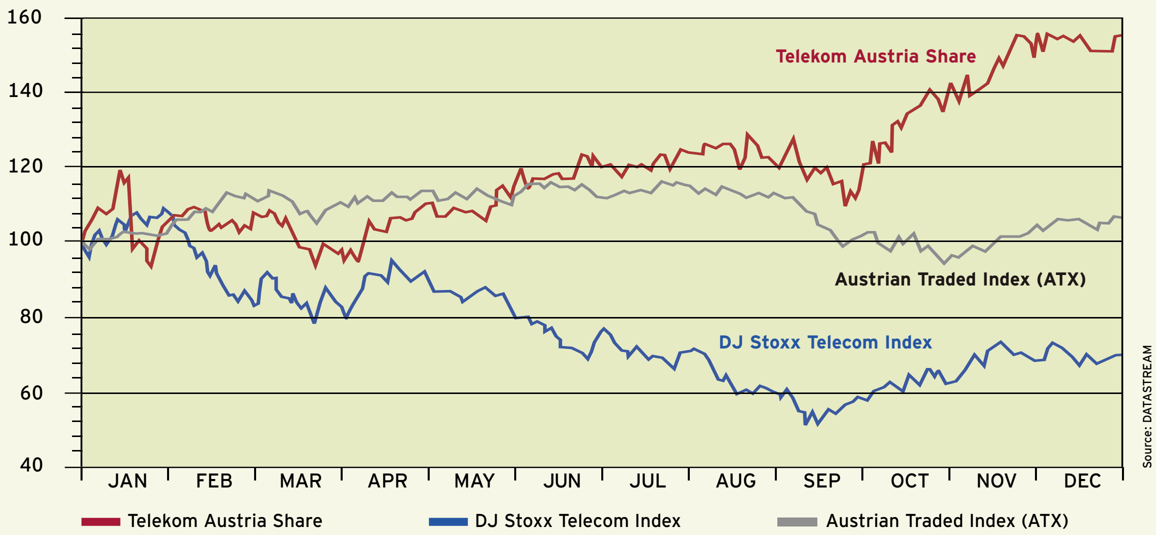
Telekom Austria´s positive share price performance on the Vienna Stock Exchange stood in stark contrast to the negative development experienced on the major stock exchanges worldwide in 2001. In part, steep declines characterized the stock markets worldwide. Stock exchanges reached their absolute lows in the wake of the September 11 terrorist attacks. Measured by the FTSE 300 Eurotop Index, the European market posted a 17% decline. Notably, stocks in the telecommunications, media and technology sectors showed a particularly unsatisfactory performance: the Dow Jones Stoxx Telecom Index, which comprises 30 European telecommunications companies, dropped almost 29%. Measured by the ATX, the leading Austrian Stock Index, Austrian stocks appreciated in excess of 6% in 2001.

Favorable development of share price

The Telekom Austria share price made a particularly important contribution to the positive performance of the ATX. With a 55% share price increase over the year under review to EUR 9.31 at year-end 2001, Telekom Austria was the top performing stock among all of the shares listed on the A-segment of the Vienna Stock Exchange. Market capitalization rose to approximately EUR 4.7billion as of December 31, 2001. Given its trading volume of over 195million shares and a trading turnover of about EUR 1.4billion, Telekom Austria ranked among the three most heavily traded issues. After price declines caused by deteriorating earnings expectations in the first months of the past year, the share price followed a steady upward trend from March onwards. The consistent implementation of cost-cutting measures and the consequent improvement in results led to a more attractive valuation of the stock. The favorable results achieved in the third quarter lifted the share price well above its issue price of EUR 9. The announcement made by Telecom Italia that it intended to divest itself of all stakes in Austria – in both Telekom Austria and Mobilkom Austria, provided an additional boost to the share price.

With a 13% weighting within the A-segment of the Vienna Stock Exchange, Telekom Austria ranks among the index heavyweights; furthermore, it has been included in the major indices such as the Dow Jones Stoxx Telecom, the MSCI World, the MSCI Europe and the FTSE 300 Eurotop. On the New York Stock Exchange, where Telekom Austria is traded as the only Austrian company via ADR (Level 3)*, Telekom Austria´s share price moved in tandem with its performance on the Vienna Stock Exchange.

Share price performance in 2001: Telekom Austria Share in comparison with DJ Stoxx Telecom Index and ATX



* Telekom Austria is listed in New York (NYSE) in the form of American Depositary Receipts (ADR). An ADR is a certificate that evidences a certain number of American Depositary Shares (ADS). In the case of Telekom Austria, each ADS evidences the right to two shares.

Human Resources

Representing the new corporate culture

- 12,000 stock-holding employees accelerate change in corporate culture
- Significant personnel reduction in the fixed line and data communications business segments
- Beginning of transfer of personnel resources deemed necessary for the future from Telekom Austria Personalmanagement GmbH (TAP) into Telekom Austria AG
- Corporate-wide performance management system

The change in corporate culture at Telekom Austria, with flatter hierarchical levels and a more customer-focused organizational structure initiated in 2000, was successfully continued in 2001. The focus was on enhancing the efficiency of processes. An additional boost was provided by the fact that nearly 12,000 Telekom Austria employees became shareholders in the company.

Personnel reduction

In 2001, the Telekom Austria Group achieved a reduction in total headcount of 9.4%. While in the fixed line and data communications business segments the number of employees had to be decreased within the framework of the transformation program, new jobs were created in the mobile communications and Internet business segments.

In 2000, Telekom Austria Personalmanagement-GmbH (TAP) was founded to deal with all personnel restructuring-related issues. After outsourcing all of Telekom Austria´s personnel to the TAP, as of July 2001 the management board began to transfer back to Telekom Austria AG those personnel resources deemed necessary for the future. With only a few exceptions, this transfer was completed according to plan by the end of December 2001 and will continue in 2002 in accordance with the Group's newly defined targets.

For those employees who are not transferred back to Telekom Austria, the company offers options such as golden handshakes, re-training programs, foundation, outsourcing and personnel leasing opportunities.

Higher efficiency through performance management

Professional recruiting resulted in an increase in the attractiveness of job vacancy advertisements and highly skilled human resources were employed in the companies of the Telekom Austria Group. The MbO program (Management by Objectives), which was launched in April 2000 in Telekom Austria AG, was turned into a corporate-wide Performance Management System forming the basis for performance-related remuneration. An integral part of the Performance Management will be annual employee appraisals which senior executives will conduct with all members of staff and which should increase both employee loyalty and satisfaction. A decisive move towards more modern and more efficient structures was undertaken by introducing the SAP/R3 Human Resources System.

Comprehensive professional training and further education

In order to promote a uniform management style at all executive levels of Telekom Austria AG, the licence2lead program was conducted for the upper four management levels and it saw the participation of 850 executives. Central pillars of this program were among others, drawing up results-oriented job descriptions, goal-setting processes and performance contracts, annual employee appraisals as well as coaching. In the sales department optimizing customer contacts was at the core of personnel development activities. A multi-step sales management program will ensure the continuous enhancement of skills of sales personnel in the future.

Mobilkom Austria also stepped up its comprehensive training programs in 2001. The rapid technological changes in this segment call for flexible and targeted professional training and further education, for which an in-house group of trainers and educators (Training & Development) was set up.

Personnel development per business segment	2001*	2000*	1999*	2001**	2000**	1999**
Fixed line	11,630	14,375	15,529	12,581	14,939	15,722
Mobile communications	3,438	2,768	2,191	3,251	2,520	2,054
Data communications	877	963	888	908	956	847
Internet	368	195	37	302	145	27
Idle work force	273	-	-	507	-	-
Total for Telekom Austria Group	**16,586**	**18,301**	**18,645**	**17,549**	**18,560**	**18,650**

* full-time employees at year-end
** full-time employees average for the year

Business Development 2001

Contents

Group Management Report

for the financial year 2001

Noticeably weaker economic environment

Due mainly to the weak performance of the U.S. economy, 2001 was characterized by a pronounced decline in the growth dynamics of the world economy. The economies of the European Union experienced a growth rate in real GDP of 1.6%, after rising by 3.4% in 2000. With a 1.0% growth in GDP, compared to a 3.0% increase in 2000, Austria could not separate itself from this trend, even though the unemployment rate in Austria remained relatively stable at 3.9% (compared to 3.7% in 2000), according to Eurostat.

In view of the moderate increase in real disposable income, real consumption expenditure rose by 1.4% in 2001, which represents only half of the growth rate registered in 2000. Despite the decrease in voice telephony and data transmission prices, the Austrian inflation rate rose to 2.7% in 2001, compared to 2.3% in 2000.

Analysis of business development

Telekom Austria Group's business activities are divided into the fixed line, mobile communications, data communications and Internet segments. Since the beginning of 2001, Internet-related activities have been presented in a separate Internet segment and previous years' figures have been adjusted for the purpose of comparability.

Telekom Austria AG holds a 74.999% stake in Mobilkom Austria, but due to certain substantive contractual rights held by the minority owner, a subsidiary of Telecom Italia Mobile SpA, Telekom Austria´s investment in Mobilkom Austria is accounted for using the equity method, under U.S. GAAP. As a result, separate consolidated financial statements are presented for Mobilkom Austria. Since the operations of Mobilkom Austria and its subsidiaries are an integral part of the operations of Telekom Austria, they are managed as the mobile communications business segment. In the following paragraphs, operating results are presented on a total managed basis, with transactions and the resulting balances among the consolidated segments, that is fixed line, data communications and Internet on the one hand, and the mobile communications segment on the other hand, being eliminated. The mobile communications segment is included 100% in the total managed presentation.

Note: The totals in the following tables may deviate from the totals arrived at by simple addition of individual amounts due to rounding effects.

Strong improvement in profitability

In 2001, the Telekom Austria Group increased total managed revenues by 1.2% to EUR 3,943.5million. The decline in the fixed line segment, caused by intensified competition, was offset by increased revenues in the growth areas of mobile communications, data communications and Internet.

Key data (financial figures in EUR million)	**2001**	**2000**	**% change**
Total managed revenues	3,943.5	3,897.2	1.2%
Total managed EBITDA *	1,472.8	1,060.9	38.8%
Total managed EBIT *	156.0	(29.4)	-
Net loss of Telekom Austria AG	(104.6)	(285.6)	-63.4%
Earnings per share (in EUR)	(0.21)	(0.57)	-63.4%
Total managed additions to property, plant and equipment	812.2	917.7	-11.5%
Total managed net debt	3,282.1	3,420.3	-4.0%
Employees (at year-end) **	16,586	18,301	-9.4%
Employees (average for the year) **	17,549	18,560	-5.4%

* excluding costs for idle workforce
** full-time employees

Reconciliation of total managed EBIT to consolidated operating income according to the annual financial statements of Telekom Austria AG (in EUR million)	**2001**	**2000**
Total managed EBIT excluding costs for idle workforce	156.0	(29.4)
Mobile communications	(303.5)	(262.1)
Eliminations	2.0	0.0
Costs for idle workforce	(49.9)	(7.6)
Consolidated operating income of Telekom Austria AG	**(195.4)**	**(299.2)**

At the operating level, 2001 saw a marked improvement in earnings as a result of the successful restructuring of the fixed line segment and of rising margins in mobile communications.

Total managed EBITDA rose by 38.8% to EUR 1,472.8million. In 2000, results were additionally impacted by exceptionally high provisions for early retirement programs of EUR 253.2million. Excluding these provisions, the improvement in total EBITDA still amounted to a remarkable 11.9%.

Total managed EBIT amounted to EUR 156.0million in 2001, compared to EUR (29.4)million in 2000. In addition to the planned goodwill amortization charge for Czech On Line of EUR 48.5million, total managed EBIT also includes a one-time impairment charge of EUR 120.0million.

Both EBITDA and EBIT are shown excluding costs for idle workforce which increased from EUR 7.6million to EUR 49.9million.

The net loss of Telekom Austria, which includes Mobilkom Austria on an at-equity basis, decreased from EUR (285.6)million in 2000 to EUR (104.6)million in the year under review. Loss per share decreased from EUR (0.57) to EUR (0.21) in the same period.

Lower additions to property, plant and equipment result in net debt decline

Capital expenditure was reduced by 11.5% in the year under review compared to the previous year. The total for 2001, including both Telekom Austria and Mobilkom Austria, amounted to EUR 812.2million. The focus of capital expenditure continued to shift from the fixed line segment to mobile communications.

The operating performance in 2001 combined with reduced capital expenditure led to a decrease in total managed net debt from EUR 3,420.3million as at December 31, 2000, to EUR 3,282.1million as at December 31, 2001, resulting in net gearing (net debt/equity ratio) of 131.3%. Net debt is shown excluding cross border lease commitments as they are covered by matching receivables.

Shown in separate consolidated financial statements, Telekom Austria registered a decrease in net debt by 14.2% to EUR 2,534.1million, while Mobilkom Austria´s net debt increased by 60.4% to EUR 748.1million.

Continued acceleration of transformation process

The primary focus of Telekom Austria´s transformation in 2001 was achieving a sustainable headcount reduction. Personnel downsizing was initiated in 2000 and continued at an accelerated pace throughout 2001 on the basis of socially sustainable measures.

At the end of 2001, the Telekom Austria Group had a total of 16,586 full-time employees, registering a decrease of 1,715 compared to 2000. In the fixed line segment, headcount including idle workforce saw a decline of 2,472 employees to 11,903 at year-end 2001, compared to the previous year. The major part of the headcount reduction was achieved by voluntary redundancies, golden handshakes and early retirement programs. As at December 31, 2001, the mobile communications segment had a total of 3,438 employees. The increase in headcount of 670 additional employees can also be attributed to the first-time consolidation of the Slovenian subsidiary Si.mobil.

In 2001, the change in corporate culture received an additional boost due to the fact that almost 12,000 employees became stockholders of Telekom Austria in the course of the initial public offering.

R&D focus on broadband transmission technologies

Within the framework of national and international research projects, Telekom Austria focused its 2001 research & development activities on broadband transmission technologies and quality of service in telecommunications networks. Among other things, 2001 saw the testing of xDSL systems with higher bandwidths for market readiness, the further construction of a national voice over IP platform as well as the drafting of migration scenarios for the further development of Telekom Austria´s network towards a multi-service network (next generation network).

In mobile communications, R&D activities were focused on frequency resource-management in third generation (3G) networks, along with the further development of a UMTS user environment according to the open service access standard.

Business development by business segment

Financial data in EUR million	2001	2000	% change
Revenues			
Fixed line	2,456.7	2,654.8	-7.5%
Data communications	330.2	312.8	5.6%
Internet	99.5	61.1	62.8%
Eliminations & other	(226.7)	(214.4)	5.7%
Consolidated revenues	**2,659.7**	**2,814.4**	**-5.5%**
Mobile communications	1,713.2	1,501.0	14.1%
Eliminations	(429.4)	(418.3)	2.7%
Total managed group revenues	**3,943.5**	**3,897.2**	**1.2%**
EBITDA			
Fixed line	869.0	572.2	51.9%
Data communications	54.7	57.4	-4.7%
Internet	(20.1)	(5.4)	272.2%
Eliminations & other	0.2	0.1	100.0%
Consolidated EBITDA excluding costs for idle workforce	**903.7**	**624.3**	**44.8%**
Mobile communications	571.3	436.5	30.9%
Eliminations	(2.2)	0.0	-
Total managed EBITDA excluding costs for idle workforce	**1,472.8**	**1,060.9**	**38.8%**
Consolidated EBITDA excluding costs for idle workforce	**903.7**	**624.3**	**44.8%**
Costs for idle workforce	(49.9)	(7.6)	556.6%
Consolidated EBITDA	**853.8**	**616.7**	**38.4%**
EBIT			
Fixed line	33.0	(284.5)	-
Data communications	19.4	24.4	-20.5%
Internet	(30.0)	(7.3)	311.0%
Eliminations & other *	(167.8)	(24.3)	590.5%
Consolidated EBIT excluding costs for idle workforce	**(145.5)**	**(291.6)**	**-50.1%**
Mobile communications	303.5	262.1	15.8%
Eliminations	(2.0)	0.0	-
Total managed EBIT excluding costs for idle workforce	**156.0**	**(29.4)**	**-630.6%**
Consolidated EBIT excluding costs for idle workforce	**(145.5)**	**(291.6)**	**-50.1%**
Costs for idle workforce	(49.9)	(7.6)	556.6%
Consolidated EBIT	**(195.4)**	**(299.2)**	**-34.7%**
Additions to property, plant and equipment			
Fixed line	397.5	545.5	-27.1%
Data communications	31.5	34.6	-9.0%
Internet	20.0	14.6	37.0%
Telekom Austria	**449.0**	**594.6**	**-24.5%**
Mobile communications	363.2	323.1	12.4%
Telekom Austria Group	**812.2**	**917.7**	**-11.5%**

* This item includes the planned goodwill amortization charge for Czech On Line of EUR 48.5million as well as a one-time goodwill impairment charge of EUR 120million, both for the business year 2001. The planned goodwill amortization charge in 2000 amounted to EUR 23.2million.

Substantial turnaround in the fixed line segment

The fixed line segment essentially comprises all operations of Telekom Austria AG. In 2001, the focus was on consistently implementing the transformation process initiated in 2000. The stated goal of substantially decreasing operating costs through personnel reduction and stemming of market share losses was successfully achieved, thus initiating a sustainable turnaround in the development of results in the fixed line segment. Fixed line revenues decreased by 7.5% to EUR 2,456.7million, mainly due to intense competition and tariff reductions.

All major expenses were significantly reduced in 2001, resulting in an EBITDA increase of 51.9% to EUR 869.0million. The strongest decline was seen in personnel expenses, which decreased by 36.6%. Excluding the exceptionally high provisions for early retirement programs in 2000, personnel cost reduction amounted to 7.7%. The strong improvement in profitability is also reflected in the increase in the EBITDA margin to 35.4% in 2001, compared to 21.6% in 2000.

Including depreciation expenses, EBIT improved from EUR (284.5)million in 2000 to EUR 33.0million in 2001. Both EBITDA and EBIT are shown excluding costs for idle workforce.

Capital expenditure decreased by 27.1% to EUR 397.5million in 2001, with half of this amount being invested in broadband activities.

Market share based on minutes (including Internet dial-up traffic) amounted to 56.2% in 2001, down from 63.7% in 2000. This decline reflects the persistent intense competition in the voice telephony market in Austria. However, towards the second half of the year, a stabilization of Telekom Austria´s market share losses was achieved, primarily as a result of the introduction of the innovative TikTak tariff family with second-based billing from the 30th second.

The number of fixed access lines decreased in 2001 by 3.1% to 3,166,900, mainly due to the 5.8% decline in PSTN access lines. However, ISDN access lines saw an increase of approximately 20%. The focus on marketing broadband technologies was reflected by a 161% increase in ADSL access lines to 100,600 in 2001, which also includes access lines for other Internet service providers.

Approaching 4 million mobile customers in 2001

The mobile communications business segment encompasses all operations of Mobilkom Austria and its affiliates, namely VIPnet in Croatia (stake: 66%), mobilkom [liechtenstein] (wholly owned), and for the first time, Si.mobil in Slovenia, acquired in February 2001, in which Mobilkom Austria holds 75% plus one share as at year-end 2001.

With a 19.2% increase in the number of customers, revenues in the mobile communications business segment rose by 14.1% to EUR 1,713.2million. The contribution of the international business to total revenues rose from 9.9% to 16.4%. Both in Austria, and more significantly in Croatia, a substantial improvement in profitability was achieved. As a result, EBITDA rose by 30.9% to EUR 571.3million. Due to expenses arising from its repositioning, Si.mobil posted a negative EBITDA. EBIT in the mobile communications business segment increased by 15.8% to EUR 303.5million, including a goodwill amortization charge for Si.mobil of EUR 30.8million. Capital expenditure in the mobile communications segment increased by 12.4% to EUR 363.2million, mainly due to the extension of networks in Croatia and Slovenia. International operations account for approximately 37% of total capital expenditure. Moreover, Mobilkom Austria acquired two additional GSM 1,800 frequency packages to improve network quality in Austria, for the sum of EUR 36.4million.

In absolute terms, the number of customers in the mobile communications segment amounted to 3,976,500 at the end of 2001, up from 3,335,900 in the previous year. Due to the high penetration level of 82.2% in Austria, customer growth resulted primarily from the international business, which accounted for approximately 28% of the total number of mobile customers at year-end 2001 (compared to 16% in 2000).

Mobilkom Austria´s focus on further improving the quality of its customer base led to a rise in the share of contract customers from 47.7% to 50.5% at year-end 2001. Despite the cancellation of inactive prepaid customer accounts, total subscriber numbers rose by 1.6% to 2.85million in Austria. In Croatia, customer figures increased by 61% to 855,700, and in Slovenia, the subscriber base more than doubled in 2001 compared to the previous year to 269,600.

New positioning of the data communications segment

The data communications business segment essentially comprises the activities of Datakom Austria AG, a wholly owned subsidiary of Telekom Austria.

The business year 2001 was characterized by a repositioning of Datakom Austria as solution provider of the Telekom Austria Group. Revenues increased by 5.6% to EUR 330.2million, mainly as a result of the rise in revenues from both the individual and solutions businesses. The increase in inter-company prices was the main reason for the decline in EBITDA by 4.7% to EUR 54.7million in 2001. EBIT amounted to EUR 19.4million, compared to EUR 24.4million in the previous year.

In 2001, Datakom Austria successfully defended its position as leading provider to almost all major Austrian corporates. With a 58% market share in the corporate customer segment, the company continues to be the market leader with a considerable competitive edge. The merger of Datakom Austria´s sales division with the fixed line key account management, initiated toward the end of 2001, will further strengthen this market position.

Accelerated growth in the Internet business segment

Since the beginning of 2001, the Internet business segment has been presented as a separate segment, mainly comprising the activities of Jet2Web Internet Services, Telekom Austria Group's Internet service provider in Austria, and Czech On Line in the Czech Republic.

The rapid increase in subscriber numbers in Austria, in particular in ADSL customers, resulted in a 62.8% rise in Internet revenues to EUR 99.5million. Due to higher expenses arising from the repositioning and expansion of the Internet business, EBITDA declined from EUR (5.4)million in 2000 to EUR (20.1)million in 2001. EBIT fell from EUR (7.3)million in 2000 to EUR (30.0)million in 2001.

One of the highlights of 2001 was the launch of www.jet2web.net, a channel-based horizontal Internet portal. Since its launch in June, the portal has ranked among the three most frequently visited websites in Austria. This successful development contributed strongly to the growth in Internet subscribers from 293,400 to 666,400 by the end of 2001. This figure also comprises Jet2Web Internet's ADSL subscribers, which rose from 34,600 to 86,400.

Including Mobilkom Austria´s subscribers, the Telekom Austria Group's market share in the Austrian residential Internet business amounted to 37%.

Czech On Line concentrated on extending its product range for corporate customers by a 3.5 GHz wireless local loop license for data and voice services among other things. At the end of 2001, the number of Internet subscribers amounted to 238,200 (2000: 188,700). Through the launch of voice telephony for corporate customers along with the extension of its infrastructure and the offering of value-added services, Czech On Line is about to transform itself into a full service telecommunications provider.

Outlook for 2002

Following the strong growth in EBITDA in 2001, revenues and earnings are expected to stabilize in 2002.

The integration during 2002 of the fixed line, data communications and Internet segments into the Wireline unit, with new customer-oriented divisions, is the result of a stronger focus on customer needs. This new organization will not affect the Group's practice of reporting by business segment in 2002.

In the fixed line business segment, efforts will be devoted to further reducing market share losses. Marketing and sales highlights for 2002 will encompass product initiatives based on the tariff packages introduced last year, as well as marketing activities to promote broadband access lines. The personnel restructuring program, which reached its peak last year, will be continued, providing the basis for further rigorous cost-cutting measures.

In mobile communications the entry of a fifth operator is expected to further intensify competition in Austria. Mobilkom Austria will further strengthen its focus on a high quality customer base in line with its successful strategy, while continuing to cut costs. In Croatia, VIPnet´s strong market position is expected to provide the basis to exploit the increase in mobile penetration level. In Slovenia, concerted efforts will be made to eliminate the negative contribution to results.

The merger of the fixed line key account management with Datakom Austria´s sales division is expected to allow corporate customers to take full advantage of comprehensive one-stop business solutions. The enhanced offer of complex IT and telecommunications solutions is expected to result in higher margin revenues in the data communications business segment.

As a result of the implementation of the Wireline organization, the former Internet business segment will focus exclusively on portal and content-related activities. In 2002, revenues are expected to continue to be dominated by the access business, which should primarily benefit from further growth in ADSL customers.

Finally, the Management Board expects at least to maintain a stable total managed EBITDA margin for all business segments, including mobile communications, with relatively flat total managed revenues.

Both in the fixed line and mobile communications business segments, further capex reduction is planned. In light of increased operating cash flow, this will contribute to a further improvement of Telekom Austria Group's capital structure.

Vienna, March 2002

The Management Board
Heinz Sundt
Stefano Colombo
Rudolf Fischer

Fixed Line Services

Sustainable success in restructuring

- Revenues decrease by 7.5% to approximately EUR 2.5billion due to intensified competition
- EBITDA margin improves from 21.6% in 2000 (excluding early retirement costs: 30.9%) to 35.4% in 2001
- Sustainable cost-cutting through personnel reduction
- Successful launch of new tariff packages results in reduction in market share losses
- Start of the integration of the fixed line, data communications and Internet business segments into the new Wireline organization

The fixed line segment essentially comprises all operations of Telekom Austria AG. In addition to fixed line telephony, this segment also includes the areas of leased lines and carrier services among others.

Achievement of ambitious targets

2001 was characterized by the implementation of the transformation of this segment, which had already been initiated in 2000. The main challenge was posed by the implementation of measures to downsize personnel and reduce market share losses. Both ambitious objectives were successfully accomplished in the course of the year.

Total revenues in the fixed line segment fell by 7.5% to EUR 2,456.7billion due to intensified competition and consequent tariff reductions. EBITDA, which is shown excluding costs for idle workforce and including expenses for early retirement programs, rose by 51.9% to EUR 869.0million. Costs for idle workforce increased from EUR 7.6million in 2000 to EUR 49.9million in 2001. Excluding the exceptionally high early retirement costs in 2000, EBITDA rose by 5.6%. The improvement in the fixed line EBITDA margin to 35.4% in 2001, up from 21.6% (excluding early retirement costs: 30.9%) in 2000, reflects the success of the comprehensive restructuring measures.

Approximately 40% of the decline in traffic revenues and revenues from access-related services was due to tariff reductions, whereas the remainder resulted from lower traffic volume. The decline in revenues from initial connection and installation, monthly rentals and other network services is attributable to the decreased number of access lines. The rise in interconnection revenues is primarily due to intensified activities on the part of alternative operators. Owing to the rising demand for higher bandwidth capacity, leased line revenues saw an increase despite price reductions of up to 43%.

Key data (financial data in EUR million)	**2001**	**2000**	**% change**
Operating revenues	2,456.7	2,654.8	-7.5%
EBITDA *	869.0	572.2	51.9%
EBIT *	33.0	(284.5)	-
Additions to property, plant and equipment	397.5	545.5	-27.1%
Employees **	11,630	14,375	-19.1%
Idle workforce	273	-	-

* excluding costs for idle workforce
** full-time employees at year-end

Operating revenues (in EUR million)	**2001**	**2000**	**% change**
Traffic and access-related services	599.1	806.2	-25.7%
Initial connection and installation fees, monthly rental and other network services	635.5	655.4	-3.0%
Interconnection	637.0	618.8	2.9%
Leased lines	256.6	227.7	12.7%
Equipment	97.7	105.7	-7.5%
Other	230.8	241.0	-4.3%
Total fixed line operating revenues	**2,456.7**	**2,654.8**	**-7.5%**

Operating expenses (in EUR million)	2001	2000	% change
Materials	66.5	87.9	-24.3%
Employee costs, including benefits and taxes *	507.5	800.4	-36.6%
Depreciation and amortization	836.0	856.7	-2.4%
Interconnection	568.1	654.3	-13.2%
Repairs	129.7	126.0	2.9%
Services received	24.3	24.0	1.4%
Other operating expenses	291.7	390.0	-25.2%
Total fixed line operating expenses	**2,423.8**	**2,939.3**	**-17.5%**

* excluding costs for idle workforce

Personnel expenses in 2000 were impacted by exceptionally high costs for early retirement programs of EUR 248.4million. 2001 saw income of EUR 2.2million resulting from the reversal of provisions. Excluding the impact of early retirement costs, personnel expenses were reduced by 7.7%. This decline is mainly due to headcount reduction. The significant decrease in capital expenditure in comparison to 2000 resulted in a decline in depreciation charges. The decline in outgoing traffic to foreign networks and domestic mobile networks led to lower interconnection expenses. Other general operating expenses decreased primarily as a result of reduced consulting and legal expenses.

Personnel reduction ahead of target

The personnel restructuring program, initiated in 2000, aimed to achieve a reduction in Telekom Austria's fixed line segment headcount by 5,000 employees, by 2005 at the latest. Following the successful implementation in 2001, the targeted headcount reduction may be reached sooner than expected, hence achieving a level of productivity in line with European benchmarks. In the year under review, this strategic action plan, based on socially sustainable measures, was successfully continued; the number of full-time employees in the fixed line segment, including idle workforce, fell to 11,903 by year-end 2001, compared to 14,375 at the end of 2000. The majority of the personnel reduction was achieved by voluntary redundancies, with the remainder attributable to golden handshakes and the early retirement programs initiated in 2000.

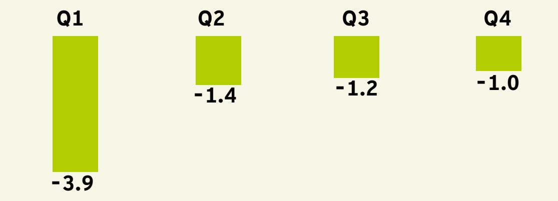
Significant decrease in additions to property, plant and equipment

In 2001, a further substantial decline in capital expenditure of almost 27.1% to EUR 397.5million was achieved. At the same time, the focus continued to shift to broadband activities, which account for 52.6% of the stated amount.

Slowdown in market share losses

The Austrian telecommunications market experienced a further intensification of competition in 2001. With a total of 69 licenses for voice telephony and 75 licenses for leased lines, both granted by the Austrian regulatory authorities, the Austrian telecommunications market is considered one of the most competitive in Europe, given its limited size.

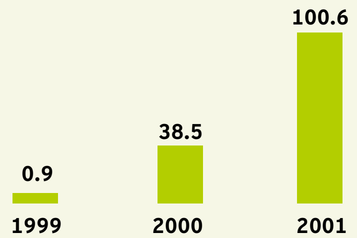
Market share losses based on minutes in percentage points



At the end of 2001, Telekom Austria had a market share of 56.2% in the fixed line segment (based on minutes, including Internet dial-up traffic), compared to 63.7% at the end of 2000. However, by introducing new customer-oriented tariff packages, Telekom Austria succeeded in significantly slowing the decline in fixed line market share, based on minutes, from 5.3 percentage points in the first half of 2001 to 2.2 percentage points in the second half of the year. This development provides Telekom Austria with crucial momentum for adopting an even more aggressive stance in the market in future, with the aim of winning back customers.

Fixed access lines – access channels (´000)	2001	2000	1999
PSTN access lines	2,759.8	2,929.1	3,201.6
Basic ISDN access lines	398.7	331.9	247.0
Multiple ISDN access lines	8.3	8.0	5.6
Total access lines	**3,166.9**	**3,269.0**	**3,454.2**
ADSL access lines	100.6	38.5	0.9
Access channels	**3,806.2**	**3,832.9**	**3,862.4**

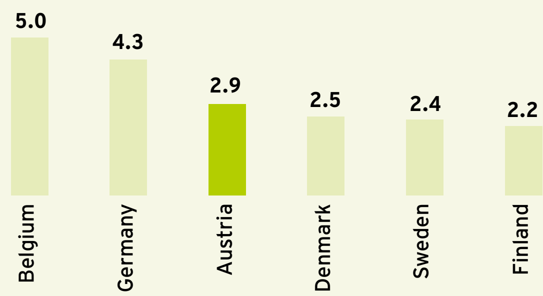
Development of ADSL access lines (´000)



Telekom Austria serviced a total of approximately 3.2million access lines by year-end 2001. The shift seen in previous years from traditional PSTN (Public Switched Telephone Network) to ISDN (Integrated Services Digital Network) continued in 2001. While the number of traditional PSTN access lines decreased by 5.8%, ISDN access lines increased by approximately 20% to 407,000. Total access channels decreased by 0.7%, remaining at almost the level of the previous year.

The repositioning of Telekom Austria's fixed line segment, with its clear focus on broadband technologies, is particularly reflected in the development of ADSL (Asymmetric Digital Subscriber Line). ADSL access lines registered a 161.3% increase from 38,500 to 100,600, including 14,200 ADSL lines for other Internet service providers. Telekom Austria is one of the leading European ADSL providers.

ADSL penetration in Europe (%)



Source: ECTA LLU Scorecard, January 2002

Telekom Austria's total national fixed line traffic, based on minutes, decreased by 12.6% to approximately 11 billion minutes. This decline reflects the strong competitive pressure exerted by alternative providers in local and national long-distance traffic as well as the migration to mobile networks.

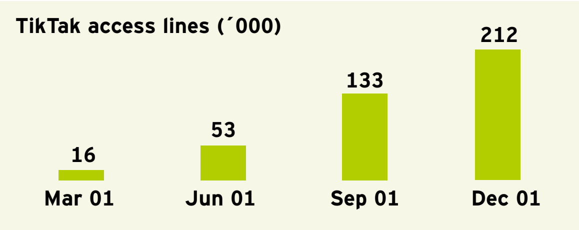
Telekom Austria's fixed line traffic (millions of minutes)	2001	2000	1999
Local traffic (including directory assistance)	4,335	6,227	8,426
National long-distance traffic	823	1,008	1,387
Fixed-to-mobile traffic	830	941	991
International traffic	476	507	682
Internet dial-up traffic	4,505	3,872	2,991
Total national and international fixed line traffic *	**10,969**	**12,555**	**14,477**

* excluding value-added services, emergency calls, coin and prepaid card telephony

Successful launch of new TikTak tariffs

The decline in market share losses is mainly a result of the successful introduction of the new TikTak tariffs. Within the scope of a large scale tariff initiative aimed at winning back lost customers, innovative tariff options tailored to differing customer needs were launched on the market. The TikTak tariffs, with second-based billing from the 30th second, offer savings of up to 35% to residential and business customers as well as a number of add-on services.

The marketing of the new tariffs began in March 2001, following approval by the regulatory authorities, with the launch of TikTak Plus for residential customers and TikTak Business for business customers. The second half of the year saw the introduction of additional options, including inexpensive international packages as well as a product offer for second homes. Special promotions such as "Free Fridays", during which fixed line telephone calls could be made free-of-charge nationwide on all Fridays in October, and "nine days free of charge", for the period between Christmas and New Year, contributed greatly to the success of the TikTak product family.



Substantial tariff reductions for leased lines

New reduced tariffs for leased lines were introduced in September 2001. Leased lines are primarily used by business customers and other telecommunications providers as the basis for a variety of services (voice, data, IP). Through tariff reductions of up to 43% - mainly for connections in urban areas as well as for transmission rates of 2 Mbit/s, 34 Mbit/s, and 155 Mbit/s, Telekom Austria's product portfolio became even more attractive, given its high quality transmission infrastructure. In comparison to other national telecommunications providers within the EU, Telekom Austria's new tariffs are in the lower third.

Wide range of innovative products

Along with the introduction of the TikTak tariffs and the reduction of leased line tariffs, a wide range of attractive products were launched during the year under review:

- The Internet Application MyPhone Web allows customized telephone line settings. Telephone bills and individual call records can be viewed online.
- With regard to equipment, Telekom Austria complemented its product portfolio with lifestyle and Internet products in 2001. One of the main developments was the introduction of wireless data transmission.
- In the area of value-added services, some standard products were discontinued (e.g. international telegrams) while some new innovations were launched onto the market:
  - The relaunch of the Jet2Web CallingCard provides the basis for attractive offers in the area of incoming international calls into Telekom Austria's network.
  - New customer terms and conditions enhance the attractiveness of Premium Rate Services (0930 numbers, which allow providers to keep a higher portion of traffic rates).
  - Office Line, a new call center product specifically targeted at small and medium-sized companies, was introduced.
- With Success Number 05, Telekom Austria provides business customers with the facility to be contacted via a single telephone number nation-wide at the local rate.

Carrier Services extends national and international offer range

The Carrier Services division is primarily responsible for national regulated and non-regulated services as well as for international carrier services.

Regulated services are offered on the basis of interconnection agreements with other telecommunications providers.

Incoming and outgoing international traffic (millions of minutes)	2001	2000	1999
Incoming international traffic	1,090	1,305	1,184
Outgoing international traffic	1,044	1,149	1,178

In 2001, Telekom Austria entered into 55 such agreements. The total volume, based on minutes, of national regulated interconnection traffic increased by more than a third compared to the previous year. In the year under review, Telekom Austria unbundled approximately 3,700 access lines, including 250 ADSL lines.

With regard to unregulated services, the launch of Dinamit, a unique product in Europe, provided all Internet service providers with the facility of charging Internet fees directly to their customers. In light of the fast growing xDSL market, new product portfolios with innovative technologies were designed and tested in line with the increasing shift of focus to multimedia (flexible bandwidth capacities, quality of service).

In the area of international carrier services, the Voice Traffic and Transit products were complemented by the European Jet2Web Stream and IP-Connectivity. The Jet2Web Stream, a 1,900 km long glass fiber ring, forms the basis for a 320 Gbit/s broadband network. It represents the core of a future telecommunications platform for Central Eastern Europe connecting the cities of Brno, Prague, Frankfurt, Munich, Salzburg, and Vienna. Thus, Czech On Line is also integrated into Telekom Austria´s glass fiber backbone network.

Important steps towards new Customer Care

The re-engineering and improvement of Customer Care are of central importance for demonstrating the company's commitment to stronger customer focus. In 2001, important steps were taken to achieve this. Along with the centralisation of locations, Clarify, a customer relationship management tool, was implemented in March 2001 in the area of customer support. As a result, customer care personnel are now able to process customer records electronically as well as to forward and file them. In 2001, the Call Center processed approximately 7 million customer records.

In 2001, the distribution network was further extended and now comprises a total of 49 Telekom Shops and Jet2Web Stores. In addition, sales agreements with post offices and retail outlets were signed. The OnlineShop shop.jet2web.com proved to be a valuable addition to traditional sales channels.

Clear broadband focus in network expansion

In 2001, Telekom Austria continued the transformation of the network infrastructure into a state of the art All IP network. By deploying modern routing technologies to connect Telekom Austria's network to the Internet, sufficient capacities for the rapid increase in data traffic were created.

The separate locations of the scientific data network ACOnet were interconnected via the Jet2Web Stream into a high-performance Ethernet. Metro-DWDM (urban multi-utilization of glass fiber) was used for the first time. Telekom Austria constructed a unique high-speed network for ORF, the Austrian Broadcasting Corporation, enabling decompressed transmission of digital multimedia content between different production sites.

The extension of the ATM backbone provided the basis for meeting the high demand for ADSL access lines. The selection of technology took place with a view to sustainable cost savings, based on ongoing end-to-end management, and with the purpose of achieving a homogeneous IP/ATM/MPLS (Multi Protocol Label Switching) implementation. MPLS allows the transmission of time-sensitive multimedia data over IP ensuring ongoing high quality by providing bandwidth on demand and prioritizing certain data transfers.

The area of intelligent networks saw the introduction of the IN-VPN service, which allows the creation of several virtual networks within an existing telephone network.

Major regulatory decisions

In spite of further intensified competition in Austria in 2001, Telekom Austria was deemed by the regulatory authority to have significant market power in the areas of public voice fixed line telephony, leased lines and interconnection services, as in the previous years.

The most important decisions made by the regulatory authority in 2001 comprised unbundling, the determination of the amount of interconnection fees as well as the direct accounting of interconnection fees between alternative network operators. In this respect, the unbundling offer, which has been effective since 1999, was complemented with sub loop unbundling and line sharing. Moreover, the monthly access fee for alternative network operators to subscriber access lines (local loop) is to be gradually lowered from EUR 11.6 to EUR 10.9 in 2002.

Interconnection fees were moderately reduced in June 2001, narrowing the considerable gap – in comparison to other European countries – between peak and off-peak rates.

Successful positioning of Jet2Web Networks on the market

By actively marketing the network resources of the Telekom Austria Group, and with innovative services for fixed line and mobile operators as well as for Internet service providers, Jet2Web Networks was able to consolidate its market position in spite of increasing competition.

Through professional service provisioning in the area of housing & sites, multimedia in-house systems, engineering and general infrastructure services, Jet2Web Networks has become the engineering provider for telecommunications operators. The timely expansion of the service portfolio (UMTS, TETRA, Wireless LAN) provides the basis for a strong position on the markets of the future.

Outlook

2002 will be dominated by the implementation of the new organization, approved at the end of 2001. The former fixed line, data communications and Internet business segments are being merged into a Wireline unit that encompasses a Wholesale segment, targeting telecommunications operators, and a Retail segment for end customer services. The Wholesale segment will be responsible for marketing Telekom Austria's fixed line services to its Retail division and to other telecommunications companies. The Retail segment will sell one-stop solutions to corporate customers as well as Internet and voice products to the mass market. However, this new organization will not affect Telekom Austria's practice of reporting by business segment in 2002.

Following a regulatory decision, accounting of transit call fees will be readjusted starting from 2002. In future only transit fees charged by Telekom Austria will be shown in operating revenues, resulting in an equal reduction in revenues and expenses with no impact on Telekom Austria's results.

In 2002 the overriding objective of the fixed line core business will be to further reduce market share losses. For this purpose, the marketing of competitive product packages will be stepped up and complemented with new initiatives. Lower average tariffs will result in declining revenues in 2002 as well. An additional focus will be on marketing ADSL products with the aim of significantly increasing the number of ADSL customers.

Personnel downsizing will be continued in 2002 with a head-count reduction of up to 1,400 employees. The resulting cost savings along with synergy effects arising from the new Wireline organization should more than offset the increase in marketing and sales expenses deriving from initiatives to secure Telekom Austria's leading market position.

Therefore, Telekom Austria's Management Board aims to achieve a further improvement in the fixed line EBITDA margin.

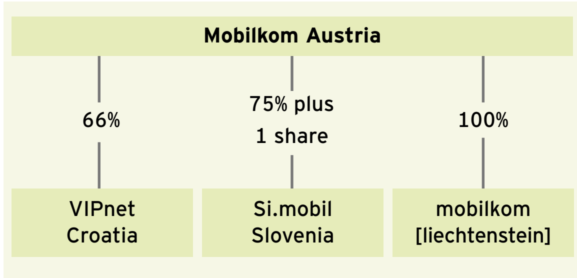
For further information please refer to

- www.telekom.at
- networks.jet2web.com

Mobile Communications

Technological edge drives growth

- Increase in revenues by 14.1% and in EBITDA by 30.9%. EBITDA margin rises from 29.1% in 2000 to 33.3% in 2001
- Total subscriber numbers approach 4 million, with more than one quarter coming from the international business
- Successful focus of Mobilkom Austria on quality customers: share of contract customers increases from 47.7% to 50.5%
- VIPnet's subscriber growth substantially contributes to the increase in mobile penetration in Croatia; the company achieves a very attractive profitability level
- Si.mobil, the Slovenian mobile operator acquired in 2001, doubles the number of subscribers as well as its share of contract customers



The mobile communications business segment encompasses all operations of Mobilkom Austria and its affiliates, namely VIPnet (Croatia), Si.mobil (Slovenia), and mobilkom [liechtenstein] AG. Mobilkom Austria is 74.999% owned by Telekom Austria, with the remainder being held by Telecom Italia Mobile.

Marked improvement of operating results in 2001

During the year under review operating revenues in the mobile communications business segment rose by 14.1% to EUR 1,713.2million. This growth is primarily due to a further improvement in customer structure as well as to the dynamic growth of Mobilkom Austria's foreign subsidiaries. For the first time, the financial year 2001 includes the results of Si.mobil in Slovenia, in which Mobilkom acquired a controlling interest in February, holding 75% plus one share at year-end 2001. As a result, the international business now accounts for 16.4% of total revenues in the mobile communications segment, up from 9.9%.

Driven by revenue growth and enhanced added value, EBITDA rose by 30.9% to EUR 571.3million, while EBIT increased by 15.8% to EUR 303.5million. In Austria, as well as in Croatia, a strong improvement in EBITDA margins was achieved. In its second full year of operations, VIPnet already achieved a profitability level similar to that of Mobilkom Austria. The repositioning of Si.mobil went according to plan, while costs incurred resulted in a negative EBITDA contribution over the reporting period.

Revenue growth resulted primarily from the dynamic rise in traffic revenues due to the increase in total number of subscribers. The share of contract customers was increased as well. The relatively flat revenues from monthly rentals was due to the marketing of products with lower monthly rates.

Key data (financial data in EUR million)	**2001**	**2000**	**% change**
Operating revenues	1,713.2	1,501.0	14.1%
EBITDA	571.3	436.5	30.9%
EBIT	303.5	262.1	15.8%
Additions to property, plant and equipment	363.2	323.1	12.4%
Employees *	3,438	2,768	24.2%

* full-time employees at year-end

Operating revenues (in EUR million)	**2001**	**2000**	**% change**
Traffic revenues	853.3	721.3	18.3%
Monthly rentals	252.1	245.8	2.6%
Equipment	181.0	187.5	-3.5%
Roaming	147.8	113.7	30.0%
Interconnection	274.3	234.7	16.9%
Other	26.9	21.3	26.1%
Discounts	(22.2)	(23.3)	-4.2%
Total mobile communications operating revenues	**1,713.2**	**1,501.0**	**14.1%**

Operating Expenses (in EUR million)	2001	2000	% change
Materials	250.7	302.9	-17.2%
Employee costs, inclusive of benefits and taxes	134.5	98.1	37.1%
Depreciation and amortization	267.8	174.4	53.5%
Interconnection	169.2	148.4	14.0%
Repairs	39.9	27.6	44.6%
Services received	210.2	181.6	15.7%
Other operating expenses	337.3	305.9	10.3%
Total mobile communications operating expenses	**1,409.6**	**1,238.9**	**13.8%**

In the period under review, material expenses were lowered by 17.2%, as subsidies for mobile handsets – notably in the prepaid customer segment – were radically reduced. The increased depreciation charge reflects the capacity-related rise in capital expenditure as well as the higher goodwill amortization charge, which rose from EUR 1.7million in 2000 to EUR 33.8million in 2001, primarily due to the consolidation of Si.mobil.

Capacity-related rise in additions to property, plant and equipment

The increase in additions to property, plant and equipment by 12.4% to EUR 363.2million can primarily be attributed to network expansion driven by the increased international subscriber base, among other factors. Approximately EUR 30million is accounted for by Si.mobil. In total, international operations account for 36.9% of capital expenditure. The number of base stations in Austria rose by 13% to 4,659. Moreover, Mobilkom Austria acquired two additional 10.2 MHz frequency packages in the 1,800 MHz range for the sum of EUR 36.4million, which is included in the intangible fixed assets.

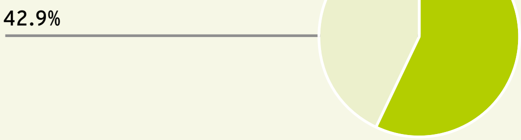
Customer numbers approach 4 million

Compared to year-end 2000, the total number of customers in the mobile communications business segment rose by 19.2% to almost 4 million at the end of December 2001. Due to the high mobile penetration level of 82.2% in Austria, subscriber growth derived primarily from the very positive performance of both subsidiaries, VIPnet and Si.mobil. The share of mobile communications subscribers from international operations rose to approximately 28% at the end of 2001, compared to 16% at year-end 2000.

42.9% market share in Austria

With its small population and 4 mobile operators, Austria faces some of the most intense competition in Europe. In addition to the mobile communications providers currently operating, two more operators have a UMTS license. This might further increase competition in the future. In 2001 Mobilkom Austria's market share decreased to 42.9%, only slightly below the level of the previous year (year-end 2000: 44.8%), and Mobilkom Austria further maintained its market leadership.

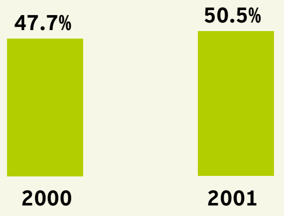
Mobilkom Austria market share



At the end of 2001, Mobilkom Austria held a market share of 69% in the corporate customer segment. Mobilkom Austria's 40.8% share in the total number of new customers (gross increase in first-time customers) in Austria is also to be attributed to the strength of the company's most important brand, A1.

Mobile communications customers (´000)	2001	2000	1999
Contract customers	1,439.4	1,336.6	1,218.4
Prepaid customers	1,410.5	1,467.7	1,041.4
Total for Mobilkom Austria customers	**2,849.9**	**2,804.3**	**2,259.8**
VIPnet (Croatia)	855.7	531.4	155.1
Si.mobil (Slovenia)	269.6	-	-
mobilkom [liechtenstein]	1.3	0.2	-
Total for mobile communications	**3,976.5**	**3,335.9**	**2,414.9**

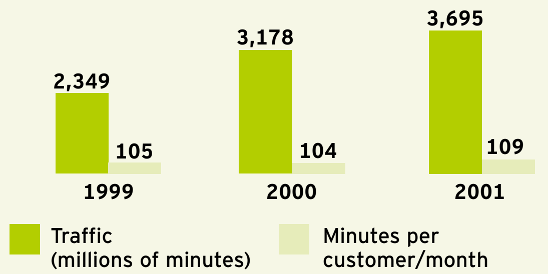
Mobilkom Austria share of contract customers



A focused Customer Relationship Management (CRM) strategy provides the basis for targeted measures to reduce customer churn and enhance customer convenience. In view of a mere 14% churn rate of contract customers (compared to 25% in the previous year), Mobilkom Austria's efforts to retain customers with the highest revenue growth potential were rewarded. The increase in churn rate from 22.5% to 26.2% is exclusively due to the cancellation of inactive prepaid customer accounts in 2001.

Customer traffic, based on minutes, encompasses all telephone calls and data transmissions directly charged to Mobilkom Austria's customers. It therefore comprises active telephone calls made in Austria and abroad as well as passive calls received abroad. The increase in minutes per month per customer by almost 5% once again reflects the qualitative improvement of Mobilkom Austria's customer base.

Mobilkom Austria customer traffic



Mobile data communications at the core of new products and services

The development of new products and services in 2001 was focused on the expansion of the product portfolio in the area of mobile data communications. Once again, Mobilkom Austria reinforced its role as innovation leader in Austria.

The number of registered users on Mobilkom Austria's Internet Service portal – www.A1.net – increased from 70,000 to over 280,000 in 2001. At www.A1.net services can be accessed via Web, WAP and SMS.

In the field of m-commerce applications (ÖBB-eTicket, CIN-eTICKET and A1 FLOWERLINE) Mobilkom Austria doubled both its customer base and transaction volume. A new m-commerce application enabled the donating of money via SMS and WAP.

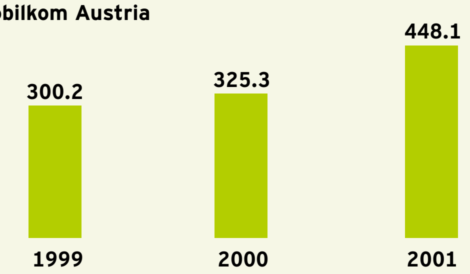
The number of WAP users almost tripled, to 209,600, during the period under review. Mobilkom Austria was the first mobile operator worldwide to launch WAP Push Services onto the market. In addition to news and greetings cards, WAP Push technology also enables users to receive detailed messages inclusive of URL.

For strategic partnership purposes, in July 2001, Mobilkom Austria acquired a 49% stake in paybox Austria AG, a subsidiary of the German-based paybox.net AG. Paybox offers one of the best-established systems for payment transactions via mobile phones in Europe.

Towards the end of 2001, Mobilkom Austria was the first mobile operator worldwide to acquire a bank license and at the beginning of 2002 founded a bank, A1 Bank AG, a wholly owned subsidiary. The bank subsidiary will support m-commerce services, thereby enhancing security.

With billed SMS increasing by one third to 448.1million, a new record was established in 2001. Averaged over the year, the number of SMS sent and received per customer per month amounted to 34, with the highest level (45 SMS) being attained in the month of December. As a result of this development, mobile data traffic accounted for almost 10% of traffic revenues in 2001. These figures clearly confirm the increasing importance of mobile data communications in Austria.

SMS per year including visitor roaming (million)
Mobilkom Austria



GPRS expansion and preparations for UMTS

In order to be able to continue to meet the increasing demand for mobile data communications in the future with new products and services, 2001 was characterized by the rapid expansion of GPRS (General Packet Radio Service) and preparatory work for UMTS (Universal Mobile Telecommunications System).

The improved availability of GPRS handsets from the third quarter of 2001 resulted in a substantial increase in the number of GPRS users to 26,000 towards the end of the year. In particular, in the corporate customer segment, an increasing number of subscribers is using this fast and packet-oriented data transmission technology.

In March 2001, Mobilkom Austria decided to join forces with system suppliers Ericsson Austria and Nortel Networks for the UMTS network roll-out. Both suppliers were requested to provide a fully-fledged UMTS network. In doing this, Mobilkom Austria continues its practice of cooperating with several systems suppliers, optimally deploying each partner's expertise while minimizing technological and business risks.

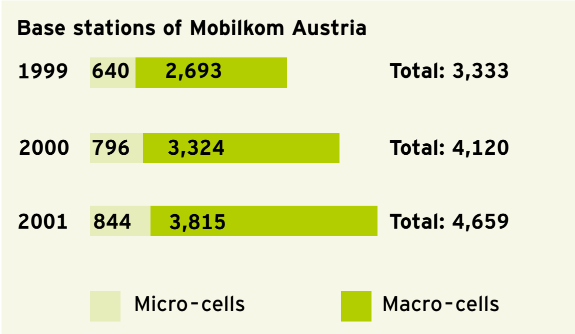
In December 2001, the first part of a UMTS trial network was put into operation. The trials carried out so far have the strategic objective of ensuring the compatibility of new UMTS network elements with the existing GSM and GPRS networks. The prerequisite for the award of a UMTS license was a 25% coverage of the population by 2003 and 50% by 2005. Given the steps taken so far, Mobilkom Austria does not see any obstacles to the fulfillment of these requirements. Altogether, Mobilkom Austria is planning to invest approximately EUR 640million in the expansion of the UMTS network by 2010.

Comprehensive customer service

Mobilkom Austria's Customer Service Center, which is marketed under the brand name client24 and also offers services for third party customers, ranks among the largest in Austria. In order to ensure first class customer service, approximately 900 employees currently service 2.8 million customers nationwide. Offering a vast array of products and services, ranging from professional customer care, customer acquisition and high-tech services to consulting services, client24 succeeded in acquiring valuable third party customers as well.

Competitive edge through network quality

Increasing subscriber numbers, in particular with regard to contract customers, provide a clear confirmation of Mobilkom Austria's future-oriented network planning and high network quality. According to a recent survey carried out by the Department of Communications Networks at the Technical University of Vienna, the Good Call Rate (optimal voice quality) reached a level of 98.3%. This result provides Mobilkom Austria with a competitive edge in terms of network quality. The acquisition of licenses for two additional frequency packages in the 1,800 MHz range and the newly established base stations for the purpose of optimizing the supply in residential buildings contribute to ensuring long-term network quality. In order to ensure optimal service beyond the domestic market as well, Mobilkom Austria had put in place roaming agreements with 209 network operators in 101 countries at the end of 2001 (2000: 177 operators in 89 countries).



Important regulatory decisions

2001 was marked by two fundamental decisions on the part of the regulatory authority. Due to the change in the competitive landscape, Mobilkom Austria is no longer perceived as a company with unique market power in the mobile voice telephony market, which results in regulatory relief for Mobilkom Austria. In particular, the company is no longer subject to the terms and provisions of the non-discrimination regulation.

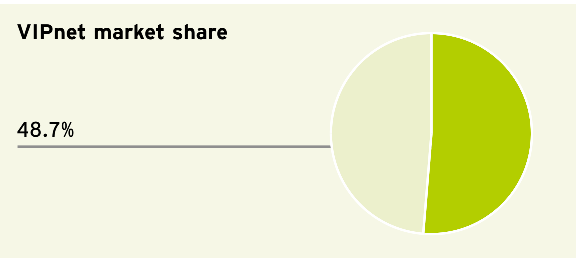
Furthermore, the regulatory authority decided on a readjustment of interconnection fees between the domestic mobile communications operators and the fixed line operators. Mobilkom Austria appealed against this ruling which entails a considerable reduction in interconnection revenues.

Subsidiaries with high growth potential

Mobilkom Austria places great emphasis on exploiting synergies with its foreign subsidiaries. Accordingly, in 2001, both VIPnet and Si.mobil were the first operators in their respective markets to launch GPRS services as well as a range of m-commerce applications.

VIPnet benefits from market growth in Croatia

In 2001, VIPnet continued its dynamic growth, with customer numbers increasing by 61% to 855,700 and market share reaching 48.7% at year-end. In the GSM market VIPnet was Croatia's market leader in 2001. Even though the penetration rate increased from 24% at the end of 2000 to 39% at the end of 2001, the Croatian market still has a relatively high growth potential.



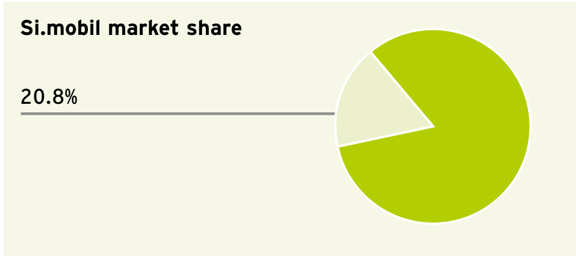
VIPnet´s strategy is to exploit optimally this potential through first-class and customer-focused quality of service. The Croatian market is still dominated by prepaid customers. VIPnet's innovative services should increase the share of contract customers on an ongoing basis. An additional success factor is VIPnet's extensive sales network encompassing 14 VIPcenters, 152 VIPpartners and 1,421 distribution outlets for prepaid phone cards.

The high SMS level (53 SMS per customer per month) provides the basis for the future success of mobile communications in Croatia. After the launch of the first GPRS network with blanket coverage in Croatia in May 2001, Croatia's first UMTS call was made via VIPnet at the end of November. In October 2001, Mobilkom Austria increased its share in VIPnet from 61% to 66%.

Si.mobil: doubling customer base

In the period under review, Si.mobil, which was acquired by Mobilkom Austria in February 2001, succeeded in more than doubling its customers to approximately 269,600. Hence, market share in Slovenia rose to 20.8% at the end of 2001 compared to 14% at year-end 2000. Given its 4 operators and a penetration level of approximately 65%, the Slovenian market is relatively well-developed; however, it still holds potential for growth.

A repositioning of the Si.mobil brand as well as the improvement of the existing network was the focus for the first year. Si.mobil considerably expanded its product portfolio: in addition to the introduction of GPRS and targeted product-bundles, an information and shopping portal was launched under www.simobil.net.



Si.mobil´s overriding objective is to increase its share of quality customers, with 2001 providing an excellent basis, doubling the share of contract customers. In this and other areas, Si.mobil places great emphasis on exploiting synergies with Mobilkom Austria and VIPnet.

After acquiring a 49% controlling interest in Si.mobil in February 2001, Mobilkom Austria increased its directly held stake to 75% plus one share in autumn 2001. This transaction was already accounted for in the original acquisition price of EUR 145.8million.

mobilkom [liechtenstein]: technological momentum for the group

mobilkom [liechtenstein] had over 1,320 customers at the end of 2001. The manageable size of the customer base in Liechtenstein makes it possible to test innovations and technologies for other markets.

Outlook

In the mobile communications business segment, the entry of a fifth operator is anticipated in the course of 2002. Mobilkom Austria will counteract intensified competition by focusing on the qualitative improvement of its customer base. Simultaneously, customer acquisition costs will continue to be reduced. VIPnet will benefit from the increased market penetration in Croatia, while in Slovenia Si.mobil's operating performance will be determined by the acceleration of the turnaround process. Finally, despite a flattening in revenue growth in the mobile communications business segment, stable EBITDA margins are expected.

For further information please refer to

- www.mobilkom.at
- www.vipnet.hr
- www.simobil.si
- www.mobilkom.li

Data Communications

Innovative solutions for business customers

- 5.6% increase in revenues to EUR 330.2million
- Decline in EBITDA due to higher intercompany prices for Datakom Austria
- Increase in revenue share from the solutions business which generates higher value
- Start of the merger process of Datakom Austria´s sales division with fixed line key account management, within the framework of the new Wireline organization

The data communications business segment essentially comprises the activities of Datakom Austria, a wholly owned subsidiary of Telekom Austria AG. Datakom Austria´s product range, in the three business areas of standard products, solutions business and individual business, encompasses leased lines, value-added e-mail services of electronic data interchange and individual customer solutions. These products are frequently offered as convergence products of the Telekom Austria Group.

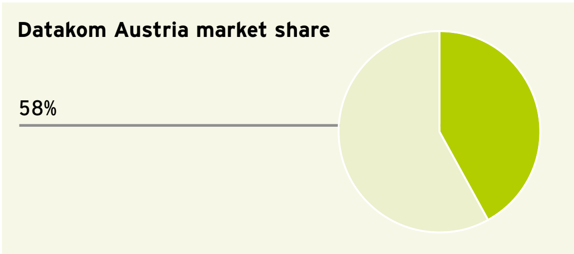
Revenues in the data communications segment rose by 5.6% to EUR 330.2million in 2001. A fundamental objective, within the framework of Datakom Austria´s repositioning as a solutions provider, was the focus on both the individual and solutions business areas, which contributed 55% of total revenues in the reporting year. This contribution is expected to increase going forward.

The decline in EBITDA by 4.7% to EUR 54.7million can be primarily attributed to an increase in expenses for services received due to the readjustment of intercompany prices. At the same time, measures to reduce operating expenses were stepped up. Headcount reduction resulted in a decrease in personnel expenses by 7.9%. EBIT amounted to EUR 19.4million, compared to EUR 24.4million in the previous year. Additions to property, plant and equipment decreased by 9% to EUR 31.5million in the period under review. Capital expenditure was primarily dedicated to the upgrading of technology for the provision of leased data lines and packet-switched services.

Continued market leadership in Austria

In line with the trend of merging telecommunications and IT services into a wide range of integrated solutions, Datakom Austria extended its traditional product portfolio in the business year 2001. Particularly in the areas of security, ASP-enabling and e-business, Datakom Austria played a decisive role in setting the pace of market development in Austria.

Through a strategic reorientation, Datakom Austria succeeded in defending its leading position in the business customer segment with a market share of 58%. Datakom Austria established itself as the leading supplier and service provider for almost all of Austria´s major corporates.



Datakom Austria was also able to consolidate its leading role in the areas of network technology and network infrastructure. Highlights included the completion of a nationwide MPLS network (Multiprotocol Label Switching) and the installation of a modern Network Management Center (NMC). On the basis of the MPLS network, data traffic can be controlled cost-efficiently, while simultaneously ensuring the highest performance and availability. Real-time applications such as video on demand, Internet telephony or music broadcasts can be conducted in IP-based Local Area Networks (LAN), ensuring the highest quality standards. The Network Management Center provides a variety of network monitoring services.

Key data (financial data in EUR million)	2001	2000	% change
Revenues	330.2	312.8	5.6%
EBITDA	54.7	57.4	-4.7%
EBIT	19.4	24.4	-20.5%
Additions to property, plant and equipment	31.5	34.6	-9.0%
Employees *	877	963	-8.9%

* full-time employees at year-end

Operating expenses (in EUR million)	2001	2000	% change
Materials	11.4	15.5	-26.5%
Employee costs, including benefits and taxes	48.2	52.3	-7.9%
Depreciation and amortization	35.3	33.0	7.1%
Other operating expenses	215.9	187.6	15.1%
Total data communications operating expenses	**310.8**	**288.4**	**7.8%**

Product and service innovations for the future

- For the purpose of supporting outsourcing processes, a comprehensive service, the ASP-enabling computing center, was established. This center allows companies to access software jointly, paying a rental fee for actual use only. ASP-enabling services include consulting, Internet connectivity, hardware and software supply, a comprehensive security system and monitoring and performance management.

- Managed Check Point VPN-1 is a full-service package intended for corporate security, protection of transmitted data, back-up, update, user help desk and reporting. With this product, Datakom Austria and Check Point Software, a security software supplier, have set new quality standards in terms of data security.

- Aircash, the mobile ATM, is a terminal jointly developed with Europay Austria for non-cash payments, irrespective of location.

- The EU award for Austrian Electronic Legal Communications (ELC) as well as accreditation as the first certification provider (digital signature a-sign) in Austria confirm Datakom Austria's innovative strength in developing practice-oriented e-business solutions.

In the development and extension of its product range, Datakom Austria can call on a network of renowned partners such as Cisco Systems, Nortel Networks, CAP Gemini Ernst & Young, Infonet, General Electric, Check Point Software, Compaq and Oracle. For the purpose of further diversifying its product portfolio, Datakom Austria has developed a sustainable partnership strategy based on two models. Together with expert partners the range of consulting services in the area of in-house IT and infrastructure as well as LAN and Web solutions is covered, while solutions partners are instrumental in preparing for entry into new growth businesses.

Outlook

In 2002, the data communications business segment will focus on extending its array of services within the framework of the new Wireline organization. In order to ensure optimal care of corporate customers, the integration of Datakom Austria´s sales division with fixed line key account management will continue. The persistent focus on offering complex one-stop IT and telecommunications solutions provides the basis for consolidating its favorable market position and further growth in the more profitable revenue segments. Along with the objective of a continuous increase in revenues in the data communications segment, a rise in the EBITDA margin will be pursued.

For further information please refer to:

- www.datakom.at

Internet

With ADSL into the global broadband network

- Internet revenues grow by 62.8% to EUR 99.5million
- 666,400 Internet customers in Austria, 238,200 Internet customers in the Czech Republic
- Successful launch of the portal www.jet2web.net
- Czech On Line expands business customer service offering

From July 1, 2000, Telekom Austria AG transferred its entire residential Internet business to Jet2Web Internet Services GmbH. Since the first quarter of 2001, Internet-related activities have been presented in a separate Internet segment. This segment also comprises the activities of Czech On Line in the Czech Republic.

Higher revenues driven by dynamic customer growth

In 2001, revenues in the Internet business segment increased by 62.8% to EUR 99.5million. This rise can primarily be attributed to the increased subscriber base in Austria, in particular with regard to ADSL subscribers. At first, this accelerated growth of the Internet business led to higher marketing, sales and personnel expenses which resulted in an increase in negative EBITDA to EUR (20.1)million in 2001, compared to EUR (5.4)million in 2000. Nevertheless a positive quarterly EBITDA was attained for the first time in the fourth quarter of 2001 due to strong seasonal Internet demand. EBIT amounted to EUR (30.0)million in the period under review, compared to EUR (7.3)million in 2000. Czech On Line generated approximately 8% of total revenues in the Internet segment and reported a slightly positive EBITDA.

Expansion of market position in Austria

With approximately 666,400 subscribers, up from 293,400 at the end of 2000, Jet2Web Internet succeeded in further strengthening its market leadership in Austria in the year under review. Of total subscribers, 86,400 used the broadband technology ADSL. According to the Austrian Internet Monitor (AIM), Telekom Austria Group´s total market share in the residential Internet market, including Mobilkom Austria´s Internet subscribers, amounted to 37% at the end of 2001, as opposed to 28% at the end of 2000. This growth was accelerated by the acquisition of about 95,000 Internet subscribers from two Internet service providers during the first months of 2001. Telekom Austria´s Internet subsidiary succeeded in taking optimal advantage of the further increase in market penetration to about 46% of the Austrian population (roughly 3.1million Internet users).

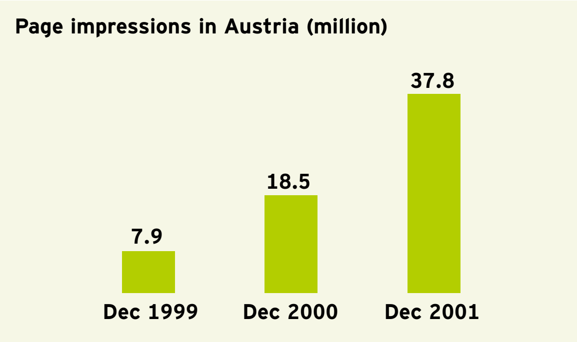
Number of Internet customers in Austria *

* at year-end

The channel-based, horizontal Internet portal www.jet2web.net with its wide-ranging multimedia content was launched in June 2001. Since then, the website has consistently ranked among the three most frequently visited sites in Austria, according to the monthly ranking published by Nielsen Netratings.

Key data (financial data in EUR million)	2001	2000	% change
Revenues	99.5	61.1	62.8%
EBITDA	(20.1)	(5.4)	-272.2%
EBIT	(30.0)	(7.3)	-311.0%
Additions to property, plant and equipment	20.0	14.6	37.0%
Employees *	368	195	88.7%

* full-time employees at year-end



In December 2001, the Jet2Web portals registered a total of 641,750 unique users (number of visitors per month). This corresponds to a 45% growth since the beginning of monitoring in March 2001. An even more positive development was shown by page impressions which rose from 18.5million per month in December 2000 to 37.8million per month in December 2001.

New products and services

Innovative services and products in all three core areas – access, interactive media and e-commerce – contributed to Jet2Web Internet´s positive customer development. In particular, the launch of the aonflash product family with five Internet dial-up options tailored to differing surfing habits, consolidated Jet2Web Internet's position in the residential Internet segment.

In 2001, Jet2Web Internet broadened the content of its portal www.jet2web.net by adding a business channel and a variety of e-commerce offers. In this way, the multi media platform also became attractive to the business sector. In order to emphasize its position as technology leader in the interactive media area, Jet2Web Internet launched a broadband portal for video and audio streaming (www.speed.at) in December 2001, hence gaining valuable information about customers´ habits while using broadband content.

In the area of e-commerce, Jet2Web Internet, together with SAP, established the online marketplace www.bizmarket.at, with Jet2Web Internet holding an 85% stake and SAP holding the remainder. www.bizmarket.at serves as a closed forum through which business customers can optimize their entire procurement processes. With e-shops, small and medium-sized companies as well as small offices/home offices are offered sales channels tailored to their needs.

In the field of product innovation, Jet2Web Internet can rely on strategic partnerships with leading companies in the area of video application service providing (IVS), multimedia agencies (medienhaus + partner) as well as e-mail and SMS-publishing.

Czech On Line expands business customer service offer

Czech On Line a.s. (COL), which was 100% acquired by Telekom Austria in 2000, succeeded in establishing its ISP market leadership in the Czech Republic. About 238,200 active customers had free Internet dial-up access via PSTN, ISDN, and GSM at year-end 2001. For business customers, the Internet provider offers Internet access services via frame relay and leased lines as well as in the form of point-to-point and point-to-multi-point connections. With its prepaid product TalkCard, Czech On Line offers a VoIP service for international calls. The portfolio is rounded off by global Internet roaming, web and domain hosting, as well as content offers and customized search engines. In autumn 2001, Czech On Line obtained the license for 3.5 GHz microwave transmissions whereby, as of the second quarter of 2002, last-mile solutions for data and voice services will be offered. Finally, in December, Czech On Line launched its PSTN voice service for business customers.

Outlook

At the beginning of 2002, the new Wireline organization of Telekom Austria took effect. In this context, Jet2Web Internet will focus its operating activities on services and products and market them in the portal and content areas. As a result, the focus of subscriber growth will shift substantially toward broadband users. The rise in dial-up customers, however, is expected to slow down. In 2002, the Internet segment as a whole is aiming to continue its strong revenue growth and to reduce its negative contribution to earnings.

For further information please refer to

- www.jet2web.net
- www.jet2web.cz

Research & Development

Focus on broadband and 3G

- Focus of R&D on broadband technologies, quality of service and 3G projects
- Telekom Austria demonstrates technological leadership with numerous research partnerships in Austria and abroad

In 2001, the Telekom Austria Group, as technological leader in Austria, continued to focus its R&D activities on future and practice-oriented technologies. In addition to broadband transmission technologies and quality of service (QoS), particularly strong emphasis was placed on application-oriented projects for the third mobile generation (3G).

Through its participation in numerous research projects with industry, research institutes and universities, the Telekom Austria Group helped to shape decisively the domestic R&D landscape in the areas of fixed line and mobile communications. At international symposia, the companies of the Telekom Austria Group are held in high esteem as partners in the exchange of experience, e.g. Mobilkom Austria within the GSM World Congress. Total R&D expenses of the Telekom Austria Group amounted to approximately EUR 22million in 2001.

Targeted R&D focus

- Broadband access technologies via copper lines (xDSL)
  The focus of laboratory and field research is on interference testing of systems with higher bandwidth and wider coverage. The tests reveal new application opportunities for broadband technologies and are instrumental in developing new business models.

- Voice over IP
  A new national IP-telephony platform was constructed to offer the first convergent services between voice telephony and Internet. This platform was also incorporated into an international test network as a research project.

- Future Universal Network
  The Future Universal Network initiative was originated by Telekom Austria to ensure the long-term development of Telekom Austria networks into a multimedia universal network. Based on findings derived from R&D programs, specific revenue-increasing and cost-cutting opportunities are explored and the required migration steps planned in great detail. As a first step toward realizing a multi-service network, Telekom Austria developed guidelines in 2001 for transferring existing services from voice networks to next generation networks. Standards in quality of service were paramount. In 2001, within the framework of these R&D activities, Telekom Austria was the first telecommunications provider to test the interconnections of signaling networks via IP links.

- UMTS user environment
  In cooperation with manufacturers, Mobilkom Austria developed a UMTS user environment at the Research Center for Telecommunications Vienna (ftw), based on the so called Open Service Access Standard of 3rd Generation Partnership Project (3GPP) in order to test new functionalities for the development of UMTS applications. Currently, Mobilkom Austria has another ftw project in the pipeline – WINDS (Wireless Networks for Differentiated Services), by means of which the potential of mobile LAN technology in the 5GHz band and its convergence with UMTS is to be demonstrated. Voice-controlled applications in the mobile environment complement the activities at the Research Center for Telecommunications Vienna.

- Optimizing 3G networks
  In 2001, cooperation between Mobilkom Austria and the Technical University of Vienna resulted in numerous research activities, including the planning and optimization of 3G networks. In addition, a traffic model was developed to optimize the frequency resource management for GSM/GPRS access networks.

The majority of Telekom Austria's R&D activities are carried out in international research programs. The Information Society Technology (IST) research initiative plays an important role in this regard, encompassing research focused on interactive multimedia communication in Future Universal Network (GCAP), quality in modern data networks (Aquilla) and the convergence of multiple mobile standards (FLOWS).

Consolidated Financial Statements

- Telekom Austria AG
- Mobilkom Austria AG & Co KG and Mobilkom Austria AG

Contents

TELEKOM AUSTRIA AG
Consolidated Balance Sheets

(in € '000s omitted, except per share information)

	December 31, 2001	December 31, 2000
ASSETS		
Current assets		
Cash and cash equivalents	26,393	17,715
Short-term investments	8,523	5,962
Accounts receivable, net of allowances of € 47,074 and € 72,168 as of December 31, 2001 and December 31, 2000	455,272	493,817
Receivables due from related parties	105,979	33,906
Inventories	55,786	74,776
Deferred tax assets	3,822	1,742
Prepaid expenses	25,405	16,531
Tax refunds	38,069	108,503
Other current assets	128,465	165,000
Total current assets	847,714	917,952
Property, plant and equipment, net	4,591,757	5,069,507
Intangible assets, at cost	299,596	262,438
Less accumulated amortization	(218,946)	(32,131)
	80,650	230,307
Investments in affiliates	510,682	612,962
Other investments	162,981	149,612
Deferred tax assets	323,911	144,233
Due from related parties	218,018	218,018
Other assets	991,609	720,096
TOTAL ASSETS	7,727,322	8,062,687
LIABILITIES AND STOCKHOLDERS´ EQUITY		
Current liabilities		
Short-term borrowings	978,092	945,992
Accounts payable	439,529	524,969
Accrued liabilities	131,296	172,979
Payables to related parties	15,982	30,509
Deferred income	55,266	66,508
Income taxes payable	0	12,726
Deferred income taxes	20	1,398
Other current liabilities	59,949	44,352
Total current liabilities	1,680,134	1,799,433
Long-term debt, net of current portion	2,005,226	2,353,858
Lease obligations, net of current portion	1,086,874	798,955
Employee benefit obligations	378,125	448,536
Deferred income taxes	490	19,329
Other	76,079	38,964
Stockholders´equity		
Common stock, issued and outstanding shares 500,000,000 with par value of € 2.181	1,090,500	1,090,500
Additional paid in capital	451,677	451,677
Retained earnings	956,837	1,061,462
Accumulated other comprehensive income (loss)	1,380	(27)
Total stockholders´equity	2,500,394	2,603,612
TOTAL LIABILITIES AND STOCKHOLDERS´ EQUITY	7,727,322	8,062,687

see accompanying notes to consolidated financial statements

TELEKOM AUSTRIA AG

Consolidated Statements of Operations

(in € '000s omitted, except per share information)

		2001	2000	1999
Operating revenues	a)	2,659,660	2,814,397	2,948,199
Operating expenses	b)			
Materials		(71,908)	(108,167)	(133,718)
Employee costs, including benefits and taxes		(569,152)	(858,009)	(645,596)
Idle workforce		(49,928)	(7,590)	0
Depreciation and amortization		(1,049,201)	(915,889)	(864,549)
Other operating expenses		(1,114,910)	(1,223,918)	(1,036,694)
Operating income (loss)		(195,439)	(299,176)	267,642
Other income (expense)				
Interest income	c)	82,683	78,552	66,749
Interest expense	d)	(240,986)	(239,914)	(228,069)
Dividend income		2,229	1,405	1,152
Other, net		(43,475)	(38,121)	(9,528)
Income (loss) before income taxes, equity in earnings of affiliates and extraordinary items		(394,988)	(497,254)	97,946
Equity in earnings of affiliates		195,450	36,314	117,469
Income tax (expense) benefit		94,913	178,829	(14,489)
Income (loss) before extraordinary items		(104,625)	(282,111)	200,926
Extraordinary loss, net of tax		0	(3,453)	(689)
Net income (loss)		(104,625)	(285,564)	200,237
Basic and fully diluted earnings per share		(0.21)	(0.57)	0.40
Basic and fully diluted earnings per share excluding extraordinary items		(0.21)	(0.56)	0.40
a) includes revenues from related parties of		293,459	289,818	262,970
b) includes operating expenses from related parties of		314,769	309,094	344,864
c) includes interest income from related parties of		17,619	3,138	1,975
d) includes interest expense from related parties of		749	13,045	31,298

see accompanying notes to consolidated financial statements

TELEKOM AUSTRIA AG

Consolidated Statements of Cash Flows

(in € '000s omitted, except per share information)

	2001	**2000**	**1999**
Cash generated from operations			
Net income (loss)	(104,625)	(285,564)	200,237
Adjustments to reconcile net income to cash generated from operations			
Depreciation and amortization	1,049,201	915,889	864,549
Employee benefit obligation – long term	(70,447)	200,073	34,699
Allowance for doubtful accounts	(14,818)	26,483	40,142
Change in deferred taxes	(94,969)	(180,726)	6,270
Equity in earnings of affiliates in excess of dividends received	(80,731)	30,805	(59,325)
Stock purchase plan	0	7,196	0
Gain on sales of investments	0	(524)	201
Loss on disposal/retirement of equipment	38,922	35,161	14,046
Changes in assets and liabilities, net of effect of business acquired			
Accounts receivable	54,037	94,224	(121,158)
Due from related parties	69,050	(12,508)	46,213
Inventories	19.030	4,920	14,639
Prepaid expenses	(8,874)	2,005	875
Other assets	(47,568)	7,808	42,194
Accounts payable	(85,734)	143,480	111,294
Accrued liabilities	(54,414)	38,723	17,384
Due to related parties	3,830	(27,054)	(8,737)
Other liabilities	170,490	7,282	8,155
	842,380	1,007,673	1,211,678
Cash from (used in) investing activities			
Capital expenditures, including interest capitalized	(459,039)	(601,538)	(697,188)
Acquisitions and investments	(4,759)	(334,662)	(45,057)
Proceeds from sale of equipment	12,106	16,133	11,503
Purchase of investments – short term	(2,790)	(176)	(6,513)
Purchase of American call for stock option programm	0	(12,527)	0
Proceeds from sale of investment – short term	8	36,336	138,383
Proceeds from sale of investment – long term	1,285	2,719	2,665
	(453,189)	(893,715)	(596,207)

	2001	2000	1999
Cash from (used in) financing activities			
Principal payments on bonds	(61,845)	(202,030)	0
Proceeds from issuance of long-term debt	0	377,553	0
Principal payments on long-term debt	(335,159)	(138,151)	(248,654)
Change in short-term bank borrowings	74,968	387,710	31,016
Changes in financing with ÖIAG	0	(492,516)	(398,588)
Changes from financing with Mobilkom Austria	(73,166)	(268,520)	(110,135)
Proceeds from sale of tax benefits	14,547	0	44,437
Dividends paid	0	(140,549)	(333,201)
	(380,655)	(476,503)	(1,015,125)
Effect of exchange rate changes	142	158	0
Net increase (decrease) in cash and cash equivalents	8,678	(362,387)	(399,654)
Cash and cash equivalents at beginning of period	17,715	380,102	779,756
Cash and cash equivalents at end of period	26,393	17,715	380,102
Cash paid for			
Interest	180,436	190,278	200,825
Income tax	10,235	8	80,178
Cash received for			
Interest	18,176	30,882	63,242
Tax refunds	91,255	0	31,160
Non cash investing and financing			
Cross border leasing	267,505	0	607,802
Dividends not received	86,315	0	0

see accompanying notes to consolidated financial statements

All amounts in € '000s omitted

TELEKOM AUSTRIA AG

Consolidated Statement of Changes in Stockholders´ Equity

(in € '000s omitted, except per share information)

	Common stock		Additional paid in capital	Retained earnings	Accumulated other comprehensive income (loss)	Total stockholders´ equity
	Number of shares	Par value				
Balance January 1, 1999	500,000,000	1,090,500	452,105	1,620,539	240	3,163,384
Dividends declared				(333,201)		(333,201)
Comprehensive income						
Net income				200,237		200,237
Unrealized losses on securities, net of € 60 deferred income taxes					(117)	(117)
Foreign currency translation adjustment					(230)	(230)
Total comprehensive income						199,890
Balance December 31, 1999	500,000,000	1,090,500	452,105	1,487,575	(107)	3,030,073
Dividends declared				(140,549)		(140,549)
Stock purchase plan			7,924			7,924
Change in Stock Options			(8,352)			(8,352)
Comprehensive loss						
Net loss				(285,564)		(285,564)
Unrealized losses on securities, net of € 62 deferred income taxes					(121)	(121)
Foreign currency translation adjustment					201	201
Total comprehensive loss						(285,484)
Balance December 31, 2000	500,000,000	1,090,500	451,677	1,061,462	(27)	2,603,612
Comprehensive loss						
Net loss				(104,625)		(104,625)
Unrealized losses on securities, net of € 83 deferred income tax					(162)	(162)
Foreign currency translation adjustment					14,630	14,630
Restatement financial instruments, net of € 5,646 deferred income taxes					(10,959)	(10,959)
Change in fair value of financial instruments, net of € 954 deferred income taxes				(2,102)	(2,102)	
Total comprehensive loss						(103,218)
Balance December 31, 2001	500,000,000	1,090,500	451,677	956,837	1,380	2,500,394

see accompanying notes to consolidated financial statements

Notes to Consolidated Financial Statements
(All amounts in € '000s omitted)

(1) THE COMPANY AND SIGNIFICANT ACCOUNTING POLICIES

Description of business and organization and relationship with the Federal Republic of Austria
Telekom Austria AG and subsidiaries (the Company or Telekom Austria) is engaged as a full service telecommunications provider of long distance, local and wireless services, corporate data communication services as well as internet services. The Company also provides services through pay phones and supplying telephones and technical equipment for telephone communication. These activities are conducted and operated primarily in Austria.

On May 1, 1996, Post und Telekom Austria Aktiengesellschaft (PTA) was incorporated as successor to Post und Telegraphenverwaltung (PTV). The Poststrukturgesetz (Austrian Post Restructuring Act) provided the basis for the separation of PTA from the Federal Republic of Austria. PTA's operations included postal services, telecommunications, coach line services and other activities.

As of December 31, 1997, the postal services, coach line services and other non-telecommunication-related operations of PTA were transferred to different legal entities. The operations remaining related to the telecommunications business and were named Telekom Austria AG.

In 1998, Telecom Italia SpA, through its subsidiary STET International Netherlands NV, became a strategic investor in the Company by acquiring 25% plus one share in Telekom Austria AG from the Austrian government. As of December 31, 2001 Telecom Italia owns 29.8% of Telekom Austria.

Subsequent to these structural changes and the Initial Public Offering in November 2000, the Federal Republic of Austria, through Österreichische Industrie-Holding AG (ÖIAG), continues to be a significant shareholder owning approximately 47.8% of the voting common stock of the Company. In addition to the transactions described in note (7), the Federal Republic of Austria authorizes and supervises the Rundfunk und Telekom Regulierungs – GmbH (RTR), which regulates certain activities of the Company. The government holds the taxing authority for the Austrian operations of Telekom Austria and imposes taxes such as income and value added taxes on the Company.

All of the Company's interests in the mobile communications business are held through its holding in Mobilkom Austria AG & Co KG (Mobilkom Austria KG) and Mobilkom Austria AG and its subsidiaries (Mobilkom Austria). Prior to the change in tax status this group was called Mobilkom Austria AG. The Company owns 75% minus one share of common stock in Mobilkom Austria AG and a 74.999% interest in Mobilkom Austria AG & Co KG. The remaining 25% plus one share of common stock interest in Mobilkom Austria AG and a 25.001% interest in Mobilkom Austria KG are held by AUTEL Beteiligungs GmbH a subsidiary of STET Mobile Holding NV, which is a subsidiary of Telecom Italia Mobile SpA, a publicly-traded subsidiary of Telecom Italia SpA. Telekom Austria does not consolidate Mobilkom Austria for financial reporting purposes due to certain substantive participating rights held by the minority shareholder.

In July 2000, the internet business with private customers of Telekom Austria AG was separated and forms together with Czech On Line (COL) the internet segment beginning in 2001. Comparative figures for 2000 and 1999 in the segment report have been adjusted for consistency of presentation.

Basis of presentation
The consolidated financial statements of Telekom Austria AG have been prepared in accordance with accounting principles generally accepted in the United States of America (U.S. GAAP).

Principles of consolidation
The consolidated financial statements include the accounts of Telekom Austria AG and all material subsidiaries. All significant intercompany transactions and balances have been eliminated in consolidation.

Investments in Mobilkom Austria and certain other companies in which the Company has significant influence, but less than a controlling financial interest, are accounted for using the equity method. Under the equity method, only the Company's investments in and net amounts due to and due from the equity investee are included in the consolidated balance sheet. The Company's share of the investee's earnings is included in the consolidated operating results and only dividends, cash distributions, loans or other cash received or cash paid to the investee are included in the consolidated cash flow.

Comparative statements

The Company has reclassified certain amounts in prior year financial statements to conform to the current period's presentation.

Cash and cash equivalents

The Company considers cash in banks and highly liquid investments with original maturities of three months or less as cash and cash equivalents. Money market deposits with original maturities of more than three months are classified as short-term investments along with marketable securities.

Marketable securities

Marketable debt and equity securities, other than investments accounted for by the equity method, are categorized as either available-for-sale or held-to-maturity. Securities classified as available-for-sale are reported at fair value at the balance sheet date and held-to-maturity securities are reported at amortized cost. Unrealized gains and losses on available-for-sale securities are included in accumulated other comprehensive income, net of applicable deferred tax.

Inventories

Inventories consist of merchandise sold in Telekom shops and of material and spare parts used for the construction of networks, mainly for the Company's own use. Inventories are valued at the lower of cost or market, cost being determined on the basis of weighted average cost.

Property, plant and equipment

Property, plant and equipment are stated at cost and include certain costs which are capitalized during the installation and expansion of the telecommunication network including material, payroll, direct overhead and interest costs. Value added tax (VAT) which is charged by suppliers and refunded by the tax authorities is not included in cost. Plant and equipment under capital leases are stated at the lower of present value of minimum lease payments or fair value.

Depreciation on plant and equipment is calculated on the straight-line method over the estimated useful lives of the assets. Plant and equipment under capital lease and leasehold improvements are amortized on the straight-line method over the lease term or the estimated useful life of the asset, whichever is shorter.

The useful lives are:

	Years
Transmission equipment	3 - 20
Cables and wires	10 - 20
Communication equipment	4 - 10
Software	4 - 5
Furniture, fixtures and other	3 - 8
Buildings	10 - 50

Maintenance and repairs are expensed as incurred while replacements and improvements are capitalized. The cost and accumulated depreciation of assets sold or retired are removed from the accounts, and any resulting gain or loss is reflected in other income or expense.

Intangible assets

Intangible assets are stated at cost and are amortized on the straight-line method over the estimated useful life as shown below, except in cases where the new provisions of SFAS 141, Business Combinations and SFAS 142, Goodwill and Other Intangible Assets are applicable:

	Years
Goodwill	5
Other intangibles	10 – 30

Software development costs

In 1999, the Company adopted Statement of Position (SOP) 98-1, Accounting for the Costs of Computer Software Developed or Obtained for Internal Use. In accordance with this standard, certain direct and indirect development costs associated with internal-use software are capitalized, including external direct costs of material and services, and payroll costs for employees devoting time to the software projects. These costs are amortized using the straight-line method over a period not exceeding four years beginning when the asset is substantially ready for use. Costs incurred during the preliminary project stage, maintenance and training costs, as well as research and development costs are expensed as incurred.

Advertising and promotional costs

Advertising and promotional costs are expensed as incurred and totaled € 75,368, € 73,920 and € 47,661 in 2001, 2000 and 1999, respectively.

Research and development costs

Research and development costs are expensed as incurred and amounted to € 21,817, € 28,190 and € 18,516 in 2001, 2000 and 1999, respectively.

Income taxes

Income taxes are accounted for under the liability method. Deferred tax assets and liabilities are recognized for the future tax consequences attributable to differences between the financial statements carrying amounts of existing assets and liabilities and their respective tax bases and operating losses and tax credit carry-forwards. Deferred tax assets and liabilities are measured using enacted tax rates expected to apply to taxable income in the years in which these temporary differences are expected to be recovered or settled. The effect on deferred tax assets and liabilities of changes in tax rates is recognized as income or expense in the period that includes the enactment date.

The Company recognizes its share of Mobilkom Austria KG's earnings for the year ended December 31, 2001, in earnings from equity investees before tax, whereas they were shown after tax in prior periods. The change was made due to a change in tax status at Mobilkom Austria KG from a taxable entity to a nontaxable limited liability partnership which occurred in the first quarter of 2001, which was effective retroactively to July 1, 2000. As one of the partners in Mobilkom Austria KG, the Company now reports a 74.999% portion of Mobilkom Austria KG's income and expenses in its tax return.

Investment tax credits are recognized as a reduction of income taxes in the period in which those credits are granted.

Earnings per share

Basic and diluted earnings per share are computed by dividing consolidated net income by the weighted average number of common shares outstanding for the year. As the Company will not issue new shares for the stock option plan, but has purchased an American call option to satisfy the obligation, diluted earnings per share equals basic earnings per share, as there were no potentially dilutive securities for any of the periods presented.

All amounts in € '000s omitted

Concentration of risks

A portion of the Company's revenue is derived from services provided to others in the telecommunications industry, mainly to alternative telecommunication and cellular companies and internet online services. As a result, the Company has some concentration of credit risk in its customer base. The Company performs ongoing credit evaluations of its large customers' financial condition to support its receivables. As of the balance sheet dates, the Company does not have any significant concentration of business transacted with a particular supplier or lender that could, if suddenly eliminated, severely impact the operations. The Company also does not have a concentration of available sources of labor, services, franchises, or licenses or other rights that could, if suddenly eliminated, severely impact the operations. The Company invests its cash with several high-quality credit institutions.

Foreign currency translation

The Company prepared its consolidated financial statements in Austrian schilling and then translated them into Euro (€). In the individual company financial statements, foreign currency receivables, cash in banks and liabilities are converted at the exchange rate applicable on the transaction date. Unrealized foreign currency losses and gains due to exchange rate fluctuations through the balance sheet date are recognized in the income statement.

The functional currency for the Company's foreign operations is the applicable local currency. The translation from the applicable foreign currencies to Euro is performed for assets and liabilities using the current exchange rate in effect at the balance sheet date. Revenue and expense accounts are translated using the weighted average exchange rate during the period. The resulting translation adjustments are recorded as other comprehensive income or loss.

Revenue recognition

The Company generates revenues from fixed line services to individuals, commercial and non-commercial organizations and other national and foreign carriers. Fixed line services include access fees, domestic and long distance services, including internet, local and fixed line to mobile calls, international traffic, voice value-added services, interconnection, call center services and public payphone services.

The Company recognizes long distance and local service revenue based upon minutes of traffic processed or contracted fee schedules when the services are rendered. Revenues due from other national and foreign carriers for incoming calls from outside the company's network are recognized in the period the call occurs.

Access fees, monthly base fees and lines leased to commercial customers are billed in advance resulting in deferred revenues. These fees are amortized over the period the service is provided. Cash discounts and incentives are accounted for as a reduction in revenues when granted or, where a service continuation exists, ratably over the contract period.

Product and other service revenues are recognized when the products are delivered and accepted by customers or when services are provided in accordance with contract terms.

The installation of customer lines in residences is a separate service and the Company provides this installation service in situations where it is not providing other services. Revenue on such installation work is recognized when the installation work is completed.

The Company provides mobile communications services to individuals and commercial and non-commercial organizations through Mobilkom Austria, its equity investee. Mobile communication services include digital and analog mobile communications services including value-added services such as text messaging and m-commerce and information services.

Mobilkom Austria recognizes usage and roaming service revenue based upon minutes of traffic processed or contracted fee schedules when the services are rendered. Revenues due from foreign carriers for international roaming calls are included in revenues in the period in which the call occurs.

Certain prepaid usage services are billed in advance resulting in deferred revenues. These fees are amortized over the period the service is provided. Cash discounts and incentives are accounted for as a reduction in revenues when granted or, where a service continuation exists, ratably over the contract period as marketing expense.

Activation fees in excess of related expenses are deferred. Activation fees are recognized as revenues over the average expected contract term. When direct incremental expenses exceed revenues the amounts are not deferred.

Handset sales and other service revenues are recognized when delivered and accepted by customers and when services are provided in accordance with contact terms.

Impairment of long-lived assets and long-lived assets to be disposed of

The Company accounts for long-lived assets in accordance with the provisions of SFAS No. 121, Accounting for the Impairment of Long-Lived Assets and of Long-Lived Assets to Be Disposed of. This Statement requires that long-lived assets and certain identifiable intangibles be reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount of an asset may not be recoverable. Recoverability of assets to be held and used is measured by a comparison of the carrying amount of an asset to undiscounted future net cash flows expected to be generated by the asset. If such assets are considered to be impaired, the impairment to be recognized is measured by the amount by which the carrying amount of the assets exceeds the fair value of the assets. Assets to be disposed of are reported at the lower of the carrying amount or estimated proceeds less cost to sell.

Derivative financial instruments

Prior to the adoption of SFAS 133, derivative instruments which were not designated as hedges of specific assets, liabilities, or firm commitments were marked to market and any resulting gains or losses recognized in earnings. If there was a direct connection between a derivative instrument and an underlying transaction and a derivative was so designated, gains and losses did not affect earnings until the underlying transaction was realized. Upon the adoption of SFAS 133 and SFAS 138 on January 1, 2001, the Company had cash flow hedges only and, therefore, recorded a transition loss of € 11,492, net of tax of € 5,920, and a transition gain of € 533, net of tax of € 275, in other comprehensive income. Additionally the adoption resulted in the recognition of a derivative instrument asset of € 48,359 and a derivative liability of € 17,412.

Effective January 1, 2001, the Company adopted SFAS 133, Accounting for Derivative Instruments and Hedging Activities, as amended by SFAS 137 and SFAS 138 which requires all derivative instruments, such as interest rate swap contracts and foreign-currency exchange contracts, be recognized in the financial statements and measured at fair value regardless of the purpose or intent for holding them. Changes in the fair value of derivative financial instruments are recognized periodically either in income or stockholders' equity (as a component of other comprehensive income), depending on whether the derivative is being used to hedge changes in fair value or cash flows. For derivatives designated as fair value hedges, changes in fair value of the hedged item and the derivative are recognized currently in earnings. For derivatives designated as cash flow hedges, fair value changes of the effective portion of the hedging instruments are recognized in accumulated other comprehensive income in the balance sheet until the hedged item is recognized in earnings. The ineffective portion of the value changes are recognized in earnings immediately. SFAS 133 also requires that certain derivative instruments embedded in host contracts be accounted for separately as derivatives.

Changes in the fair values of derivative financial instruments not qualifying for hedge accounting under SFAS 133 are recorded directly in income.

Fair value of financial instruments

The carrying amounts for cash, accounts receivable, accounts payable, receivables due from and payables due to related parties and accrued liabilities approximate their fair value. The fair values of securities held-to-maturity and securities available-for-sale is based on quoted market rates. The fair value of long-term debt and swap agreements is determined based on the cash flows from such financial instruments discounted at the Company's estimated current interest rate to enter into similar financial instruments.

All amounts in € '000s omitted

The fair value of some investments is estimated based on quoted market prices. For other investments, mainly in unconsolidated subsidiaries and equity investments, for which there are no quoted market prices, an estimate of fair value was not made, as it was not practicable to estimate the fair value of those investments.

Use of estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements, and revenue and expenses during the period reported. Actual results could differ from those estimates.

New accounting pronouncements

In September 2000, the FASB issued SFAS 140, Accounting for Transfers and Servicing of Financial Assets and Extinguishments of Liabilities, a replacement of SFAB Statement No. 125. This statement revises the standards for accounting for securitization and other transfers of financial assets and collateral and requires certain financial statement disclosure. SFAS 140 is effective for transactions occurring after March 31, 2001. The new disclosure requirements are effective for fiscal years ending after December 15, 2000. The impact of implementation was not material.

In July 2001, the FASB issued SFAS 141, Business Combinations, and SFAS 142, Goodwill and Other Intangible Assets. SFAS 141 requires that the purchase method of accounting be used for all business combinations initiated or completed after June 30, 2001. SFAS 141 also specifies criteria intangible assets acquired in a purchase method business combination must meet to be recognized and reported apart from goodwill. SFAS 142 requires that goodwill and intangible assets with indefinite useful lives no longer be amortized, but instead tested for impairment at least annually in accordance with the provisions of SFAS 142. SFAS 142 also requires that intangible assets with definite useful lives be amortized over their respective estimated useful lives to their estimated residual values, and reviewed for impairment in accordance with SFAS No. 121, Accounting for the Impairment of Long-Lived Assets and for Long-Lived Assets to Be Disposed Of and subsequently SFAS 144, Accounting for the Impairment or Disposal of Long-Lived Assets, after its adoption. The Company adopted the provisions of SFAS 141 immediately, and SFAS 142 effective January 1, 2002. Goodwill that was acquired in a business combination completed after June 30, 2001, and any intangible assets determined to have an indefinite useful life that was acquired after June 30, 2001, were not amortized. Goodwill acquired in business combinations completed before July 1, 2001, and intangible assets with indefinite useful lives acquired before July 1, 2001, were amortized until December 31, 2001. As of the date of adoption, the Company has net goodwill totaling € 60,244, which will be subject to the transition provisions of Statements 141 and 142. Amortization expense related to goodwill was € 50,230, € 24,327 and € 408 for the years ended December 31, 2001, 2000 and 1999, respectively.

SFAS 142 requires the Company to evaluate its existing intangible assets and goodwill and to make any necessary reclassification in order to conform with the new requirements at the date of adoption. Upon adoption of SFAS 142, the Company is also required to reassess the useful lives and residual values of all intangibles assets and make any necessary amortization period adjustment by March 31, 2002.

In connection with the transitional impairment evaluation, SFAS 142 requires the Company to perform an assessment of whether there is an indication that goodwill is impaired as of January 1, 2002. To accomplish this, the Company is currently (1) identifying its reporting units, (2) determining the carrying value of each reporting unit by assigning the assets and liabilities, including the existing goodwill and intangible assets to those reporting units, and (3) determining the fair value of each reporting unit. The first step of the transitional assessment is required to be completed by June 30, 2002. If the carrying value of any reporting unit exceeds its fair value, then detailed fair value for each of the assigned assets (excluding goodwill) and liabilities will be determined to calculate the amount of goodwill impairment, if any. This second step is required to be completed as soon as possible, but no later than December 31, 2002. Any transitional impairment loss resulting from the adoption will be recognized as the effect of a change in accounting principle in the Company's statements of operations. Because of the extensiveness of the efforts needed to comply with the adoption of these statements, it is not practicable to reasonably estimate the impact on the Company's financial statements.

All amounts in € ’000s omitted

In August 2001, the FASB issued SFAS 143, Accounting for Asset Retirement Obligations. This Statement addresses financial accounting and reporting for obligations associated with the retirement of tangible long-lived assets and the associated asset retirement costs. SFAS 143 requires an enterprise to record the fair value of an asset retirement obligation as a liability in the period in which it incurs a legal obligation associated with the retirement of a tangible long-lived asset. SFAS 143 also requires the enterprise to record the contra to the initial obligation as an increase to the carrying amount of the related long-lived asset (i.e., the associated asset retirement costs) and to depreciate that cost over the remaining useful life of the asset. The liability is adjusted at the end of each period to reflect the passage of time (i.e., accretion expense) and changes in the estimated future cash flows underlying the initial fair value measurement. Enterprises are required to adopt SFAS 143 for fiscal years beginning after June 15, 2002. The Company expects to adopt SFAS 143 on January 1, 2003. The Company is currently determining the impact of adoption.

In August 2001, the FASB issued SFAS 144, Accounting for the Impairment or Disposal of Long-Lived Assets. This Statement addresses financial accounting and reporting for the impairment or disposal of long-lived assets. This Statement supersedes FASB Statement No. 121 and the accounting and reporting provisions of APB 30. This Statement also amends ARB No. 51 Consolidated Financial Statements to eliminate the exception to consolidation for a subsidiary for which control is likely to be temporary. SFAS 144 is effective January 1, 2002. The adoption is not expected to have a material impact on the Company's financial statements.

(2) BUSINESS COMBINATION

All acquisitions have been accounted for under the purchase method, with the excess of the purchase price over the estimated fair value of the net assets acquired accounted for as goodwill. The results of operations of the acquired businesses are included in the consolidated financial statements from the dates of the acquisition.

In July 2000, the Company acquired 100% of the shares of Czech On Line (COL), an internet service provider in the Czech Republic, for total acquisition cost of € 231,505. The purchase price was allocated to assets based on fair market value and the balance of € 232,070 was recorded as goodwill to be amortized over the estimated useful life of five years. In 2001 and 2000 amortization of € 48,541 and € 23,207 was recorded. In 2001, an impairment charge of € 119,950 was recognized. Proforma financial statements including COL were not prepared as it would not have a material impact on the Company's assets and liabilities, statements of operations or cash flows.

(3) MOBILKOM AUSTRIA

The Company's interests in mobile communications are held through Mobilkom Austria, which operates a mobile telecommunications network and ancillary services in Austria and through its subsidiaries in Croatia, Slovenia and Liechtenstein. The operations include wireless internet access.

Telekom Austria holds a 74.999% interest in Mobilkom Austria. Due to certain substantive participating rights held by the minority, the Company's investment in Mobilkom Austria is accounted for under the equity method. These participation rights include significant blocking rights over operating decisions including operating budgets, capital spending, senior management positions, strategy and dividend distributions.

The Company's investment in and amounts due to and from the mobile communications group at December 31, 2001 and 2000 consist of the following:

	2001	2000
Investment		
Beginning of year	601,031	540,719
Equity in net income	199,441	125,716
Effect of change in tax status (Note 17)	(100,614)	0
Dividends received	(199,302)	(65,950)
Other	(984)	546
End of year	499,572	601,031

All amounts in € '000s omitted

The following table presents summarized financial information of Mobilkom Austria:

	2001	2000
Income statement information		
Revenues	1,713,179	1,501,048
Depreciation and amortization	(267,784)	(174,442)
Operating income	303,523	262,106
Interest, net	(29,392)	(17,095)
Minority interest	(10,146)	529
Income before taxes	265,417	243,490
Net income	131,772	167,456

	2001	2000
Balance sheet information		
Total current assets	385,963	358,662
Total assets	2,214,101	1,921,469
Current liabilities	606,820	439,708
Non-current debt	917,342	666,285
Minority interest	21,832	14,090
Stockholders' equity	668,107	801,386

(4) OTHER EQUITY INVESTEES

The investments in other equity investees include a 26% holding in Herold Business Data (Herold), a 49% interest in Walky Talky Telekom GmbH (Walky Talky) and a 26% interest in Omnimedia Werbegesellschaft mbH (Omnimedia).

In 1998, the Company acquired a 26% interest in Herold, which is engaged in the media and information business and is the provider of the telephone directory in Austria including electronic versions. Goodwill is being amortized over five years and amortization for each of the years 2001, 2000 and 1999 was € 841.

In April 2000, the Company acquired 49% of Walky Talky for a purchase price of € 7,703. Walky Talky mainly leases radio frequencies to organizations providing emergency services. Goodwill is being amortized over five years and amortization for the year 2001 and 2000 was € 598 and € 598. In 2001 an impairment charge of € 2,789 was recorded.

On March 1, 2000, the Company purchased 25% plus one share of common stock of Libro, a retailer for books, CD, video, paper and a new media company. The purchase price for the investment totaled € 90,537. The investment in Libro was made mainly to develop the internet company. The strategy of the Company to build up this internet company together with Libro was not successful. The investment in Libro was written down to the Company's share of Libro's equity of € 0 as of December 31, 2000. In July 2001, the Company sold its share in Libro for one Austrian schilling.

In October 2001, the Company purchased 26% of the common stock of Omnimedia, a marketing and advertising company for € 3,401. In accordance with SFAS 141 and 142, goodwill totaling € 3,161 was not amortized in 2001.

All amounts in € '000s omitted

A summary of aggregated financial information as reported by equity investees other than Mobilkom Austria is as follows:

	2001	2000	1999
Income statement information			
Revenues	140,654	333,561	50,087
Operating income (loss)	10,922	(35,306)	6,937
Net income (loss)	6,867	(45,790)	4,757

At December 31,	2001	2000
Total current assets	86,185	288,579
Total assets	97,382	408,301
Current liabilities	72,021	387,319
Long-term debt	2,921	3,073
Total liabilities	74,942	390,392
Total stockholders' equity	22,440	17,909

(5) MARKETABLE SECURITIES

Debt securities originating from cross border lease transactions entered into in 1998 and 1999 (see note (14)) are classified as held-to-maturity as the Company is contractually obligated to hold these securities until maturity. The securities are bonds of triple A rated issuers and held by a custodian. Through a further asset based swap the cash inflows from the securities are transformed into the cash flow stream required to match a specified portion of the lease payments. The securities are pledged to a counter-party in the swap agreement. No sales of securities occurred in 2001, 2000 and 1999. The interest rates on the securities are fixed and range from 5.65% to 9.01%. Accrued interest is recorded as interest income. The securities will mature between 2006 and 2011.

	Amortized cost	Gross unrealized holding gains	Gross unrealized holding losses	Fair value
At December 31, 2001				
Current assets				
Available-for-sale, Mutual funds	8,747	20	244	8,523
Non-current assets				
Held-to-maturity	158,274	4,308	0	162,582
At December 31, 2000				
Current assets				
Available-for-sale, Mutual funds	5,960	86	84	5,962
Non-current assets				
Held-to-maturity	144,161	0	990	143,171

The contractual maturity of debt securities classified as held-to-maturity were as follows at December 31, 2001:

	Amortized cost	Fair value
Held-to-maturity		
Due after one year through five years	7,909	8,392
Due after five years through ten years	150,365	154,190
Total	158,274	162,582

All amounts in € '000s omitted

Available-for-sale securities are included in short-term investments among current assets. Held-to-maturity securities are reported within non-current assets on the balance sheet.

Proceeds from sales of available-for-sale securities amounted to € 8 and € 13,749 in 2001 and 1999, respectively. Gross realized gains from sales of available-for-sale securities were € 203, while gross realized losses were € 545 in 1999. In 2001 and 2000 no such gains or losses occurred. The specific identification method was used to determine the cost in computing realized gains and losses.

(6) ACCOUNTS RECEIVABLE

The roll forward of the allowance for accounts receivable is as follows:

	2001	2000
Allowance beginning of the year	72,168	61,423
Charged to expenses	15,069	26,483
Amounts written-off	(40,163)	(15,738)
Allowance at the end of the year	47,074	72,168

(7) RELATED PARTY TRANSACTIONS

The disclosures below present balances and transactions relating to the immediate shareholder ÖIAG and its subsidiary Österreichische Post AG as ÖIAG, while other government agencies and government-owned entities are for practical reasons not disclosed. None of the individual accounts associated with government agencies or government-owned entities is considered significant to the Company.

The majority of the related party transactions is carried out with Mobilkom Austria. The Company charged Mobilkom Austria for interconnection fees, voice telephony, rent, repair and other services. Mobilkom Austria charged the Company mainly for interconnection fees.

Österreichische Post AG and its subsidiaries (the Post), a subsidiary of ÖIAG, which provide postal services, charged the Company for services received such as postal charges, rent, repair and administration. The Company charged the Post for IT support, voice telephony, technical services, rent, repair and other services.

The terms of the services provided by Telekom Austria to government entities are generally based on standard pricing policies. However, the Company is obligated to provide voice telephone services for disadvantaged individuals at reduced tariffs for which it is entitled to an appropriate compensation from the government on a contractual basis. The reimbursement was € 43,032, € 83,574 and € 39,970 in 2001, 2000 and 1999, respectively. The reimbursement in 2000 was a result of negotiations with the government which led to an additional one time payment for the remaining amounts for the years 1998, 1999 and 2000. Beginning January 1, 2001, the new contract with the government specifies the reimbursement of € 13.81 per customer per month, which is recorded as revenue in the service period.

Telecom Italia and subsidiaries charged the Company for technical and management services and interconnection fees while the Company charged Telecom Italia for interconnection services.

One of the Company's consolidated subsidiaries, Telekom Finanzmanagement GmbH (TFG), provides treasury services for the Company, Mobilkom Austria and, until December 29, 2000 for subsidiaries of ÖIAG. The Company was charged interest expenses of € 12,659 and € 27,884 and recognized interest income of € 128 and € 1,975 with ÖIAG in 2000 and 1999, respectively. In connection with treasury and financing transactions with Mobilkom Austria, the Company was charged interest of € 731, € 386 and € 3,414 in 2001, 2000 and 1999, respectively, and charged Mobilkom Austria for interest in an amount of € 17,619 and € 3,010 in 2001 and 2000.

All amounts in € '000s omitted

The Company holds investments accounted for under the equity method of accounting in an amount of € 510,682 and € 612,962 as of December 31, 2001 and 2000, respectively, essentially all of which relates to Mobilkom Austria.

On June 28, 2001, a partner in a law firm which provides legal services to the Company was elected to the supervisory board. In 2001, the Company was charged € 409 for legal services, since the day of appointment, by that law firm.

The following is the detail of the accounts receivable with related parties:

At December 31,	2001	2000
ÖIAG	11,590	18,253
Unconsolidated subsidiaries	146	168
Other equity investees	89	946
Mobilkom Austria – accounts receivable	25,691	14,539
Mobilkom Austria – financing short-term	68,463	0
Total receivables due from related parties	105,979	33,906
Mobilkom Austria – financing long-term	218,018	218,018

The following is the detail of the accounts payable with related parties:

At December 31,	2001	2000
ÖIAG	4,761	3,019
Telecom Italia	1,663	3,108
Unconsolidated subsidiaries	190	386
Other equity investees	8,533	3,152
Mobilkom Austria – accounts payable	835	2,486
Mobilkom Austria – financing short-term	0	18,358
Total	15,982	30,509

The following is the detail of revenues and expenses charged from and to related parties:

Year ended December 31,	2001	2000	1999
Revenues			
Mobilkom Austria	222,231	216,727	187,445
ÖIAG	55,344	63,905	69,880
Telecom Italia	13,448	9,186	5,645
Other	2,436	0	0
Total	293,459	289,818	262,970
Expenses			
Mobilkom Austria	207,172	221,005	224,793
ÖIAG	66,421	61,490	110,294
Telecom Italia	25,841	26,599	9,777
Other	15,335	0	0
Total	314,769	309,094	344,864

All amounts in € '000s omitted

(8) INVENTORIES

Inventories consist of:

At December 31,	2001	2000
Spare parts, cables and supplies	47,758	61,242
Merchandise	8,028	13,534
Total	55,786	74,776

(9) PROPERTY, PLANT AND EQUIPMENT

Property, plant and equipment transferred to the Company by the government was recorded upon transfer at cost less accumulated depreciation as of that date. Acquisitions since then have been recorded at cost.

At December 31,	2001	2000
Land	64,031	64,626
Buildings and leasehold improvements	655,807	647,743
Communications network and other equipment	7,819,867	7,597,658
Capital leases	6,779	13,590
Software	105,686	71,953
Construction in progress, network	102,143	97,911
	8,754,313	8,493,481
Less accumulated depreciation (other than capital leases)	(4,157,643)	(3,412,643)
Less accumulated depreciation, capital leases	(4,913)	(11,331)
Property, plant and equipment, net	4,591,757	5,069,507

Total interest capitalized was € 2,893, € 3,876 and € 10,719 in 2001, 2000 and 1999, respectively.

Depreciation expense was € 875,912, € 889,088 and € 862,248 in 2001, 2000 and 1999, respectively. These amounts include amortization of software of € 24,276, € 16,499 and € 20,178 in 2001, 2000 and 1999, respectively, and amortization of leased assets of € 1,025, € 2,611 and € 2,831 in 2001, 2000 and 1999, respectively.

(10) SHORT-TERM BORROWINGS

The Company's short-term borrowings include:

At December 31,	2001	2000
Current portion of long-term debt	413,470	475,589
Short-term debt	471,768	386,672
Lines of credit	5,354	2,486
Current portion of lease obligations	87,500	81,245
Total	978,092	945,992

The weighted-average interest rate on lines of credit was 4.77% and 4.78% in 2001 and 2000, respectively. As of December 31, 2001 the Company has an unused credit line of € 100,000.

All amounts in € '000s omitted

(11) ACCRUED LIABILITIES

Accrued liabilities consist of the following:

At December 31,	2001	2000
Non-income taxes	10,138	17,606
Employees	57,928	58,113
Customer discounts	41,122	64,886
Exit cost	1,912	10,376
Other	20,196	21,998
Total	131,296	172,979

In establishing liabilities management assesses different scenarios of reasonably estimated outcomes in determining the amount that the Company is expected to pay upon the resolution of a contingency. The Company records the most likely of all scenarios contemplated or, if none of the scenarios is more likely to occur, the scenario with the lowest amount is considered in estimating the amount of the liability.

At December 31, 2000, an accrual for exit costs in the amount of € 10,376 was recorded. The accrual related to the refurbishment cost of leased buildings as the lease contracts were terminated. In 2001, € 7,861 of these exit cost accruals were released into income as the contractual counter-parties agreed in writing to accept the return of the leased buildings without refurbishment. In 2001, a new exit cost accrual for € 1,912 was recorded for cost of leased buildings as the lease contracts were terminated in 2001 and the leased buildings need to be refurbished in accordance with the contracts.

(12) DEFERRED INCOME

At December 31,	2001	2000
Unearned income	48,728	59,681
Unamortized balance on sale of tax benefits	54,558	44,232
	103,286	103,913
Thereof non-current portion	(48,020)	(37,405)
Thereof deferred income net of non-current portion	55,266	66,508

Additional information concerning the sale of the tax benefits is contained in note (14), Leasing.

(13) LONG-TERM DEBT

The outstanding long-term debt, other than lease obligations are summarized as follows:

At December 31,	Maturity	2001	2000
Bonds and debentures	2002-2005	249,641	313,409
Bank debt	2002-2011	2,169,055	2,516,038
		2,418,696	2,829,447
Less current portion of long-term debt		(413,470)	(475,589)
Long-term debt, net of current portion		2,005,226	2,353,858

Most of the bonds were issued and loans granted while the Company was still part of the government. Of the bank total debt, amounts of € 2,032,650 and € 2,444,132 at December 31, 2001 and 2000, respectively, are guaranteed by the Federal Republic of Austria.

All amounts in € '000s omitted

In March 2000, the Company entered into a loan agreement for € 145,000 with the European Investment Bank. Under the terms of this agreement, the Company must observe covenants requiring the Company to meet certain financial ratios. If these ratios are not met, the bank would be entitled to receive collateral from the Company. As of December 31, 2001, the Company was in compliance with these covenants.

Further, in October 2000 the Company entered into a loan agreement for € 232,553. Under the terms of the contracts the Company has to maintain certain investments, otherwise the loan becomes due. As of December 31, 2001, the Company was in compliance with these covenants. The interest rates vary depending on the rating of the Company.

The year end interest rates for the long-term debt excluding interest rate swap agreements for 2001 and 2000 are as follows:

	2001	2000
Bonds	4.32%	5.95%
Bank loans	5.42%	5.84%

Following is a table that shows the aggregate amounts of long-term debt maturing during the next five years and thereafter:

2002	413,470
2003	354,580
2004	331,028
2005	517,838
2006	447,569
Thereafter	354,211

(14) LEASING

The Company leases equipment used in its operations which are classified as either operating or capital leases. The lease contracts expire on various dates through 2010.

Future minimum lease payments for noncancelable operating leases, capital leases and cross border leases as of December 31, 2001 are:

	Cross border leases	Capital leases	Operating leases
2002	82,421	5,079	36,817
2003	101,154	2,594	34,013
2004	111,380	116	28,556
2005	121,996	30	24,342
2006	139,458	17	23,347
after 2006	1,162,273	0	105
Total minimum lease payments	1,718,682	7,836	147,180
Less amount representing interest	(551,837)	(307)	
Present value of lease payments	1,166,845	7,529	
Less current portion	(82,421)	(5,079)	
Non-current lease obligations	1,084,424	2,450	

Total rent expense was € 52,130, € 52,299 and € 45,066 in 2001, 2000 and 1999, respectively.

All amounts in € '000s omitted

Cross border leases

In 1999 and 1998, the Company entered into various cross border lease transactions whereby certain equipment items, mainly switches were sold to a U.S.-based trust and leased back over certain terms. Concurrent with the inception, the Company entered into Payment Undertaking Agreements (PUA) with several counter-parties whereby the counter-parties agree to make lease payments on behalf of the Company in exchange for a deposit. The counter-parties in the PUAs received upfront payments equaling € 509,285 and € 113,763 for a portion of the debt assumed in 1999 and 1998, respectively. Interest accruing on the cash deposits match interest on the debt portion financed through the deposit. In addition to the cash deposits made, the Company purchased debt securities, deposited those securities with a custodian and pledged the securities to one of the counter-parties in the PUA; the balance is to cover the remaining portion of the present value of the lease obligation not yet covered by the cash deposit made by the Company. The Company then also entered into a swap agreement with that very counter-party swapping the entire cash flows from the securities for cash flows from the portion of the lease payments that the counter-party is obligated to pay under the PUA. As a result of the swap agreement, interest income on the securities matches interest expense on the lease.

In 2001, two banks issued letters of credit to the trust for the liabilities of the Company totaling € 118,860 (US $ 104,751).

In 2001, the Company entered a cross border lease transaction whereby certain equipment items, mainly switches were leased to a U.S.-based trust and leased back over certain terms. Concurrent with the inception, the Company entered into Payment Undertaking Agreements (PUA) with several counter-parties whereby the counter-parties agree to make lease payments on behalf of the Company in exchange for the upfront lease payments received under the head lease. The counter-parties in the PUAs received upfront payments equaling € 200,526 for a portion of the debt assumed in 2001. In addition to the PUAs the Company provided a loan of € 66,554 to the U.S.-based trust. Interest accruing on the PUAs and the loan match interest on the debt portion.

The difference between the cash proceeds from the sale and the present value of the future minimum lease payments represents a gain on the sale of a tax benefit. The net cash effect resulting from these transactions relates to the total gain from the sale of the tax benefits which amounted to € 14,547, € 44,437 and € 7,337 in 2001, 1999 and 1998, respectively. The Company is amortizing these amounts over the term of the lease. The cash deposits, the securities purchased in connection with the PUA contracts and the upfront payments received for the head lease and the lease obligations are recorded separately on the balance sheets as the Company has not been released from their obligation under the lease and a legal right of offset does not exist. Accordingly, interest income and expenses totaling € 58,598, € 56,773 and € 30,261 have been recognized in 2001, 2000 and 1999, respectively.

Total assets and liabilities recorded in connection with the cross border leases were as follows:

At December 31,	2001	2000
Securities held-to-maturity, non-current	158,274	144,161
Other assets	1,008,572	729,879
Thereof current	82,421	77,012
Lease obligations	1,166,846	874,040
Thereof current	82,421	77,012

All amounts in € '000s omitted

(15) EMPLOYEE BENEFITS

Long term liabilities for employee benefits consist of the following:

At December 31,	2001	2000
Post employment benefit obligation	287,300	358,128
Service awards	59,186	60,289
Severance	21,751	20,205
Pensions	9,888	9,914
Total	378,125	448,536

Post employment benefit obligation

In June 2000, June 1999 and in November 1997, the Company offered voluntary retirement incentive programs (VRIPs) to eligible civil servants meeting the criteria detailed in the programs.

As of December 31, 2001, 2,527 employees had accepted the VRIP offers. In connection with the VRIPs, the Company made payments of € 68,456, € 61,985 and € 51,376 in 2001, 2000 and 1999, respectively.

An obligation for voluntary termination benefits is recognized when the eligible civil servant, who cannot be terminated involuntarily, accepts the offer. The present value of the obligation is determined based on current compensation levels and the law. An annual increase of 2.5% for future years and a discount rate of 4.5% are used. VRIPs are not funded.

Any change in the estimate caused by changes in the law will be realized in the period of the change. In 2001 the accrual decreased because about 30 employees retired due to health reasons who are then immediately covered by the governmental retirement plan and the Company is released from its obligation. Additionally, in 2001 a new law clarified the components included in the base salaries on which future payments under the social plan depend on. As these amounts were lower than estimated last year by management, this also resulted in a partial release of the accrual.

Actuarial assumptions

The assumptions used in the measurement of obligations for service awards, severance payments and pensions are shown in the following table:

At December 31,	2001	2000
Actuarial assumptions		
Discount rate	5.0%	5.5%
Rate of compensation increase	3.6%	3.5%
Rate of increase of pensions	1.7%	1.7%

Service awards

Civil servants and employees (together employees) are eligible to receive service awards. Under these plans, eligible employees receive a cash bonus after a specified service period. The bonus is equal to two months salary after 25 years of service and four months salary after 40 years of service. Employees with at least 35 years of service when retiring are also eligible to receive a bonus equal to four months salary. The compensation is accrued as earned over the period of service taking into account estimates of employees whose employment will be terminated or who will retire prior to reaching the required service period. All actuarial gains and losses are recognized immediately in the period realized, therefore, the accrual represents the entire obligation.

All amounts in € '000s omitted

The following table provides a reconciliation of the changes of service award for the years ended December 31, 2001 and 2000, respectively:

	2001	2000
Accrual at the beginning of the year	60,289	54,737
Service cost	2,433	2,352
Interest cost	3,255	2,931
Recognized actuarial losses (gains)	(1,967)	3,574
Benefits paid	(4,824)	(3,305)
Accrual at the end of the year	59,186	60,289

Severance

Certain employees are eligible to receive severance payments upon termination of their employment. Civil servants generally are not eligible to receive severance payments.

Eligible employees receive severance payments equal to a multiple of their monthly compensation which comprises fixed compensation plus variable elements like overtime and bonus. Maximum severance is equal to a multiple of twelve times eligible monthly compensation. Up to three months of benefits are paid upon termination, any benefit in excess of that amount are paid in monthly installments over a period not exceeding ten months. In case of death, the heirs of an eligible employee will receive 50% of the severance benefits.

In 2001, the Company managed to reduce headcount mainly of the civil servants, which resulted in additional expense, a settlement/curtailment loss of € 1,876.

The following table provides a reconciliation of the changes of severance benefit obligations for the years ended December 31, 2001, 2000 and 1999, respectively:

	2001	2000	1999
Service cost	1,893	1,452	1,119
Interest cost	924	816	744
Amortization of unrecognized net obligation	29	0	0
Settlement/curtailment loss	1,876	0	0
Net periodic benefit cost	4,722	2,268	1,863

	2001	2000
Projected benefit obligation at the beginning of the year	16,328	15,056
Service cost	1,893	1,452
Interest cost	924	816
Actuarial losses	6,658	951
Settlement/curtailment loss	1,876	0
Benefits paid	(5,264)	(1,947)
Projected benefit obligation at the end of the year	22,415	16,328
Unrecognized net actuarial losses	(7,968)	(1,340)
Accrued liability at the end of the year	14,447	14,988
Voluntary severance payments	7,304	5,217
Total accrued liabilities at the end of the year	21,751	20,205

The liability for voluntary severance payments also relates to individuals, who are generally not entitled to severance payments, but have accepted a special offer by the Company to receive severance payments when terminating their contract.

All amounts in € '000s omitted

Pensions

Defined contribution pension plans

Pension benefits are generally provided by social security for employees and by the government for civil servants in Austria. The Company is required to assist in funding the Austrian government's pension and health care obligations to the Company's current and former civil servants and their surviving dependents. The Company was legally obligated to make annual contributions to the government of 27.5% until September 30, 2000, of the compensation of active civil servants (including contributions from the civil servants). The contribution to the government was increased to 28.9% in 2001. Beginning October 2005 the contribution will be reduced to 28.3%. The Company has no additional obligation. Contributions to the government, net of the share contributed by the civil servants, were € 56,380, € 59,064 and € 62,402 in 2001, 2000 and 1999, respectively.

In 2000 and 1999, the Company sponsored a defined contribution plan covering substantially all employees of one subsidiary. In 2001, this plan was also offered to the employees of Telekom Austria and all its other Austrian subsidiaries. The Company's contributions to this plan are based on a percentage of the compensation not exceeding 5% of the salaries. The annual cost of this plan amounted to approximately € 4,669, € 1,364 and € 660 in 2001, 2000 and 1999, respectively.

Defined benefit pension plan

The Company provides defined benefits for certain former employees of one subsidiary. All of those employees are already retired and were employed prior to January 1, 1975. This unfunded plan provides benefits based on a percentage of the salary depending on the years employed not exceeding 80% of the salary before retirement including the pension provided by social security.

The Company uses the projected unit credit method to determine pension cost for financial reporting purposes. In conjunction with this method the Company amortizes actuarial gains and losses using the corridor method.

The pension benefits for 2001, 2000 and 1999 are shown in the following table:

	2001	2000	1999
Service cost	0	0	0
Interest cost	504	695	711
Amortization of unrecognized net obligation	343	343	342
Net periodic pension benefit cost	847	1,038	1,053

The following table provides a reconciliation of the changes of benefit obligations for the years ended December 31, 2001 and 2000, respectively:

	2001	2000
Projected benefit obligation at the beginning of year	9,145	12,062
Service cost	0	0
Interest cost	504	695
Actuarial losses (gains)	90	(2,638)
Benefits paid	(813)	(974)
Projected benefit obligation at the end of the year	8,926	9,145
Unrecognized net gain	1,647	1,797
Unrecognized transitional obligation	(685)	(1,028)
Accrued pension liability	9,888	9,914

All amounts in € ’000s omitted

(16) STOCK BASED COMPENSATION

Stock option plan

On October 4, 2000, the shareholders of Telekom Austria approved a stock option plan. Under this plan, the Company may grant a total of 3,832,248 options, each of which entitle eligible grantees upon exercise of the option to receive at their choice either cash equal to the difference between the average quoted price of Telekom Austria stock during the five trading days preceding the exercise and the IPO price of € 9 or shares at an exercise price of € 9. One option is convertible into one share. The options granted may be exercised on specific dates between May 31, 2002, and February 27, 2004, as long as the average share price during the five days prior to exercise exceeds the initial public offering price by 30% or more. The Company will recognize compensation expense over the applicable service periods if the performance hurdles are met.

On November 21, 2000, the Company granted all 3,832,248 options, all of which are outstanding as of December 31, 2000. In 2001, 700,889 options were forfeited, therefore, 3,131,359 options are outstanding as of December 31, 2001.

As the stock option plan is accounted for in accordance with APB Opinion 25 and related interpretations, the amount of the liability is measured each period based on the current stock price. As the stock price as of December 31, 2001 and 2000 did not exceed the hurdle, no compensation expense was recorded in 2001 and 2000.

On November 21, 2000, Telekom Austria purchased 3,832,248 American call options for a premium of € 12,527. The expiration date is February 27, 2004. The underlying share of the American call option is the share of Telekom Austria AG. The strike and execution price of the call option is € 9 and settlement is either physical delivery of the shares or cash, at the request of Telekom Austria. The American call option will be used to satisfy any obligation resulting from the stock option plan. The American call option is recorded net of tax of € 4,162 in stockholders' equity.

Stock purchase plan

ÖIAG, the selling shareholder, approved a stock purchase plan for employees of Telekom Austria and its subsidiaries in which the Company has at least a 50% interest. Under the stock purchase plan, each eligible employee was allowed to purchase shares worth up to € 1.8 at a total discount of 45% from the offering price made up of the 5% Austrian retail discount and an additional 40% employee discount if they purchase at least € 0.7 worth of shares. The maximum benefit to each employee was € 0.7. The Company reported a capital contribution by ÖIAG of € 7,924 and compensation expense of € 7,196.

(17) INCOME TAXES

Income before income taxes, minority interest, extraordinary items and equity in earnings of affiliates excluding Mobilkom Austria, and for 2000 and 1999, before equity in earnings of all affiliates, is attributable to the following geographic locations:

	2001	2000	1999
Domestic	(196,558)	(496,498)	97,946
Foreign	(1,018)	(756)	0
Total	(197,576)	(497,254)	97,946

The principal component of equity in earnings of affiliates relates to Mobilkom Austria. Through the year 2000, Mobilkom Austria's income was reported on an after-tax basis and was, therefore, excluded from the Company's tax calculation. Following Mobilkom Austria AG's change to a limited partnership in the first quarter of 2001 (now Mobilkom Austria AG & Co KG; Mobilkom Austria KG), it became a non-taxable entity with retroactive effect to July 1, 2000. Each partner includes its proportion of Mobilkom Austria KG's income in its tax return (thereof, 74.999% by the Company). Income taxes relating to earnings in Mobilkom Austria KG for 2001 as well as the tax effects of temporary differences of Mobilkom Austria KG are now reflected as income taxes of the Company.

All amounts in € '000s omitted

Income tax expense (benefit) attributable to income before extraordinary items for the years ended December 31, consisted of the following:

	2001	2000	1999
Domestic			
Current	(292)	68	20,759
Deferred	(94,278)	(178,784)	(6,270)
	(94,570)	(178,716)	14,489
Foreign			
Deferred	(343)	(113)	0
Total	(94,913)	(178,829)	14,489

Total income tax provision (benefit) was recorded as follows:

	2001	2000	1999
Continuing operations	(94,913)	(178,829)	14,489
Extraordinary charges	0	(1,779)	(355)
Income tax in other comprehensive income	(6,683)	(62)	(60)
Total	(101,596)	(180,670)	14,074

The Company is subject to income taxes in Austria at a rate of 34% of taxable income. The following table shows the principal components for the difference between the actual income tax (benefit) expense and the expected tax (benefit) expense based upon the Austrian statutory income tax rate applied to income before income taxes, equity in earnings of affiliates excluding Mobilkom Austria and extraordinary items and, for 2000 and 1999, before equity in earnings of all affiliates.

	2001	2000	1999
Income tax (benefit) expense at statutory rate	(67,176)	(169,066)	33,301
Tax credits	(2,105)	(19,613)	(20,500)
Tax-free income from investments	(1,603)	(12,913)	(40,306)
Nondeductible goodwill	647	8,700	425
Equity investees	9,764	12,347	39,939
Tax benefit recognized for prior year impairment	(30,783)	0	0
Tax benefit recognized for prior year goodwill amortization	(9,297)	0	0
Increase in valuation allowance	5,456	0	0
Other	184	1,716	1,630
Income tax expense (benefit)	(94,913)	(178,829)	14,489
Effective income tax rate	48.0%	36.0%	14.8%

Tax credits in 2000 and 1999 mainly comprises investment tax credits.

All amounts in € ’000s omitted

The tax effects of temporary differences that give rise to deferred tax assets and liabilities at December 31 are shown below. The figures for 2001 reflect the tax effects of temporary differences relating to Mobilkom Austria KG.

	2001	2000
Tax assets		
Goodwill	108,588	12
Long term investment	82,467	4
Trade payables	0	2,975
Accounts receivable	2,040	1,445
Net operating loss carryforward	193,325	201,558
Long-term debt	15,707	16,178
Other	13,735	12,906
Total deferred tax assets	415,862	235,078
Valuation allowance	(5,456)	0
Deferred tax assets, net of valuation allowance	410,406	235,078

	2001	2000
Tax liabilities		
Property, plant and equipment	(48,313)	(55,340)
Other current liabilities	(1,067)	(13,112)
Other assets	(17,543)	(12,292)
Untaxed reserves	(3,206)	(4,081)
Employee benefit obligation	(8,714)	(18,590)
Other	(4,340)	(6,415)
Total deferred tax liabilities	(83,183)	(109,830)
Net deferred tax	327,223	125,248

At December 31, 2001, the Company had approximately € 552,878 of net operating losses. Thereof € 3,634 relate to a foreign subsidiary. The expiration dates are as follows:

Years	Amount
2003	113
2005	1,216
2006	1,333
2008	972
Total	3,634

The remaining amount of net operating losses is not subject to an expiration period.

In assessing the recoverability of deferred tax assets, management considers whether it is more likely than not that all the deferred tax assets will be realized. The ultimate realization of deferred tax assets is dependent upon the generation of future taxable income during the periods in which those temporary differences become deductible. Management considers the scheduled reversal of deferred tax liabilities and projected future taxable income in making this assessment. Based on the level of historical taxable income and projections for future taxable income over the periods in which the deferred tax assets are deductible, management believes it is more likely than not the Company will realize all the benefits of these deductible differences.

All amounts in € '000s omitted

As a consequence of becoming a non-taxable entity, Mobilkom Austria wrote off the net deferred tax assets relating to Mobilkom Austria KG by charging income tax expense in 2001. The Company's share of this write-off is recorded by a charge to income tax expense. This charge has been effectively offset by the Company now recording the net deferred tax assets relating to Mobilkom Austria KG, resulting in an equal credit in income tax expense.

(18) FINANCIAL INSTRUMENTS

Derivative financial instruments are used by the Company to manage its exposure to adverse fluctuations in interest and foreign exchange rates. The Company has established a control environment which includes policies and procedures for risk assessment, approval, reporting and monitoring of derivative financial instrument activities. The Company is not a party to leveraged derivatives and the policies prohibit the holding or issuing of financial instruments for speculative purposes.

The Company enters into various types of financial instruments in the normal course of business including derivative financial instruments, for purposes other than trading.

By their nature, all such instruments involve risk, including market risk and credit risk of nonperformance by counter-parties, and the maximum potential loss may exceed the amount recognized in the balance sheets. However, at December 31, 2001 and 2000, in management's opinion the probability of nonperformance of the counter-parties in these financial instruments was remote.

Credit risk

The Company monitors its exposure to credit risk. The Company does not have any significant exposure to any individual customer or counter-party, nor does it have any major concentrations of credit risk related to any financial instruments other than noted under section concentration of credit risk in significant accounting policies.

The Company does not require collateral in respect of financial assets. In order to reduce the risk of nonperformance by the other parties to swap agreements, the contracts are subject to the International Swap Dealers Agreement.

Market risk

The market risk is monitored by using value at risk models for interest rate as well as currency risk for the long-term debt and derivative portfolio.

Information with respect to cash flow hedges

Changes in the fair value of interest rates swaps designated as hedging instruments of variability of cash flows associated with variable rate long term debt are reported in accumulated other comprehensive income. These amounts are subsequently classified into financial income as a yield adjustment in the same period in which the related interest on the floating-rate debt obligations affect earnings. In 2001 no hedge ineffectiveness occurred.

Interest rate swap agreements

The Company entered into interest rate swaps to reduce the aggregate exposure to changes in floating interest rates of the debt portfolio. Fixed interest rate payments as of December 31, 2001, ranged from 6.7% to 3.0%. Floating-rate payments are based on rates tied to different inter-bank offered rates.

The following table indicates the types of swaps in use at December 31, 2001 and 2000, and their weighted-average interest rates and the weighted-average remaining terms of the interest rate swap contracts. Average variable rates are those in effect at the reporting date and may change significantly over the lives of the contracts:

All amounts in € '000s omitted

	2001	2000
Variable to fixed swaps in €		
Notional amount in €	181,682	218,019
Average receive rate	4.01%	5.18%
Average pay rate	6.38%	6.20%
Average maturity in years	3.0	3.5

	2001	2000
Variable to fixed swaps in Japanese Yen (JPY)		
Notional amount in JPY	10,000,000	10,000,000
Notional amount in €	86,708	93,528
Average receive rate	0.02%	0.54%
Average pay rate	3.15%	3.15%
Average maturity in years	2.5	3.5

Foreign exchange agreements

The Company entered into foreign currency denominated loans, because of low interest rates connected to loans denominated in Japanese Yen and Swiss Francs (SFR). The use of cross currency swaps allows the Company to reduce the exposure to the risk of adverse changes in exchange rates. Fixed interest rates as of December 31, 2001, range from 6.4% to 8.0%.

Additionally, the Company entered into a foreign currency forward contract to cover the exposure from a loan and interest payments denominated in Swiss Francs.

The following table indicates the types of foreign exchange agreements in use at December 31, 2001 and 2000, and if applicable their weighted-average interest rates, the weighted-average remaining terms and the respective exchange rates of the contracts:

	2001	2000
Cross Currency Swaps € – SFR		
Notional amount in €	235,028	235,028
Notional amount in SFR	400,000	400,000
Average receive rate – SFR	5.58%	5.58%
Average pay rate – €	7.74%	7.74%
Average maturity in years	2.7	3.7
Cross Currency Swaps € – JPY		
Notional amount in €	73,554	73,554
Notional amount in JPY	10,000,000	10,000,000
Average receive rate – JPY	3.15%	3.15%
Average pay rate – €	6.41%	6.41%
Average maturity in years	2.5	3.5
Foreign Currency Forward Contract – SFR		
Notional amount in €	74,446	0
Notional amount in SFR	105,906	0
Forward exchange rate	1.42	
Exchange rate as of the balance sheet date	1.48	
Term of the contract	Nov. 2002	

All amounts in € ’000s omitted

The notional amounts of the derivative instruments above do not represent amounts exchanged by the parties and, therefore, are not a measure of our exposure. The Company's exposure is limited to the fair value of the contracts with a positive fair value plus interest receivable, if any, at the reporting date.

Derivative gains and losses recorded in other comprehensive income are as follows:

	December 31, 2001	January 1, 2001
Derivative loss		
Gross	18,581	17,412
Tax	6,317	5,920
Net of tax	(12,264)	(11,492)
Derivative gain		
Gross	0	808
Tax	0	275
Net of tax	0	533
Derivative net loss	(12,264)	(10,959)

Additionally, the Company recorded its share of Mobilkom Austria's derivative loss of € 1,064, net of deferred income taxes of € 376. This resulted in a total loss of € 13,061, net of deferred income taxes as of December 31, 2001.
The following table summarizes the fair values of financial instruments:

	2001 Carrying amount	2001 Fair value	2000 Carrying amount	2000 Fair value
Financial instruments				
Cash	26,393	26,393	17,715	17,715
Accounts receivable	455,272	455,272	493,817	493,817
Balances due from related parties	105,979	105,979	33,906	33,906
Accounts payable	(439,529)	(439,529)	(524,969)	(524,969)
Payables to related parties	(15,982)	(15,982)	(30,509)	(30,509)
Securities held-to-maturity	158,274	162,582	144,161	143,171
Securities available-for-sale	8,523	8,523	5,962	5,962
Long-term debt	(2,005,226)	(2,102,008)	(2,353,858)	(2,450,878)
Derivative financial instruments				
Interest rate swap agreements	(20,317)	(20,317)	0	19,815
Cross currency swap agreements	43,998	43,998	(47,551)	(45,526)
Foreign currency forward contract	(2,173)	(2,173)	0	0

(19) RESTRICTED EARNINGS

Dividend distributions are based on earnings determined in accordance with Austrian accounting standards for Telekom Austria AG on a stand-alone basis. As of December 31, 2001 no retained earnings as determined under Austrian accounting rules were available for potential distribution.

Under the terms of the stockholders' agreement between ÖIAG and Telecom Italia, a supermajority vote is required at the annual stockholders' meeting to approve the payment of dividends. In addition, the stockholders' agreement also provides that, unless Telekom Austria's stockholders agree otherwise, at least 50% of the annual surplus determined in accordance with Austrian accounting rules must be distributed in the form of dividends, provided that any distribution must ensure that Telekom Austria will have an appropriate capitalization, equity ratio and must take into account the profit and capital expenditure requirements of Telekom Austria.

All amounts in € '000s omitted

(20) REVENUES

Year ended December 31,	2001	2000	1999
Revenues from services	2,555,596	2,700,521	2,817,357
Revenues from sales of merchandise	104,064	113,876	130,842
Total	2,659,660	2,814,397	2,948,199

(21) OTHER OPERATING EXPENSES

Year ended December 31,	2001	2000	1999
Interconnection	562,736	655,013	527,475
Repairs	137,345	133,346	110,879
Services received	39,626	34,939	39,385
Advertising and marketing	75,368	73,920	47,661
Rental expenses	52,130	52,299	45,066
Commission expenses	4,531	4,072	2,610
Bad debt charges to expenses	15,069	26,483	40,142
Legal and other consulting	55,304	59,058	34,363
Charges from related parties	35,062	40,433	58,276
Travel expenses	24,676	35,644	41,026
Other taxes	5,242	8,411	13,776
Energy	21,752	21,835	22,144
Training expenses	7,131	11,859	15,229
Other	78,938	66,606	38,662
Total	1,114,910	1,223,918	1,036,694

(22) OTHER INCOME/EXPENSE - NET

Year ended December 31,	2001	2000	1999
Foreign exchange losses	(63,632)	(89,430)	(10,016)
Foreign exchange gains	56,474	80,474	11,734
Loss from retirement of assets	(39,020)	(35,161)	(14,046)
Other	2,703	5,996	2,800
Total	(43,475)	(38,121)	(9,528)

(23) EXTRAORDINARY ITEMS

The Company recorded extraordinary losses of € 3,453 and € 689, net of tax of € 1,779 and € 355 in 2000 and 1999, respectively. In 1999 the amount relates to the early redemption of long-term debt with a carrying amount of € 47,237. The amount in 2000 relates to an accrued loss representing management's commitment to contribute € 5,232 to the Austrian fund for forced labor victims who were forced laborers between 1938 and 1945 and have raised claims against the Austrian industry. In response to these claims, the Parliament of the Federal Republic of Austria and representatives of Austrian companies have set up a fund to settle these claims. In April 2001, the Company paid € 5,232 to the Austrian fund for forced labor victims.

All amounts in € '000s omitted

(24) COMMITMENTS AND CONTINGENCIES

In the normal course of business the Company is subject to proceedings, lawsuits and other claims, including proceedings under laws and regulations related to interconnection. Such matters are subject to many uncertainties, and outcomes are not predictable with assurance. Consequently, management is unable to ascertain the ultimate aggregate amount of monetary liability or financial impact with respect to these matters at December 31, 2001. These matters could affect the operating results of any one quarter when resolved in future periods. However, management believes that after final disposition, any monetary liability or financial impact to the Company beyond that provided for at year-end would not be material to its annual consolidated financial statements.

At December 31, 2001, a potential exposure for local non-income taxes amounted to € 13.8 million. As management does not expect payments to be probable, no accrued liability was recorded.

At February 1, 2001, the Company guaranteed cross border lease obligations for Mobilkom Austria totaling US $ 50 million. Additionally, in August 2001, the Company guaranteed a bank loan to Mobilkom Austria totaling € 305 million. Österreichischer Rundfunk (ORF) has a put option for its 2.5% interest in Jet2Web Internet Services GmbH. This option is exercisable under certain conditions.

(25) SEGMENT REPORTING

The Company´s results are segmented according to the way the business is managed: Fixed line services, mobile communications, data communications, internet and other. In connection with the corporate restructuring program set forth in late 2000, the existing segments reflect certain managerial changes since the publication of our 2000 annual results. The changes are as follows:

Beginning in 2001 management has fully implemented U.S. GAAP reporting for internal purposes and, therefore evaluates performance based on operating income before depreciation and amortization and idle workforce (EBITDA).

The internet segment, which was reported in other until 2000, is reported separately beginning in the first quarter 2001 due to strategic importance to the group.

The Company has redundant employees who are civil servants. During 2001, between 270 and 850 employees no longer reported to work. Costs related to these personnel as well as the cost of the golden handshakes are disclosed separately in the financial statements. Since these costs cannot be controlled by the segment heads and are the responsibility of corporate staff they are not allocated to any segment. These costs had previously been shown in the fixed line segment.

All comparative figures for 2000 and 1999 have been restated. The accounting policies of the segments are the same as those described in the summary of significant accounting policies (see note 1).

Fixed line services include access fees, domestic long distance services including internet, local and fixed line to mobile calls, international traffic, voice value added services, interconnection, call center services, and public payphone services. The personnel costs of the civil servants not operatively working were excluded from the fixed line segment as well as the costs for the golden handshakes and are reported separately as corporate.

Mobile communication services include digital and analog mobile communications services including value-added services like text messaging and m-commerce and information services. Prepaid services are also offered.

Data communication services include domestic and international leased lines, switched data services, corporate network services and additional international data service. In the years reported, the data communications segment received cash discounts from the fixed line segment for the usage of datalines. Due to a change in cost allocation strategy, these cash discounts were reduced in 2001, which effected EBIT and EBITDA of the data communication segment.

The internet includes access, portals and advertising, e-business and application service provision. The internet business is operated in Austria and the Czech Republic. Other includes primarily the treasury activities of the Company.

All amounts in € '000s omitted

Year ended December 31, 2001	Fixed line services	Mobile communications	Data communications	Internet	Other	Segment totals
External revenues	2,147,083	1,506,026	247,351	42,995	0	3,943,455
Intersegmental revenues	309,657	207,153	82,815	56,493	292	656,410
Total revenues	2,456,740	1,713,179	330,166	99,488	292	4,599,865
EBITDA	868,975	571,307	54,690	(20,143)	(73)	1,474,756
Depreciation and amortization	835,986	267,784	35,340	9,872	0	1,148,982
EBIT	32,989	303,523	19,350	(30,015)	(73)	325,774
Interest income	65,727	20,518	372	168	30,090	116,875
Interest expense	222,171	49,910	758	1,816	29,915	304,570
Income tax expense (benefit)	(185,275)	133,645	(5,429)	(4,346)	37	(61,368)
Extraordinary losses	0	0	0	0	0	0
Net income (loss)	(70,546)	131,772	20,934	(27,062)	63	55,161
Total assets	7,106,580	2,214,101	195,022	80,118	520,062	10,115,883
Additions to property, plant and equipment	397,516	363,177	31,493	20,022	0	812,208
Year ended December 31, 2000						
External revenues	2,375,649	1,280,043	209,078	32,419	0	3,897,189
Intersegmental revenues	279,199	221,005	103,755	28,662	0	632,621
Total revenues	2,654,848	1,501,048	312,833	61,081	0	4,529,810
EBITDA	572,215	436,548	57,439	(5,427)	(133)	1,060,642
Depreciation and amortization	856,700	174,442	33,011	1,851	0	1,066,004
EBIT	(284,485)	262,106	24,428	(7,278)	(133)	(5,362)
Interest income	68,223	18,201	692	368	24,813	112,297
Interest expense	229,999	35,296	422	836	24,201	290,754
Income tax expense (benefit)	(176,100)	76,034	(454)	(2,463)	188	(102,795)
Extraordinary losses	3,118	1,343	336	0	0	4,797
Net income (loss)	(208,987)	167,456	31,136	(4,645)	727	(14,313)
Total assets	7,268,585	1,921,469	204,620	52,352	417,489	9,864,515
Additions to property, plant and equipment	545,454	323,074	34,560	14,605	0	917,693
Year ended December 31, 1999						
External revenues	2,536,233	1,017,879	198,947	25,574	0	3,778,633
Intersegmental revenues	281,286	225,428	87,646	10,581	0	604,941
Total revenues	2,817,519	1,243,307	286,593	36,155	0	4,383,574
EBITDA	1,082,534	347,476	43,503	1,648	(46)	1,475,115
Depreciation and amortization	837,340	120,763	26,582	219	0	984,90
EBIT	245,194	226,713	16,921	1,429	(46)	490,211
Interest income	37,549	6,784	1,089	2	33,626	79,050
Interest expense	201,071	16,877	309	75	32,896	251,228
Income tax expense (benefit)	6,400	68,298	5,701	1,898	230	82,527
Extraordinary losses	689	542	0	0	0	1,231
Net income (loss)	129,669	155,588	13,695	3,737	905	303,594
Total assets	7,965,481	1,654,115	187,837	11,286	590,159	10,408,878
Additions to property, plant and equipment	646,587	287,382	48,642	605	0	983,216

All amounts in € '000s omitted

EBITDA differs from consolidated net income as a result of the following differences:

Year ended December 31,	2001	2000	1999
EBITDA – segment totals	1,474,756	1,060,642	1,475,115
Idle workforce	(49,928)	(7,590)	0
Depreciation and amortization	(1,049,201)	(915,889)	(864,549)
Interest income	82,683	78,552	66,749
Interest expense	(240,986)	(239,914)	(228,069)
EBITDA – Mobilkom Austria	(571,307)	(436,548)	(347,476)
Other	(41,005)	(36,507)	(3,824)
Income before taxes and equity of earnings of affiliates	(394,988)	(497,254)	97,946
Equity in earnings of affiliates – Mobilkom Austria	197,941	125,265	116,817
Equity in earnings of affiliates – other	(2,491)	(88,951)	652
Income tax (expense) benefit	94,913	178,829	(14,489)
Extraordinary losses	0	(3,453)	(689)
Net income (loss)	(104,625)	(285,564)	200,237

The segment totals reconcile to the consolidated financial statements as a result of eliminating transactions and balances between consolidated segments including all fair value adjustments arising from purchase accounting and related impairments and by eliminating Mobilkom Austria which is accounted for under the equity method for purposes of reporting consolidated financial information in accordance with U.S. GAAP.

Year ended December 31, 2001	Segment totals	Eliminations	Mobile communications	Consolidated
Total revenues	4,599,865	(227,026)	(1,713,179)	2,659,660
Depreciation and amortization	1,148,982	168,003	(267,784)	1,049,201
Interest income	116,875	(13,674)	(20,518)	82,683
Interest expense	304,570	(13,674)	(49,910)	240,986
Income tax expense (benefit)	(61,368)	100,100	(133,645)	(94,913)
Net income (loss)	55,161	(28,014)	(131,772)	(104,625)
Total assets	10,115,883	(174,460)	(2,214,101)	7,727,322
Additions to property, plant and equipment	812,208	0	(363,177)	449,031
Year ended December 31, 2000				
Total revenues	4,529,810	(214,365)	(1,501,048)	2,814,397
Depreciation and amortization	1,066,004	24,327	(174,442)	915,889
Interest income	112,297	(15,544)	(18,201)	78,552
Interest expense	290,754	(15,544)	(35,296)	239,914
Income tax expense (benefit)	(102,795)	0	(76,034)	(178,829)
Net income (loss)	(14,313)	(103,795)	(167,456)	(285,564)
Total assets	9,864,515	119,641	(1,921,469)	8,062,687
Additions to property, plant and equipment	917,693	0	(323,074)	594,619

All amounts in € ’000s omitted

Year ended December 31, 1999	Segment totals	Eliminations	Mobile communications	Consolidated
Total revenues	4,383,574	(192,068)	(1,243,307)	2,948,199
Depreciation and amortization	984,904	408	(120,763)	864,549
Interest income	79,050	(5,517)	(6,784)	66,749
Interest expense	251,228	(6,282)	(16,877)	228,069
Income tax expense (benefit)	82,527	260	(68,298)	14,489
Net income (loss)	303,594	52,231	(155,588)	200,237
Total assets	10,408,878	(527,005)	(1,654,115)	8,227,758
Additions to property, plant and equipment	983,216	0	(287,382)	695,834

In 2001, 2000 and 1999, more than 94%, 97% and 99%, respectively, of the revenues generated by the reportable segments relate to operations in Austria and essentially all of the long-lived assets were located in Austria.

(26) SUBSEQUENT EVENTS

On January 16, 2002, the Company sold fixed line telecommunication receivables to a Qualifying Special Purpose Entity, unrelated to the Company, in a revolving period securitization transaction. The Company will retain a fluctuating interest in the sold receivables and will have servicing responsibility for the sold receivables. A maximum of € 250,000 may be transferred to the trust under the program. Although Mobilkom Austria has the same contract with a different trust the total amount is limited to € 290,000 for Telekom Austria and Mobilkom Austria together. The maximum amount for Mobilkom Austria is € 80,000. The first payment totaling € 201,186 was received on February 11, 2002.

At January 1, 2002 the Company altered the invoicing system with alternative telecom communication companies in accordance with the regulation of RTR. This will result in a reduction of revenues in 2002 as the amounts will only be invoiced net of the interconnection charged to the Company for terminated calls from alternative telecommunication companies. This netting of revenues and operating expenses would have decreased revenues in the fixed line segment by € 257,243, € 220,692 and € 91,890 in 2001, 2000 and 1999.

All amounts in € '000s omitted

Independent Auditors' Report

The Supervisory Board and Stockholders
Telekom Austria Aktiengesellschaft:

We have audited the accompanying consolidated balance sheets of Telekom Austria Aktiengesellschaft (Telekom Austria) as of December 31, 2001 and 2000, and the related consolidated statements of operations, cash flows and changes in stockholders' equity for each of the years in the three year period ended December 31, 2001. These consolidated financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these consolidated financial statements based on our audits.

We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the consolidated financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the consolidated financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audits provide a reasonable basis for our opinion.

In our opinion, the consolidated financial statements referred to above present fairly, in all material respects, the financial position of Telekom Austria as of December 31, 2001 and 2000, and the results of its operations and its cash flows for each of the years in the three year period ended December 31, 2001, in conformity with accounting principles generally accepted in the United States of America.

Vienna, March 20, 2002

Grant Thornton – Jonasch & Platzer

Grant Thornton – Jonasch & Platzer
Wirtschaftsprüfungs- und Steuerberatungs-OHG

KPMG Austria GmbH

KPMG Austria GmbH
Wirtschaftsprüfungs- und Steuerberatungsgesellschaft

Additional Disclosures to the Consolidated Financial Statements due to Austrian Accounting Rules

(All amounts in € '000s omitted)

Financial reporting according to US Generally Accepted Accounting Principles (U.S. GAAP)

The consolidated financial statements as of December 31, 2001 have been prepared in accordance with accounting principles generally accepted in the United States of America (U.S. GAAP). According to the provisions pursuant to section 245a HGB (Handelsgesetzbuch – Commercial Code), only when the requirements stipulated in subsection 1, paragraphs 1 to 3 have been fulfilled consolidated financial statements prepared according to international principles are exempted. The disclosures necessary for fulfilling these requirements are provided in the following.

Disclosures necessary for harmonizing the consolidated financial statement with EC directives (sect. 245a subsect. 1 para 1 HGB)

Marketable securities

In accordance with the U.S. GAAP principles for the valuation of securities, with the exception of held-to-maturity securities, all securities were valued at fair value, even in such cases when the fair value is above cost. Results arising from changes in fair value thus are not included in the consolidated statements of operations but are directly included in the stockholders' equity. Differences between acquisition cost and fair value are presented in note (5) of the notes to the consolidated financial statements.

Post employment benefit obligation

In the consolidated financial statements prepared in accordance with U.S. GAAP, a post employment benefit obligation is recognized when an employee has accepted the offer and the amount of the obligation can be estimated reasonably. The obligation is valued on the basis of the present value of the payment expected to be made in the future. This method contradicts the Fourth EC Directive in most cases, however.

According to the Fourth Directive, such an obligation is to be recognized regardless of whether the offer is accepted by an employee, merely in the case that it is likely to be incurred and its amount can be estimated reasonably. As of December 31,2001 and December 31, 2000, respectively, the differences between the values reported in the consolidated financial statements prepared according to U.S. GAAP and the values in the individual financial statements prepared according to HGB were 33,723 and 49,480. These figures also include the difference between the present value and the undiscounted amount.

Accruals for severance payments, service awards and pensions

In the consolidated financial statements prepared according to U.S. GAAP accruals for severance payments and pensions are accounted for by the projected unit credit method. According to the prevailing view, the projected unit credit method does not contradict with the Fourth EC Directive. Applying the corridor method does not, according to the prevailing view, conform with the requirements of the Fourth EC Directive. The effects of using the corridor method for severance and pension accruals (unrecognized net actuarial gains or losses) are presented in note (15) of the notes to the consolidated financial statements.

Amortization of goodwill

According to U.S. GAAP, goodwill that was aquired in a business combination after June 30, 2001 is not to be amortized. This rule is not in compliance with the regulations of the Fourth and Seventh EC Directives. This amortization shortfall results in a discrepancy in the amount of € 256.

Classification of the consolidated financial statements

The classification of consolidated financial statements required by the SEC differs from the regulations contained in the Fourth and Seventh EC Directives. The classification pursuant to the provisions of the Fourth and Seventh EC Directives results in the following balance sheet in condensed form (values according to U.S. GAAP):

	December 31, 2001	December 31, 2000
ASSETS		
A. Fixed assets		
I. Intangible assets	128,453	267,114
II. Property, plant and equipment	4,543,954	5,032,700
III. Financial assets	673,663	762,574
	5,346,070	6,062,388
B. Other assets		
I. Inventories	55,786	74,776
II. Accounts receivable and other assets	1,937,412	1,739,340
III. Short-term investments	8,523	5,962
IV. Cash in hand, bank balances	26,393	17,715
	2,028,114	1,837,793
C. Prepaid expenses	353,138	162,506
TOTAL ASSETS	7,727,322	8,062,687
LIABILITIES AND STOCKHOLDERS´ EQUITY		
A. Stockholders' equity		
I. Common stock (500,000,000 no par value shares)	1,090,500	1,090,500
II. Additional paid in capital	451,677	451,677
III. Retained earnings	956,837	1,061,462
IV. Accumulated other comprehensive income (loss)	1,380	(27)
	2,500,394	2,603,612
B. Accrued liabilities	509,931	654,968
C. Liabilities	4,661,731	4,737,599
D. Deferred income	55,266	66,508
TOTAL LIABILITIES AND STOCKHOLDERS´ EQUITY	7,727,322	8,062,687

All amounts in € ’000s omitted

Main differences between Austrian Accounting Principles (HGB – commercial code) and U.S. GAAP (sect. 245a subsect. 1 para. 1 HGB)

In part, the accounting rules laid out in HGB and U.S. GAAP are based on varying principles. Accounting according to HGB emphasizes the principles of prudence and creditor protection, while U.S. GAAP focuses more strongly on providing investors with information relevant for decision-making.

In the present statements, the differences between HGB and U.S. GAAP regulations affect the following accounting areas:

1. Software development costs

Under certain conditions, U.S. GAAP requires the costs of developing software for internal use to be capitalized. According to HGB, it is not permissible to capitalize self-developed intangible assets.

2. Deferred taxes

According to U.S. GAAP, deferred taxes, arising from temporary differences between the carrying amounts of assets or liabilities in the U.S. GAAP balance sheet and their tax bases on the one hand and expected benefits from tax loss carry-forwards on the other must be capitalized. According to Austrian accounting rules, deferred tax liabilities have to be recorded and deferred tax assets may be capitalized for individual financial statements but must be capitalized for consolidated financial statements. According to the prevailing view, the recognition of deferred tax assets for tax loss carry-forwards is prohibited under HGB.

3. Other accruals

According to U.S. GAAP, accruals are recorded for obligations due to third parties considered likely to arise and which can be reliably valued. According to HGB, the prudence principle governs whether accruals are set up. This means in practice that often accruals are set up already when a potential obligation is only recognized.

According to U.S. GAAP, for non-current obligations the reported amount requires to be discounted. According to the prevailing view, such discounting is prohibited by HGB.

4. Accruals for post employment benefits

In the consolidated financial statements prepared in accordance with U.S. GAAP, post employment benefit obligations are recognized when an employee has accepted the offer and the amount is able to be estimated reasonably. The accrual is valued on the basis of the present value of expected future payments. According to HGB, such an obligation is to be recognized regardless of whether the offer is accepted by an employee, merely in the case that it is likely to be incurred and its amount can be estimated reasonably. According to the prevailing view, the valuation of such obligations at present value is not in accordance with HGB.

5. Accruals for severance payments, service awards and pensions

In the consolidated financial statements prepared according to U.S. GAAP, accruals for severance payments, service awards and pensions are accounted for according to the projected unit credit method, applying the corridor method for severance payments and pension accruals. According to the prevailing view, using the projected unit credit method does not contradict the provisions of HGB. Applying the corridor method does not, according to the prevailing view, conform to the requirements of HGB.

6. Valuation marketable securities

With the exception of held-to-maturity securities, securities are valued at fair value in accordance with U.S. GAAP. Unrealized gains or losses are recorded in stockholders' equity not affecting income. According to HGB, non-current marketable securities are to be reported at cost less impairment charges. Marketable securities, not held long-term, are reported according to HGB at the lower of acquisition cost or fair value on the balance sheet date.

All amounts in € '000s omitted

7. Valuation of foreign currencies

In accordance with U.S. GAAP, monetary balance sheet items denominated in foreign currencies are translated using the exchange rates applicable on the balance sheet date. Thus, not only unrealized losses but also unrealized gains are recognized. HGB does not allow unrealized foreign currency translation gains to be recognized. For this reason, HGB requires currency translation of monetary items according to the lower-of-cost or market principle.

8. Derivative financial instruments

According to U.S. GAAP, derivative financial instruments are valued at fair value. Changes in fair value are recorded directly in income. For derivative financial instruments to which hedge accounting in accordance with SFAS 133 is applicable, changes in fair value are recognized either in income or stockholders' equity (as a component of other comprehensive income), depending on whether the derivative is being used to hedge changes in fair value or cash flows. Moreover, the ineffective portion of any value changes in cash flow hedges is recognized in earnings immediately. Upon realization of cash flow hedges amounts recorded at stockholders' equity are transferred to statements of operations.

According to Austrian accounting principles, unrealized losses from changes in fair value are accrued. Unrealized gains are thereby not recognized. In cases when a valuation unit for the derivative financial instruments and the hedged item is permissible, value changes of the derivative financial instrument and the hedged item are not accounted for.

Additional notes in accordance with HGB (sect. 245a subsect. 1 para. 3 HGB)

Consolidated fixed assets movement schedule:

Acquisition/manufacturing costs	Jan. 1, 2001	Additions	Additions/ consoli-dation	Retirement	Transfers	Currency adjust-ments	Dec. 31, 2001
Goodwill	241,568	477	0	(25)	0	26,765	268,785
Concessions, industrial property and similar rights and assets, and licenses in such rights and assets	73,181	38,326	51	(4,142)	69	57	107,541
Other intangible assets	19,644	9,284	0	(194)	220	0	28,955
Intangible assets	334,393	48,087	51	(4,361)	289	26,822	405,281
Land, buildings and leasehold improvements [1]	712,369	13,478	3	(9,203)	3,191	0	719,838
Communication networks and other equipment	7,597,658	299,861	398	(167,780)	89,455	275	7,819,869
Capital leases	13,590	581	0	(7,492)	0	100	6,779
Construction in progress	97,911	97,412	0	(274)	(92,935)	29	102,143
Property, plant and equipment	8,421,528	411,331	401	(184,748)	(289)	405	8,648,628
Investments in affiliates [2]	705,138	0	(102,280)	(92,176)	0	0	510,682
Other financial assets	149,612	14,114	202	(946)	0	0	162,981
Financial assets	854,750	14,114	(102,078)	(93.123)	0	0	673,663
Total	9,610,671	473,532	(101,625)	(282,232)	0	27,226	9,727,572
1) value of land thereof	64,626						64,031

2) Equity valuation of investment within consolidated accounting

All amounts in € '000s omitted

Accumulated amortization and depreciation	Jan. 1, 2001	Additions [3]	Additions/ consoli-dation	Retirement	Transfers	Currency adjust-ments	Dec. 31, 2001
Goodwill	24,370	170,434	0	(25)	(44)	13,729	208,464
Concessions, industrial property and similar rights and assets, and licenses in such rights and assets	36,194	24,305	29	(1,593)	5	27	58,966
Other intangible assets	6,713	2,826	0	(190)	50	0	9,399
Intangible assets	67,277	197,565	29	(1,808)	11	13,756	276,829
Land, buildings and leasehold improvements	178,815	51,948	0	(5,897)	(30)	0	224,836
Communication networks and other equipment	3,197,872	798,665	255	(122,882)	19	185	3,874,116
Capital leases	11,331	1,025	0	(7,492)	0	50	4,913
Construction in progress	810	0	0	0	0	0	810
Property, plant and eqipment	3,388,828	851,638	255	(136,271)	(11)	235	4,104,674
Investments in affiliates	92,176	0	0	(92.176)	0	0	0
Other financial assets	0	0	0	0	0	0	0
Financial assets	92,176	0	0	(92.176)	0	0	0
Total	3,548,281	1,049,203	284	(230.256)	0	13,991	(4,381.503)

3) Amortization of financial assets is shown in the consolidated statements of operations under the item “Equity in earnings of affiliates“

Carrying amount	Jan. 1, 2001	Additions	Additions/ consoli-dation	Retirement	Transfers	Amorti-zation	Currency adjustments	Dec. 31, 2001
Goodwill	217,198	477	0	0	44	(170,434)	13,036	60,322
Concessions, industrial property and similar rights and assets, and licenses in such rights and assets	36,985	38,328	23	(2,549)	64	(24,305)	30	48,575
Other intangible assets	12,931	9,284	0	(3)	170	(2,826)	0	19,556
Intangible assets	267,114	48,089	23	(2,552)	278	(197,565)	13,066	128,453
Land, buildings and leasehold improvements	533,554	13,478	3	(3,306)	3,221	(51,948)	0	495,002
Communication networks and other equipment	4,399,786	299,861	143	(44,898)	89,436	(798,665)	90	3,945,753
Capital leases	2,259	581	0	0	0	(1,025)	50	1,866
Construction in progress	97,101	97,412	0	(274)	(92,935)	0	29	101,333
Property, plant and equipment	5,032,700	411,331	146	(48,477)	(278)	(851,638)	170	4,543,954
Investments in affiliates	612,962	0	(102,280)	0	0	0	0	510,682
Other financial assets	149,612	14,114	202	(946)	0	0	0	162,981
Financial assets	762,574	14,114	(102,078)	(946)	0	0	0	673,663
Total	6,062,388	473,534	(101,909)	(51,976)	0	(1,049,203)	13,236	5,346,070

Totals in the tables may differ from the sum of their components as a result of rounding effects.

All amounts in € ’000s omitted

Affiliated Companies

Name and Corporate Seat	Share in capital as of Dec. 31, 2001
Fully consolidated subsidiaries:	
Datakom Austria GmbH, Vienna	100.00%
Datakom International Solutions GmbH, Vienna	100.00%
Telekom Finanzmanagement GmbH, Vienna	100.00%
Telekom Beteiligungs- und Entwicklungs GmbH, Vienna	100.00%
Telekom Austria Personalmanagement GmbH, Vienna	100.00%
Telekom Building Systems GmbH, Vienna	100.00%
Output Service GmbH, Vienna	100.00%
Jet2Web Internet Services GmbH, Vienna	97.50%
IVS Interactive Video Services GmbH, Vienna	66.67%
medienprojekte + service GmbH, Klosterneuburg [1)]	
Jet2Web Bizmarket e-Business Services GmbH, Vienna	89.47%
Jet2Web Net Internet Betriebs GmbH, Vienna	100.00%
Jet2Web Network Services GmbH, Vienna	100.00%
Czech On Line a.s., Prague	100.00%
Affiliated companies consolidated at equity:	
Mobilkom Austria, Vienna	74.999%
Herold Business Data AG, Mödling	26.00%
Walky Talky Telecom GmbH, Eisenstadt	49.00%
Omnimedia Werbegesellschaft mbH, Vienna	26.00%
Subsidiaries accounted for at cost (due to minor significance):	
Österreichische Fernmeldetechnische Entwicklungs- und Fördergesellschaft m,b,H,, Vienna	100.00%

1) This company is fully consolidated even though no shares are held in it, as Telekom Austria exercise control through voting rigths.

Personnel

The average number of employees during the business year 2001 was 17,549 (2000: 18,560).

Expenses for Severance Payments and Pensions:	Pensions 2001	Pensions 2000	Severance 2001	Severance 2000
Board members	0	0	111	413
Other employees	847	1,038	4,611	1,855
Total	847	1,038	4,722	2,268

Details of managing and supervisory board members' remunerations

Managing Board members' remunerations amounted to € 1,474 in 2001 and € 1,474 in 2000. Supervisory Board members´ fees amounted to € 135 in 2001 and € 169 in 2000.

Vienna, March 20, 2002

The Managing Board

Heinz Sundt (CEO), Stefano Colombo (deputy CEO and CFO), Rudolf Fischer (COO Wireline)

All amounts in € '000s omitted

Confirmation According to Para 245a Austrian Commercial Code

According to the provisions of Austrian commercial law, the group management report and the existence of the legal preconditions granting exemption from drawing up consolidated financial statements according to Austrian law must be examined.

We confirm that the group management report is consistent with the consolidated financial statements and that the legal requirements for exemption from the obligation to prepare consolidated financial statements according to Austrian law have been fulfilled.

Vienna, March 20, 2002

Grant Thornton - Jonasch & Platzer
Wirtschaftsprüfungs- und Steuerberatungs-OHG

Univ.-Doz. Dr. Walter Platzer
iV Mag. Karl Newertal

KPMG Austria GmbH
Wirtschaftsprüfungs- und Steuerberatungsgesellschaft

DDr. Martin Wagner
Mag. Helmut Kerschbaumer

All amounts in € '000s omitted

MOBILKOM AUSTRIA AG & CO KG AND MOBILKOM AUSTRIA AG
Combined Consolidated Balance Sheets

(in € '000s omitted)

	December 31, 2001	December 31, 2000
ASSETS		
Current assets		
Cash and cash equivalents	8,911	36,988
Accounts receivable, net of allowance of € 66,907 and € 71,457 as of December 31, 2001 and December 31, 2000	217,944	191,297
Receivables due from related parties	1,888	3,581
Inventories	50,213	44,175
Prepaid expenses	54,643	51,235
Other current assets	52,364	31,386
Total current assets	385,963	358,662
Property, plant and equipment, net	941,135	753,003
Intangible assets, net	619,108	415,387
Investments	9,740	3,934
Deferred tax assets	21,020	164,151
Other assets	237,135	226,332
TOTAL ASSETS	2,214,101	1,921,469
LIABILITIES AND STOCKHOLDERS´ EQUITY		
Current liabilities		
Short-term borrowings	37,219	91,202
Accounts payable	246,022	184,549
Accrued liabilities	56,514	38,012
Payables to related parties	119,076	21,404
Deferred income	52,339	47,039
Income taxes payable	3,961	26,108
Deferred income taxes	3	51
Other current liabilities	91,686	31,343
Total current liabilities	606,820	439,708
Long-term debt, net of current portion	449,981	212,819
Long-term debt to related parties	218,018	218,018
Lease obligations, net of current portion	228,311	214,958
Other	42,864	34,580
Stockholders´equity		
Common Stock	100	72,673
Share Capital	79,940	0
Additional paid in capital	7,819	7,819
Retained earnings	579,607	720,842
Accumulated other comprehensive income	641	52
Total stockholders´ equity	668,107	801,386
TOTAL LIABILITIES AND STOCKHOLDERS´ EQUITY	2,214,101	1,921,469

see accompanying notes to consolidated financial statements

MOBILKOM AUSTRIA AG & CO KG AND MOBILKOM AUSTRIA AG

Combined Consolidated Statements of Operations

(in € '000s omitted)

		2001	2000	1999
Operating revenues	a)	1,713,179	1,501,048	1,243,307
Operating expenses	b)			
Materials		(250,738)	(302,886)	(271,281)
Employee costs, including benefits and taxes		(134,532)	(98,107)	(74,281)
Depreciation and amortization		(267,784)	(174,442)	(120,763)
Other operating expenses		(756,602)	(663,507)	(550,269)
Operating income		303,523	262,106	226,713
Other income (expense)				
Interest income	c)	20,518	18,201	6,784
Interest expense	d)	(49,910)	(35,296)	(16,877)
Write offs from investments		(628)	(1,577)	0
Other, net		2,246	870	(2,569)
Loss from at equity investees		(186)	0	0
Income before income taxes, minority interests and extraordinary loss		275,563	244,304	214,051
Income tax expense		(133,645)	(76,034)	(68,298)
Minority Interests		(10,146)	529	10,377
Net income before extraordinary loss		131,772	168,799	156,130
Extraordinary loss, net of tax		0	(1,343)	(542)
Net income		131,772	167,456	155,588
a) includes revenues from related parties of		236,251	254,152	265,352
b) includes operating expenses from related parties of		258,023	239,345	213,943
c) includes interest income from related parties of		731	386	3,414
d) includes interest expense from related parties of		17,619	3,019	0

see accompanying notes to consolidated financial statements

MOBILKOM AUSTRIA AG & CO KG AND MOBILKOM AUSTRIA AG
Combined Consolidated Statements of Cash Flows

(in € '000s omitted)

	2001	2000	1999
Cash generated from operations			
Net Income	131,772	167,456	155,588
Adjustments to reconcile net income to cash generated from operations			
Depreciation and amortization	267,784	174,442	120,763
Write offs from investments	(399)	1,577	0
Employee benefit obligation – long term	1,100	1,353	624
Provision for doubtful accounts	20,004	25,364	21,009
Change in deferred taxes	158,017	17,521	5,135
Equity in earnings of affiliates	186	0	0
Stock purchase plan	0	728	0
Loss on disposal of equipment	6,591	1,064	3,423
Changes in assets and liabilities, net of effect of business acquired			
Accounts receivable	(42,322)	(22,084)	(107,142)
Due from related parties	1,701	50,509	(14,036)
Inventories	(2,991)	28,940	(47,043)
Prepaid expenses	(2,465)	(23,272)	(25,351)
Other assets	(12,592)	283	(14,841)
Accounts payable	53,932	24,363	33,932
Accrued liabilities	(6,407)	(40,284)	2,281
Due to related parties	79,255	(30,354)	11,956
Other liabilities	29,823	10,389	28,879
	682,989	387,995	175,177
Cash used in investing activities			
Capital expenditures, including capitalized interest	(414,498)	(507,117)	(289,524)
Acquisitions and investments, net of cash acquired	(157,369)	(23,138)	(13,146)
Other	(2,153)	464	332
	(574,020)	(529,791)	(302,338)

	2001	2000	1999
Cash from (used in) financing activities			
Proceeds from issuance of long-term debt	206,752	73,764	0
Principal payments on long-term debt.	(65,406)	(29,069)	(87,207)
Change in short-term bank borrowings	(81,475)	(67,561)	125,615
Changes in long-term financing with Telekom Austria	0	218,018	0
Changes in short-term financing with Telekom Austria	52,613	0	0
Proceeds from sale of tax benefits	0	0	18,774
Capital paid to Mobilkom Austria AG.	100	0	0
Dividends paid	(247,351)	(87,934)	(77,033)
Capital contributions by minority shareholders	0	0	29,297
	(134,767)	107,218	9,446
Effect of exchange rate changes	(2,279)	(925)	696
Net decrease in cash and cash equivalents	(28,077)	(35,503)	(117,019)
Cash and cash equivalents at beginning of period	36,988	72,491	189,510
Cash and cash equivalents at end of period	8,911	36,988	72,491
Cash paid for			
Interest	40,245	18,418	16,761
Income tax	36,622	118,232	66,849
Cash received for			
Interest	1,359	505	4,669
Tax refunds	37,999	0	0
Non-cash investing and financing			
Cross border leasing	0	0	198,822
Notes payable on acquisition	42,795	0	0
Dividends not paid	18,389	0	0
Capital lease	6,715	0	0

see accompanying notes to consolidated financial statements

All amounts in € '000s omitted

MOBILKOM AUSTRIA AG & CO KG AND MOBILKOM AUSTRIA AG

Combined Statement of Changes in Stockholders´ Equity

(in € '000s omitted)

	Common stock		Share capital	Additional paid in capital	Retained earnings	Accumulated other comprehensive income (loss)	Total stockholders´ equity
	Number of shares	Par value					
Balance January 1, 1999	100,000	72,673	0	7,091	562,765	3	642,532
Dividends declared					(77,033)		(77,033)
Comprehensive income							
Net income					155,588		155,588
Unrealized gains on securities, net of € 4 deferred income taxes						8	8
Foreign currency translation adjustment						(126)	(126)
Total comprehensive income							155,470
Balance December 31, 1999	100,000	72,673	0	7,091	641,320	(115)	720,969
Dividends declared					(87,934)		(87,934)
Stock purchase plan				728			728
Comprehensive income							
Net income					167,456		167,456
Unrealized losses on securities, net of € 4 deferred income taxes						(7)	(7)
Foreign currency translation adjustment						174	174
Total comprehensive income							167,623
Balance December 31, 2000	100,000	72,673	0	7,819	720,842	52	801,386
Additions to capital	100,000	100					100
Changes to limited partnership	(100,000)	(72,673)	79,940		(7,267)		0
Dividends declared					(265,740)		(265,740)
Comprehensive income							
Net income					131,772		131,772
Unrealized losses on securities						(18)	(18)
Restatement financial instruments, net of € 281 deferred income tax						(547)	(547)
Change in fair value of financial instruments, net of € 95 deferred income taxes						(517)	(517)
Foreign currency translation adjustment						1,671	1,671
Total comprehensive income							132,361
Balance December 31, 2001	100,000	100	79,940	7,819	579,607	641	668,107

see accompanying notes to combined consolidated financial statements

Notes to Combined Consolidated Financial Statements

(all amounts in € '000s omitted)

(1) THE COMPANY AND SIGNIFICANT ACCOUNTING POLICIES

Description of business, organization and relationship with the Federal Republic of Austria

Mobilkom Austria AG & Co KG and Mobilkom Austria AG and subsidiaries (The Company or Mobilkom Austria) operate in the mobile communications business. Mobile communication services offered by the Company include a wide range of digital mobile communication services like text messaging, m-commerce and information services. Prepaid services and message servicing are also offered. These activities are conducted and operated primarily in Austria, but also in Slovenia, Croatia and Liechtenstein (revenues outside of Austria: 16.4% and 9.9% of consolidated revenues in 2001 and 2000, respectively).

As of April 22, 1996, Mobilkom Austria AG was incorporated. As of May 1, 1996, the mobile communication operations were then transferred to the newly incorporated entity by Post und Telekom Aktiengesellschaft (PTA), an entity wholly owned by the Federal Republic of Austria.

In April 1997, STET Mobile Holding NV, an entity jointly held by Telecom Italia SpA and Telecom Italia Mobile SpA, a publicly-traded subsidiary of Telecom Italia SpA, purchased a 25% plus one share common stock interest in Mobilkom Austria leaving PTA with a 75% minus one common share interest in their subsidiary Mobilkom Austria. PTA changed its name to Telekom Austria Aktiengesellschaft (Telekom Austria).

The predecessor of Mobilkom Austria AG & Co KG (Mobilkom Austria KG) became a limited liability partnership during the first quarter of 2001. The partnership is not a taxable entity, and taxes are levied at the level of the partners. For tax purposes, the change became effective as of July 1, 2000, and resulted in the reversal of the applicable recorded tax attributes to income tax expense in 2001.

The Federal Republic of Austria, through Österreichische Industrie-Holding AG (ÖIAG), continues to be a significant shareholder owning approximately 47,8% of the voting common stock of Telekom Austria.

In addition to the transactions described in note (4), the Federal Republic of Austria authorizes and supervises the Rundfunk und Telekom Regulierungs-GmbH (RTR), which regulates certain activities of both Telekom Austria and Mobilkom Austria. The government holds the taxing authority for the Austrian operations of Mobilkom Austria and levies taxes such as income and value added taxes.

Basis of presentation

The combined consolidated financial statements of Mobilkom Austria have been prepared in accordance with accounting principles generally accepted in the United States of America (U.S. GAAP).

Principles of consolidation

The combined consolidated financial statements include the accounts of Mobilkom Austria AG & Co KG and Mobilkom Austria AG and its subsidiaries in which the Company has a controlling financial interest. Significant intercompany accounts and transactions between the consolidated companies have been eliminated.

Comparative statements

The Company has reclassified certain amounts in prior year financial statements to conform to the current period's presentation.

Cash and cash equivalents

The Company considers cash in banks and highly liquid investments, with original maturities of three months or less, cash and cash equivalents. The Company has a cash pooling arrangement with Telekom Finanzmanagement GmbH (TFG), a subsidiary of Telekom Austria. These balances managed by TFG are classified as cash as the Company has immediate access to the amounts. As of December 31, 2000, balances totaled € 18,358. As of December 31, 2001, Mobilkom Austria was in a net debt position, therefore the balance of € 2,058 is classified as balance due to related parties. Interest income received on these balances totaled € 731 and € 386 in 2001 and 2000, respectively.

Marketable securities

Marketable debt and equity securities, other than investments accounted for by the equity method, are categorized as available-for-sale. These securities are reported at fair value at the balance sheet date and unrealized gains and losses are included in accumulated other comprehensive income, net of applicable deferred tax. Impairment losses are recorded immediately in the statement of operations.

As of December 31, 2001 and 2000, Mobilkom Austria held securities available-for-sale of fair value totaling € 3,701 and € 498, including gross unrealized holding losses of € 99 in 2001 and gross realized holding gains of € 2 in 2000.

Inventories

The majority of inventory balances consists of merchandise sold in Mobilkom Austria shops as well as items sold to dealers. Additionally, the Company maintains supply items used for the construction of networks mainly for the Company's own use. Inventories are valued at the lower of cost or market, cost being determined on the basis of weighted average cost.

Property, plant and equipment

Property, plant and equipment are stated at cost and include certain costs which are capitalized during the installation and expansion of the telecommunication network. Value added tax (VAT) which is charged by suppliers and subject to refund from the tax authorities is not included in cost.

Depreciation on plant and equipment is calculated on the straight-line method over the estimated useful lives of the assets. Leasehold improvements are amortized straight-line over the lease term or the estimated useful life of the asset, whichever is shorter.

The useful lives are:

	Years
Communication network and other equipment	5 – 10
Software	5 – 8
Buildings and leasehold improvements	10 – 25

Maintenance and repairs are expensed as incurred while replacements and improvements are capitalized. The cost and accumulated depreciation of assets sold or retired are removed from the accounts, and any resulting gain or loss is reflected in other income or expense.

Intangible assets

Intangible assets are stated at cost and are amortized straight-line over the estimated useful life over the periods shown below, except in cases where the new provisions of SFAS 141, Business Combinations and SFAS 142, Goodwill and Other Intangible Assets are applicable:

	Years
Goodwill	5
Wireless licenses	10 – 15
Patents and proprietary technology	5 – 20
Other	20

Advertising and promotional cost

Advertising and promotional costs are expensed as incurred and total € 146,668, € 119,465 and € 86,532 in 2001, 2000 and 1999, respectively.

All amounts in € '000s omitted

Income taxes

Mobilkom Austria AG & Co KG became a non taxable limited liability partnership beginning in the first quarter 2001, with retroactive effect from July 1, 2000. All tax attributes flow directly to the partners.

For the other subsidiaries of Mobilkom Austria income taxes are accounted for under the liability method. Deferred tax assets and liabilities are recognized for the future tax consequences attributable to differences between the financial statement carrying amounts of existing assets and liabilities and their respective tax bases, and operating loss and tax credit carryforwards. Deferred tax assets and liabilities are measured using enacted tax rates expected to apply to taxable income in the years in which these temporary differences are expected to be recovered or settled. The effect on deferred tax assets and liabilities of changes in tax rates is recognized as income or expense in the period that includes the enactment date.

Investment tax credits are recognized as a reduction of income taxes in the period in which those credits are granted.

Concentration of risks

A portion of the Company's revenue is derived from services provided to others in the telecommunications industry, mainly to providers of fixed network telecommunication, foreign cellular companies and retailers of cellular handsets. As a result, the Company has some concentration of credit risk in its customer base. The Company performs ongoing credit evaluations of its large customers' financial condition to support its receivables. As of the balance sheet dates, the Company does not have any significant concentration of business transacted with a particular supplier or lender that could, if suddenly eliminated, severely impact the operations. The Company also does not have a concentration of available sources of labor, services, franchises, or licenses or other rights that could, if suddenly eliminated, severely impact the operations. The Company invests its cash through a cash pooling with TFG, which invests the funds under management in several high-quality credit institutions.

Foreign currency translation

The Company prepared and reported its combined consolidated financial statements in Euro (€).

In the individual company financial statements, foreign currency receivables, cash in banks and liabilities are converted at the exchange rate applicable on the transaction date. Unrealized foreign currency losses and gains due to exchange rate fluctuations through the balance sheet date are recognized in the statement of operations.

The functional currency for the Company's foreign operations is the applicable local currency. The translation from the applicable foreign currencies to the Euro is performed for assets and liabilities using the current exchange rate in effect at the balance sheet date. Revenue and expense accounts are translated using the weighted average exchange rate during the period. The resulting translation adjustments are recorded as other comprehensive income or loss.

Revenue recognition

The Company provides mobile communication services to individuals and commercial and non-commercial organizations. Mobile communication services include digital mobile communication services including value-added services such as text messaging and m-commerce and information services.

The Company recognizes usage and roaming service revenue based upon minutes of traffic processed or contracted fee schedules when the services are rendered. Revenues due from foreign carriers for international roaming calls are included in revenues in the period in which the call occurs.

Certain prepaid usage services are billed in advance resulting in deferred revenues. These fees are amortized over the period the service is provided. Cash discounts and incentives are accounted for as a reduction in revenues when granted or, where a service continuation exists, ratably over the contract period.

Activation fees in excess of related expenses are deferred. Activation fees are recognized as revenues over the average expected contract term. When direct incremental expenses exceed revenues the amounts are not deferred.

All amounts in € '000s omitted

Handset sales and other service revenues are recognized when delivered and accepted by customers and when services are provided in accordance with contract terms.

The Company offers its customers a loyalty program where they receive points for most invoiced services. Customers can use the points to purchase various products. Points accumulated are recorded as a liability as they are earned, with the corresponding offset against revenues. Points are valued based on the average cost of the products available for purchase. As of December 31, 2001 and 2000, respectively, € 22,608 and € 15,916 were recorded in accrued liabilities.

Prepaid expenses

The majority of prepaid expenses relates to commissions, which are paid to dealers when a contract is signed with a customer for a minimum term. These commissions are amortized over the minimum term of the contract.

Impairment of long lived assets and long lived assets to be disposed of

The Company accounts for long-lived assets in accordance with the provisions of SFAS No. 121, Accounting for the Impairment of Long-Lived Assets and of Long-Lived Assets to be Disposed of. This Statement requires that long-lived assets and certain identifiable intangibles be reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount of an asset may not be recoverable. Recoverability of assets to be held and used is measured by a comparison of the carrying amount of an asset to undiscounted future net cash flows expected to be generated by the asset. If such assets are considered to be impaired, the impairment to be recognized is measured by the amount by which the carrying amount of the assets exceeds the fair value of the asset. Assets to be disposed of are reported at the lower of the carrying amount or estimated proceeds less cost to sell.

Derivative financial instruments

Prior to the adoption of SFAS 133, derivative instruments which were not designated as hedges of specific assets, liabilities, or firm commitments were marked to market and any resulting gains or losses recognized in earnings. If there was a direct connection between a derivative instrument and an underlying transaction and a derivative was so designated, gains and losses did not affect earnings until the underlying transaction was realized. Upon the adoption of SFAS 133 and SFAS 138 on January 1, 2001, the Company recorded liabilities of € 828 and other comprehensive income of € 547, net of tax of € 281.

Effective January 1, 2001, the Company adopted SFAS 133, Accounting for Derivative Instruments and Hedging Activities, as amended by SFAS 137 and SFAS 138, which requires all derivative instruments, such as interest rate swap contracts and foreign-currency exchange contracts, be recognized in the financial statements and measured at fair value regardless of the purpose or intent of holding them. Changes in the fair value of derivative financial instruments are recognized periodically either in income or stockholders' equity (as a component of other comprehensive income), depending on whether the derivative is being used to hedge changes in fair value or cash flows. For derivatives designated as fair value hedges, changes in fair value of the hedged item and the derivative are recognized currently in earnings. For derivatives designated as cash flow hedges, fair value changes of the effective portion of the hedging instruments are recognized in accumulated other comprehensive income in the balance sheet until the hedged item is recognized in earnings. The ineffective portion of the value changes are recognized in earnings immediately. SFAS 133 also requires that certain derivative instruments embedded in host contracts be accounted for separately as derivatives.

Changes in the fair value of derivative financial instruments not qualifying for hedge accounting under SFAS 133 are recorded directly in income.

Use of estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements, and revenue and expenses during the period reported. Actual results could differ from those estimates.

All amounts in € ’000s omitted

New accounting pronouncements

In September 2000, the FASB issued SFAS 140, Accounting for Transfers and Servicing of Financial Assets and Extinguishments of Liabilities, a replacement of SFAB Statement No. 125. This statement revises the standards for accounting for securitization and other transfers of financial assets and collateral and requires certain financial statement disclosure. SFAS 140 is effective for transactions occurring after March 31, 2001. The new disclosure requirements are effective for fiscal years ending after December 15, 2000. The impact of implementation was not material.

In July 2001, the FASB issued SFAS 141, Business Combinations, and SFAS 142, Goodwill and Other Intangible Assets. SFAS 141 requires that the purchase method of accounting be used for all business combinations initiated or completed after June 30, 2001. SFAS 141 also specifies criteria for intangible assets acquired in a purchase method business combination must meet to be recognized and reported apart from goodwill. SFAS 142 requires that goodwill and intangible assets with indefinite useful lives no longer be amortized, but instead tested for impairment at least annually in accordance with the provisions of SFAS 142. SFAS 142 also requires that intangible assets with definite useful lives be amortized over their respective estimated useful lives to their estimated residual values, and reviewed for impairment in accordance with SFAS No. 121, Accounting for the Impairment of Long-Lived Assets and for Long-Lived Assets to Be Disposed Of and subsequently SFAS 144, Accounting for the Impairment or Disposal of Long-Lived Assets, after its adoption. The Company adopted the provisions of SFAS 141 immediately, and SFAS 142 effective January 1, 2002. Goodwill that was acquired in a business combination completed after June 30, 2001 (€ 7,332), and any intangible assets determined to have an indefinite useful life that was acquired after June 30, 2001 are not amortized. Goodwill acquired in business combinations completed before July 1, 2001, and intangible assets with indefinite useful lives acquired before July 1, 2001, were amortized until December 31, 2001. As of the date of adoption, the Company has unamortized goodwill in the amount of € 174,544, which will be subject to the transition provisions of Statements 141 and 142. Amortization expense related to goodwill was € 33,816, € 1,689 and € 354 for the years ended December 31, 2001, 2000 and 1999, respectively.

SFAS 142 requires the Company to evaluate its existing intangible assets and goodwill and to make any necessary reclassification in order to conform with the new separation requirements at the date of adoption. Upon adoption of SFAS 142, the Company is also required to reassess the useful lives and residual values of all intangible assets and make any necessary amortization period adjustment by March 31, 2002.

In connection with the transitional impairment evaluation, SFAS 142 requires the Company to perform an assessment of whether there is an indication that goodwill is impaired as of January 1, 2002. To accomplish this, the Company is currently (1) identifying its reporting units, (2) determining the carrying value of each reporting unit by assigning the assets and liabilities, including the existing goodwill and intangible assets, to those reporting units, and (3) determining the fair value of each reporting unit. The first step of the transitional assessment is required to be completed by June 30, 2002. If the carrying value of any reporting unit exceeds its fair value, then detailed fair values for each of the assigned assets (excluding goodwill) and liabilities will be determined to calculate the amount of goodwill impairment, if any. This second step is required to be completed as soon as possible, but no later than December 31, 2002. Any transitional impairment loss resulting from the adoption will be recognized as the effect of a change in accounting principle in the Company's statements of operations. Because of the extensiveness of the efforts needed to comply with the adoption of these statements, it is not practicable to reasonably estimate the impact on the Company's financial statements.

In August 2001, the FASB issued SFAS 143, Accounting for Asset Retirement Obligations. This Statement addresses financial accounting and reporting for obligations associated with the retirement of tangible long-lived assets and the associated asset retirement costs. SFAS 143 requires an enterprise to record the fair value of an asset retirement obligation as a liability in the period in which it incurs a legal obligation associated with the retirement of a tangible long-lived asset. SFAS 143 also requires the enterprise to record the contra to the initial obligation as an increase to the carrying amount of the related long-lived asset (i.e., the associated asset retirement costs) and to depreciate that cost over the remaining useful life of the asset. The liability is adjusted at the end of each period to reflect the passage of time (i.e., accretion expense) and changes in the estimated future cash flows underlying the initial fair value measurement. Enterprises are required to adopt SFAS 143 for fiscal years beginning after June 15, 2002. The Company expects to adopt SFAS 143 on January 1, 2003. Mobilkom Austria is currently determining the impact of adoption.

All amounts in € '000s omitted

In August 2001, the FASB issued SFAS 144 Accounting for the Impairment or Disposal of Long-Lived Assets. This Statement addresses financial accounting and reporting for the impairment or disposal of long-lived assets. This Statement supersedes FASB Statement No. 121 and the accounting and reporting provisions of APB 30. This Statement also amends ARB No. 51 Consolidated Financial Statements to eliminate the exception to consolidation for a subsidiary for which control is likely to be temporary. SFAS 144 is effective January 1, 2002. The adoption is not expected to have a material impact on the Company's financial statements.

(2) BUSINESS COMBINATIONS

All acquisitions have been accounted for under the purchase method, with the excess of the purchase price over the estimated fair value of the net assets acquired accounted for as goodwill. The results of operations of the acquired businesses are included in the consolidated financial statements from the dates of the acquisition.

During 2001, the holding company of the group changed its tax status and became a limited liability partnership. Because of the change in group structure combined consolidated financial statements are now presented.

In 1998, Mobilkom Austria and other investors formed VIPnet d.o.o (VIPnet), a cellular phone service provider in Croatia. At foundation, Mobilkom Austria held a 30% share in VIPnet. In 1999, 2000 and 2001, Mobilkom Austria acquired an additional interest in VIPnet through several step acquisitions, resulting in an increase in the Company's common stock holding in VIPnet to 66.0%. The total cost of these step acquisitions was € 10,258, € 19,718 and € 12,814 in 2001, 2000 and 1999, respectively. The purchase price was allocated to assets based on fair market value amounts. The balance allocated to goodwill equalled € 7,332, € 15,980 and € 1,772 in 2001, 2000 and 1999.

On February 27, 2001, Mobilkom Austria purchased through intermediate subsidiaries 75% plus one share of Si.mobil telekomunikacijske storitve d.d., Ljubljana (Si.mobil), a cellular phone service provider in Slovenia with 15% market share and approximately 155,000 customers, for € 145,811 in cash plus assumption of the seller's shareholder loan totaling € 3,591. Mobilkom Austria began immediately to manage the business and controls the board of directors. The purchase of the remaining 25% less one share is set to occur by June 2002 for a price of € 42,795 subject to certain contingent requirements. Subsequent to closing, Mobilkom Austria committed itself to providing Si.mobil with two shareholder loans totaling € 117,209, € 52,169 of which was paid to Si.mobil in 2001. The total purchase price of € 188,606 was allocated to the assets based on fair market value and the balance of € 186,157 was recorded as goodwill.

(3) ACCOUNTS RECEIVABLE

The roll forward of the allowance for accounts receivable is as follows:

	2001	2000
Allowance beginning of the year	71,457	67,865
Change in reporting entities	5,181	0
Translation adjustment	379	0
Charged to expenses	20,004	25,364
Amounts written-off	(30,114)	(21,772)
Allowance at the end of the year	66,907	71,457

(4) RELATED PARTY TRANSACTIONS

The majority of related party transactions are carried out with Telekom Austria. Under the intercompany agreements the Company receives and provides interconnection services and provides cellular telephone services. Other services purchased from Telekom Austria are mainly repairs and maintenance services and support. Additionally Telekom Austria charges construction costs for Mobilkom Austria's network.

In addition to the services noted above, TFG, a subsidiary of Telekom Austria, has provided short-term and long-term financing to Mobilkom Austria.

All amounts in € '000s omitted

The Company also transacts a limited amount of business with the Federal Republic of Austria and various government agencies and entities owned or controlled by the government. Disclosures below present only balances and transactions relating to ÖIAG and its subsidiary Österreichische Post AG. Other government agencies and government-owned entities are not disclosed for practical reasons. None of the individual accounts associated with government agencies or government-owned entities are significant to the Company. The majority of the services purchased from the ÖIAG consist of postal and other administrative services.

Services purchased from Telecom Italia and subsidiaries are mainly roaming services and technical and management services. Mobilkom Austria charges Telecom Italia mainly for roaming services.

On June 28, 2001, a partner in a law firm which provides legal services to the Company was elected to the supervisory board of Telekom Austria. In 2001, the Company was charged € 43 for legal services, since the day of appointment, by that law firm.

The following is the detail of the accounts receivable with related parties:

At December 31,	**2001**	**2000**
Telekom Austria	835	2,486
ÖIAG	63	124
Telecom Italia	955	922
Other	35	49
Total	1,888	3,581

The following is the detail of the accounts payable with related parties:

At December 31,	**2001**	**2000**
Telekom Austria	25,691	14,539
Telekom Austria – financing short – term	68,463	0
ÖIAG	3,276	5,358
Telecom Italia	6,254	1,507
Other	15,392	0
Total short term	119,076	21,404
Telekom Austria financing long-term	218,018	218,018

The following is the detail of revenues and operating expenses charged from and to related parties:

Year ended December 31,	**2001**	**2000**	**1999**
Revenues			
Telekom Austria	207,172	221,005	224,793
ÖIAG	24,647	29,764	37,894
Telecom Italia	4,334	3,383	2,665
Paybox	98	0	0
Total	236,251	254,152	265,352
Expenses			
Telekom Austria	222,231	216,727	187,445
ÖIAG	24,608	15,146	17,977
Telecom Italia	10,291	7,472	8,521
Other	893	0	0
Total	258,023	239,345	213,943

All amounts in € ’000s omitted

(5) INVENTORIES

Inventories consist of:

At December 31,	2001	2000
Spare parts, cables and supplies	4,465	2,261
Merchandise	45,748	41,914
Total	50,213	44,175

(6) INTANGIBLE ASSETS

Intangible assets consist of:

At December 31,	2001	2000
Wireless licenses	523,237	476,068
Patents and proprietary technology	45,860	16,502
Goodwill	210,405	17,690
Other	5,472	5,307
Total intangibles	784,974	515,567
Less accumulated amortization	(165,866)	(100,180)
Net intangibles	619,108	415,387

Amortization expense was € 63,944, € 25,410 and € 21,412 for the years 2001, 2000 and 1999, respectively.

The licenses are recorded at cost and amortized on a straight-line basis over the estimated useful life. In November 2000, Mobilkom Austria purchased a UMTS license during the Austrian Government's auction process with a term of 20 years for € 171,540. Mobilkom Austria obtained an intercompany loan from Telekom Austria to finance this purchase as disclosed in note (10). Interest in the amount of € 8,283 and € 643 was capitalized in 2001 and 2000, respectively, on the UMTS license.

The Company holds licenses to operate as a mobile telecommunication service provider from the Austrian, the Croatian and the Slovenian communication commission. The license from the Croatian Government, granted for 10 years, was acquired for € 13,672 in 1998. The Croatian Government is obligated to refund part of the payment if an additional competitor is allowed to operate on the Croatian market before 2003. The licenses from the Slovenian Government granted in 2001 and 1999, were acquired for € 4,637 and € 11,121, respectively. The main additions of the wireless licenses relate to interest capitalized on the UMTS license and the purchase of an additional GSM license for € 36,412.

All amounts in € '000s omitted

(7) PROPERTY, PLANT AND EQUIPMENT

Property, plant and equipment transferred to the Company by the government was recorded upon transfer at cost less accumulated depreciation as of that date. Acquisitions since that date have been recorded at cost.

At December 31,	2001	2000
Land	1,590	1,483
Buildings and leasehold improvements	39,589	25,676
Communications network and other equipment	1,200,468	929,053
Assets under capital lease	6,715	0
Software	181,681	129,277
Construction in progress, network	107,978	68,437
	1,538,021	1,153,926
Less accumulated depreciation and amortization	(596,886)	(400,923)
Property, plant and equipment, net	941,135	753,003

Depreciation expense was € 203,840, € 149,032 and € 99,351 in 2001, 2000 and 1999, respectively. These amounts include amortization of software totaling € 32,571, € 23,561 and € 12,902 in 2001, 2000 and 1999, respectively. In 2001, depreciation for assets under capital lease totaled € 671.

(8) SHORT-TERM BORROWINGS

The Company's short-term borrowings include:

At December 31,	2001	2000
Current portion of long-term debt	13,558	72,557
Current portion of lease obligations	23,661	18,645
Total	37,219	91,202

(9) DEFERRED INCOME

At December 31,	2001	2000
Unearned income	50,913	45,613
Unamortized balance on sale of tax benefits	15,621	17,047
Total	66,534	62,660
Noncurrent portion	(14,195)	(15,621)
Current portion	52,339	47,039

Additional information concerning the sale of tax benefits is contained in note (11) Leasing.

All amounts in € '000s omitted

(10) LONG-TERM DEBT

The outstanding long-term debt, other than lease obligations are summarized below:

At December 31,	Maturity	2001	2000
Bank debt	2002-2009	435,492	242,771
Bonds	2006	983	0
Other	2004	27,064	42,605
		463,539	285,376
Less current portion of long-term debt		(13,558)	(72,557)
Long-term debt, net of current portion		449,981	212,819

Bank debt balances of € 82,103 and € 149,423 at December 31, 2001 and 2000 are subject to guarantees by the Federal Republic of Austria. In August 2001, Telekom Austria guaranteed a bank debt to Mobilkom Austria totaling € 305 million.

In October 1999, VIPnet entered into a senior debt facility amounting to € 120 million. In March 2001, this senior debt facility was increased to € 170 million. The additionally debt facility of € 50 million has due dates between December 2002 and June 2008. The debt bears interest ranging from 4.69% to 7.00% and 6.33% to 8.63% in 2001 and 2000, respectively; commitment fees are incurred at 0.5% payable quarterly on the undrawn and uncancelled commitment. VIPnet had unused long-term credit lines of € 52.8 million as of December 31, 2001.

The Company has granted certain sureties over the assets of VIPnet in support of the facility arrangements. In accordance with the senior debt facility agreement, VIPnet is required to maintain certain financial ratios, which were met for 2001 and 2000.

In February 2000, VIPnet's minority shareholders granted a credit line up to € 22,025 of which € 6,714 have not been drawn as of December 31, 2001.

In March 1999, Si.mobil entered into a loan agreement amounting to € 36 million (original currency: Deutsche Mark 71 million) to finance the construction of the GSM network in Slovenia. The interest incurred is 3-month LIBOR plus 1.075%. The loan is secured by bills of exchange, property, receivables and shares of Si.mobil. The loan is due in March 2007.

In March 1999, Si.mobil also issued 5,000 bonds with a par value of Deutsche Mark 1,000. The bonds incur interest of 6% and are payable semiannually through March 1, 2006.

The year end interest rates for the long-term debt excluding interest rate swap agreements for 2001 and 2000 are as follows:

	2001	2000
Bank loans	5.54%	6.04%
Long term financing with Telekom Austria	4.07%	5.19%

Following is a table that shows the aggregate amounts of long-term debt maturing during the next five years and thereafter:

2002	13,558
2003	66,209
2004	113,251
2005	75,382
2006	78,988
Thereafter	116,151

All amounts in € '000s omitted

(11) LEASING

The Company leases equipment used in its operations which are classified as operating leases. The lease contracts expire on various dates through 2006.

Future minimum lease payments for noncancelable operating leases, capital leases and cross border leases as of December 31, 2001 are:

	Cross border leases	Capital leases	Operating leases
2002	20,895	3,127	18,276
2003	21,076	2,978	17,169
2004	22,939	1,454	14,127
2005	23,596	10	12,881
2006	24,781	7	12,881
after 2006	280,408	0	0
Total minimum lease payments	393,695	7,576	75,334
Less amount representing interest	(148,691)	(608)	
Present value of lease payments	245,004	6,968	
Less current portion	(20,895)	(2,766)	
Non-current lease obligations	224,109	4,202	

Total rent expense was € 36,308, € 33,885 and € 21,876 in 2001, 2000 and 1999, respectively.

Cross border leases

In 1999, the Company entered into cross border lease transactions whereby certain equipment items (mainly transceiver stations, base station controllers and location registers) were sold to four U.S.-based trusts and leased back over certain terms. At the same time, the Company entered into Payment Undertaking Agreements (PUA) with a different counter-party where the counter-party agrees to make lease payments on behalf of the Company in exchange for a deposit. The counter-party in the PUA received upfront payments equaling € 198,822 for the debt assumed. The difference between the proceeds and the present value of the future minimum lease payments represents a gain on sale of a tax benefit. The net cash effect in 1999 resulting from these transactions related to the total gain from the sale of the tax benefit and totaled € 18,774. The Company is amortizing this difference over the term of the lease. The cash deposited (recorded as an other asset) made in connection with the PUA contracts and the lease obligation are recorded separately on the balance sheets in the amount of € 245,004 and € 233,603 as of December 31, 2001 and 2000, respectively, as the Company has not been released from its obligation under the lease and a legal right of offset does not exist. Accordingly, interest income and expense totaling € 17,849, € 16,008 and € 2,753 have been recognized in 2001, 2000 and 1999, respectively.

At February 1, 2001, Telekom Austria guaranteed Cross Border Lease Obligations for Mobilkom Austria totaling US $ 50 million.

(12) DEFINED CONTRIBUTION PENSION PLANS

Pension benefits are generally provided by social security for employees and by the government for civil servants in Austria. The Company is required to assist in funding the Austrian government's pension and health care obligations to the Company's current and former civil servants and their surviving dependents. The Company is legally obligated to make annual contributions to the government of 27.5% until September 30, 2000, of the compensation of active civil servants (including contributions from the civil servants). The contribution to the government were increased to 28.9% in 2001. In October 2005 the contribution will be reduced to 28,3%. The Company has no additional obligation. Contributions to the government, net of the share contributed by the civil servants, was € 2,964, € 2,766 and € 2,697 in 2001, 2000 and 1999, respectively.

As from 2001 the Company sponsors a defined contribution plan covering substantially all employees in Austria. The Company contributions to this plan are based on various percentages of compensation not exceeding 5% of the salary including certain bonuses. The cost of this plan amounted to € 2,080 for 2001.

All amounts in € '000s omitted

(13) STOCK BASED COMPENSATION

Stock option plan

On October 4, 2000, the shareholders of Telekom Austria approved a stock option plan. Based on that approval Mobilkom Austria formed a separate stock option plan which is a mirror plan to Telekom Austria's plan. Under this plan, the Company may grant a total of 854,633 options, each of which entitle eligible grantees upon exercise of the option to receive at their choice either cash equal to the difference between the average quoted price of Telekom Austria stock during the five trading days preceding the exercise and the IPO price of € 9, or shares at an exercise price of € 9. One option is convertible into one share. The options granted may be exercised on specific dates between May 31, 2002, and February 27, 2004, as long as the average share price during the five days prior to exercise exceeds the initial public offering price by 30% or more. Mobilkom Austria will recognize compensation expense over the applicable service periods if the performance hurdles are met.

On November 21, 2000, the Company granted all 854,633 options, all of which were outstanding as of December 31, 2000. In 2001, 32,299 options were forfeited, therefore 822,334 options are autstanding as of December 31,2001.

As the stock option plan is accounted for in accordance with APB Opinion 25 and related interpretations, the amount of the liability is measured each period based on the current stock price. Since the stock price as of December 31, 2001 and 2000 did not meet the hurdle, no compensation expense was recorded in 2001 and 2000.

For the American call option purchase to cover the obligation in connection with the stock option plan see note (15).

Stock purchase plan

ÖIAG, the selling shareholder of Telekom Austria, approved a stock purchase plan for employees of Telekom Austria and its subsidiaries in which Telekom Austria has at least a 50% interest. Under the stock purchase plan, each eligible employee was allowed to purchase shares worth up to € 1.8 at a total discount of 45% from the offering price made up of the 5% Austrian retail discount and an additional 40% employee discount if they purchase at least € 0.7 worth of shares. The maximum benefit to each employee was € 0.7 which must be refunded to ÖIAG if the employee sells the shares before January 1, 2003. The Company reported for 2000 a capital contribution by ÖIAG of € 728 and compensation expense in the same amount.

(14) INCOME TAXES

In the first quarter of 2001, the shareholders approved the transformation of Mobilkom Austria AG into a limited liability partnership, Mobilkom Austria KG. As the application relating to the change in tax status was filed with the Companies Register prior to March 31, 2001, it was effective for tax purposes as of July 1, 2000, and resulted in Mobilkom Austria KG no longer being a taxable entity as from that date. As Mobilkom Austria KG's tax result is reported in the tax return of its partners, all tax assets and liabilities of Mobilkom Austria KG were reversed into tax expense.

Income before income taxes, minority interest and extraordinary items is attributable to the following geographic locations:

	2001	2000	1999
Income from partnership – domestic	306,501	0	0
Other domestic	(179)	248,584	244,118
Foreign	(30,759)	(4,280)	(30,067)
Total	275,563	244,304	214,051

All amounts in € '000s omitted

Income tax expense (benefit) attributable to income before taxes, minority interest and extraordinary items for the years ended December 31, consisted of the following:

	2001	2000	1999
Current			
Domestic	(27,482)	59,597	63,163
Foreign	3,959	0	0
	(23,523)	59,597	63,163
Deferred			
Domestic	161,838	14,704	13,627
Foreign	(4,670)	1,733	(8,492)
	157,168	16,437	5,135
Total	133,645	76,034	68,298

As the partners in Mobilkom Austria KG now report the effects of its current and deferred taxes directly in their financial statements, Mobilkom Austria KG reversed its net deferred tax assets, recognizing a deferred tax expense of € 156,468. Mobilkom Austria KG also reversed its current tax expense for the six months ended December 31, 2000, resulting in a net current tax benefit of € 27,202. The total tax expense from the change in tax status is € 134,437, also including the deferred tax expense of the three months period ended March 31, 2001 totaling € 5,171. Mobilkom Austria's subsidiaries are still subject to income taxes.

Income tax expense for 2001 amounts to 133,645 or 48.5% of income before taxes. The Austrian statutory income tax rate is 34%. The principal reason for this high tax charge is the reversal of net deferred tax assets relating to Mobilkom Austria KG, owing to that entity becoming a limited liability partnership. The following table shows the principal components for the difference between the expected tax expense based upon the Austrian statutory income tax rate applied to income before income taxes, minority interest and extraordinary items and the actual income tax expense:

	2001	2000	1999
Income tax expense at statutory rate	93,691	83,063	72,778
Income of limited partnerships taxed directly to partners.	(104,210)	0	0
Foreign tax rate differential	(1,408)	646	(297)
Tax-free income	(1,013)	(14,682)	(5,329)
Permanent differences	858	1,344	1,936
Change in tax rate in Croatia	0	5,089	0
Amortization of goodwill	11,498	574	121
Other	(208)	0	(911)
Income tax benefit/expense before change in tax status	(792)	76,034	68,298
Effect of change in tax status	134,437	0	0
Income tax expense	133,645	76,034	68,298
Effective income tax rate	48.5%	31.12%	31.91%
Effective income tax rate before change in tax status	(0.29%)		

Tax-free income in 2000 and 1999 mainly comprises investment tax credits.

All amounts in € '000s omitted

The tax effects of temporary differences that give rise to deferred tax assets and liabilities at December 31 are as follows:

	2001	2000
Tax assets		
Goodwill	445	162,372
Accounts receivable	309	2,097
Net operating loss carryforward	20,133	4,111
Employee benefit obligation	67	909
Other	4,209	8,238
Total deferred tax assets	25,163	177,727
Tax liabilities		
Property, plant and equipment	0	(1,477)
Intangible assets	(636)	(1,517)
Accrued liabilities	0	(477)
Untaxed reserves	0	(445)
Other	(374)	(6,831)
Total deferred tax liabilities	(1,010)	(10,747)
Net deferred taxes	24,153	166,980

At December 31, 2001, the Company had approximately € 83,090 of loss carryforwards in Liechtenstein and Slovenia with an expiration period of seven and five years, respectively.

The loss carryforwards will expire in the years as follows:

Years	Amount
2003	28
2004	8,831
2005	28,753
2006	41,824
2007	1,763
2008	1,891
Total	83,090

In assessing the recoverability of deferred tax assets, management considers whether it is more likely than not that all the deferred tax assets will be realized. The ultimate realization of deferred tax assets is dependent upon the generation of future taxable income during the periods in which those temporary differences become deductible. Management considers the scheduled reversal of deferred tax liabilities, projected future taxable income and available tax planning strategies in making this assessment. Based upon the level of historical taxable income, projections for future taxable income over the periods in which the deferred tax assets are deductible and available tax planning strategies, management believes it is more likely than not the Company will realize all the benefits of these deductible differences.

All amounts in € '000s omitted

(15) FINANCIAL INSTRUMENTS

The Company uses the treasury services provided by TFG. TFG has established a control environment which includes policies and procedures for risk assessment, approval, reporting and monitoring of derivative financial instrument activities in connection with the derivative management services provided to the Company.

The Company enters into various types of financial instruments in the normal course of business including derivative financial instruments, for purposes other than trading.

By their nature, all such instruments involve risk, including market risk and credit risk of nonperformance by counter-parties, and the maximum potential loss may exceed the amount recognized in the balance sheets. However, at December 31, 2001 and 2000, in management's opinion the probability of nonperformance of the counter-parties in these financial instruments was remote.

Credit risk

The Company monitors its exposure to credit risk. The Company does not have any significant exposure to any individual customer or counter-party, nor does it believe that there are any other major concentrations of credit risk, relating to any financial instruments other than noted under section concentration of credit risk in significant accounting policies.

The Company does not require collateral in respect of financial assets. In order to reduce the risk of nonperformance by the other parties to swap agreements, the contracts are subject to the International Swap Dealers Agreement.

Market risk

The market risk is monitored by using value at risk models for interest rate risk for the long-term debt and derivative portfolio.

Information with respect to cash flow hedges

Changes in the fair value of interest rate swaps designated as hedging instruments of variability of cash flows associated with variable rate long term debt are reported in accumulated other comprehensive income. These amounts are subsequently classified into financial income as a yield adjustment in the same period in which the related interest on the floating-rate debt obligations affects earnings. In 2001, no hedge ineffectiveness occurred.

Interest rate swap agreements

The Company entered into interest rate swaps to reduce the aggregate exposure to changes in floating interest rates of the debt portfolio. Fixed interest rate payments as of December 31, 2001, are based on 5.71%. Floating-rate payments are based on rates tied to different Inter-bank offered rates.

The following table indicates the types of swaps in use at December 31, 2001 and 2000, and their weighted-average interest rates and the weighted-average remaining terms of the interest rate swap contracts. Average variable rates are those in effect at the reporting date and may change significantly over the lives of the contracts:

	2001	2000
Variable to fixed swaps in €		
Notional amount in €	36,336	36,336
Average receive rate	3.43%	4.18%
Average pay rate	5.71%	5.71%
Average maturity in years	2.3	3.3

The notional amounts of the derivative instruments above do not represent amounts exchanged by the parties and, therefore, are not a measure of the Company's exposure. The Company's exposure is limited to the fair value of the contracts with a positive fair value plus interest receivable, if any, at the reporting date.

All amounts in € '000s omitted

Foreign exchange agreements

The Company entered into forward foreign exchange contracts to cover the exposure from foreign currency fluctuations of future cash flows denominated in U.S. Dollar.

The following table indicates the forward exchange contracts in use at December 31, 2001, and their exchange rates and the remaining terms of the contracts:

	2001	2000
Forward exchange contracts – US $		
Notional amount in €	3,100	3,644
Notional amount in US $	2,800	3,200
Forward exchange rate (weighted)	0.90	0.88
Exchange rate as of the balance sheet date	0.89	0.93
Longest term of the contracts	April 2002	April 2001

The notional amounts of the derivative instruments above do not represent amounts exchanged by the parties and, therefore, are not a measure of the Company's exposure. The Company's exposure is limited to the fair value of the contracts with a positive fair value plus interest receivable, if any, at the reporting date.

American call option

On November 21, 2000 Telekom Austria purchased 854,633 American call options, acting as an agent for Mobilkom Austria, for a premium of € 2,794. The expiration date is February 27, 2004. The underlying share of the American call option is the share of Telekom Austria AG. The strike and execution price of the call option is € 9 and settlement is either physical delivery of the shares or cash, at the request of Telekom Austria. The American call option will be used to satisfy any obligation resulting from the stock option plan of Mobilkom Austria. As of December 31, 2001 and 2000, respectively, the American call option is recorded at its fair value of € 2,380 and € 1,353 in other current assets.

Fair value

The fair value of a financial instrument is the price at which one party would assume the rights and/or duties of another party. Fair values of financial instruments have been determined with reference to available market information at the balance sheet date. Considering the variability of their value-determining factors, the fair values presented herein may not be indicative of the amounts that the Company could realize under current market conditions.

The following table summarizes the fair values of financial instruments:

	2001 Carrying amount	2001 Fair value	2000 Carrying amount	2000 Fair value
Financial instruments				
Cash and cash equivalents	8,911	8,911	36,988	36,988
Accounts receivable	217,944	217,944	191,297	191,297
Receivables due from related parties	1,888	1,888	3,581	3,581
Accounts payable	(246,022)	(246,022)	(184,549)	(184,549)
Payables due to related parties	(119,076)	(119,076)	(21,404)	(21,404)
Long-term debt	(449,981)	(461,542)	(212,819)	(214,721)
Long-term debt to related parties	(218,018)	(218,018)	(218,018)	(218,018)
Derivative financial instruments				
Interest rate swap agreements	(2,596)	(2,596)	0	(1,902)
Forward exchange rate contract	81	81	(212)	(212)
American call option	2,380	2,380	1,353	1,353

All amounts in € '000s omitted

(16) REVENUES

Year ended December 31,	2001	2000	1999
Revenues from services	1,532,350	1,320,375	1,059,920
Revenues from sales of merchandise	180,829	180,673	183,387
Total	1,713,179	1,501,048	1,243,307

(17) OTHER OPERATING EXPENSES

Year ended December 31,	2001	2000	1999
Interconnection	169,217	148,414	103,435
Repairs	39,914	27,614	20,579
Services received	210,175	181,643	146,204
Advertising and marketing	146,668	119,465	86,532
Rental expenses	36,308	33,885	21,876
Commission expenses	48,416	49,515	70,121
Bad debt charges to expenses	20,004	25,364	21,095
Legal and other consulting	17,950	14,052	14,459
Training expenses	5,657	3,375	3,968
Travel expense	4,249	2,919	2,366
Other	58,044	57,261	59,634
Total	756,602	663,507	550,269

(18) OTHER INCOME/EXPENSE – NET

Year ended December 31,	2001	2000	1999
Foreign exchange losses	(61,274)	(48,410)	(4,172)
Foreign exchange gains	64,917	49,814	1,611
Net loss from retirement of assets	(6,591)	(1,080)	(3,423)
American call option – fair value adjustment	1,027	(1,441)	0
Other	4,167	1,987	3,415
Total	2,246	870	(2,569)

(19) EXTRAORDINARY ITEMS

The Company recorded extraordinary losses of € 1,343 and € 542, net of tax of € 692 and € 280 in 2000 and 1999, respectively. In 1999, amounts relate to the early redemption of long-term debt with a carrying amount of € 21,802. The amount in 2000 relates to an accrued loss representing management's commitment to contribute € 2 million to the Austrian fund for forced labor victims who were forced laborers between 1938 and 1945 and have raised claims against Austrian industry. In response to these claims, the Parliament of the Federal Republic of Austria and representatives of Austrian companies have set up a fund to settle these claims. In 2001, the Company paid € 2,035 to the fund for forced labor victims.

All amounts in € '000s omitted

(20) COMMITMENTS AND CONTINGENCIES

In the normal course of business the Company is subject to proceedings, lawsuits and other claims, including proceedings under laws and regulations related to interconnection. Such matters are subject to many uncertainties, and outcomes are not predictable with assurance. Consequently, management is unable to ascertain the ultimate aggregate amount of monetary liability or financial impact with respect to these matters at December 31, 2001. These matters could affect the operating results of any one quarter when resolved in future periods. However, management believes that after final disposition, any monetary liability or financial impact the Company beyond that provided for at year-end would not be material to its annual consolidated financial statements.

(21) SUBSEQUENT EVENTS

On January 16, 2002 the Company sold mobile communication service receivables to a Qualifying Special Purpose Entity, unrelated to the Company, in a revolving period securitization transaction. The Company will retain fluctuating interest in the sold receivables and will have servicing responsibility for the sold receivables. A maximum of € 80,000 may be transferred to the trust under the program. Although Telekom Austria has the same contract with a different trust the total amount is limited to € 290,000 for Telekom Austria and Mobilkom Austria together. The maximum amount for Telekom Austria is € 250,000. The first payment of € 48,386 was received on February 11, 2002.

On January 16, 2002, the Company founded the A1 Bank AG, a 100% subsidiary with common stock of € 5 million.

On February 28, 2002 the Company shut down the analogue network. An impairment charge of € 10.7 million was recorded in the fourth quarter of 2001.

All amounts in € '000s omitted

Independent Auditors' Report

The Supervisory Board and Stockholders
Mobilkom Austria AG & Co KG and Mobilkom Austria AG:

We have audited the accompanying combined consolidated balance sheets of Mobilkom Austria AG & Co KG and Mobilkom Austria AG (the Company or Mobilkom Austria) as of December 31, 2001 and 2000, and the related combined consolidated statements of operations, cash flows and changes in stockholders' equity for each of the years in the three year period ended December 31, 2001. These combined consolidated financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these combined consolidated financial statements based on our audits.

We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the consolidated financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the combined consolidated financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audits provide a reasonable basis for our opinion.

In our opinion, the combined consolidated financial statements referred to above present fairly, in all material respects, the financial position of Mobilkom Austria as of December 31, 2001 and 2000, and the results of its operations and its cash flows for each of the years in the three year period ended December 31, 2001, in conformity with accounting principles generally accepted in the United States of America.

Vienna, March 15, 2002

Grant Thornton - Jonasch & Platzer

KPMG Austria GmbH

Grant Thomton -Jonasch & Platzer
Wirtschaftsprüfungs- und Steuerberatungs-OHG

KPMG Austria GmbH
Wirtschaftsprüfungs- und Steuerberatungsgesellschaft

Additional Disclosures to the Combined Consolidated Financial Statements due to Austrian Accounting Rules

(all amounts in € '000s omitted)

Financial reporting according to US Generally Accepted Accounting Principles (U.S. GAAP)

The combined consolidated financial statements as of December 31, 2001 have been prepared in accordance with accounting principles generally accepted in the United States of America (U.S. GAAP). According to the provisions pursuant to section 245a HGB (Handelsgesetzbuch – Commercial Code), only when the requirements stipulated in subsection 1, paragraphs 1 to 3 have been fulfilled, combined consolidated financial statements prepared according to international principles are exempted. The disclosures necessary for fulfilling these requirements are provided in the following.

Disclosures necessary for harmonizing the combined consolidated financial statements with EC directives (sect. 245 a subsect. 1 para. 1 HGB)

Marketable securities

In accordance with U.S. GAAP principles for the valuation of securities, with the exception of held-to-maturity securities, all securities were valued at fair value, even in such cases when the fair value is above cost. Results arising from changes in fair value thus are not included in the consolidated statements of operations but are directly included in the stockholders' equity. Differences between acquisition cost and fair value are presented in note (1) of the notes to the combined consolidated financial statements.

Accruals for severance payments and service awards

In the combined consolidated financial statements prepared according to U.S. GAAP accruals for severance payments and service awards are accounted for by the projected unit credit method. According to the prevailing view, the projected unit credit method does not contradict with the Fourth EC Directive. Applying the corridor method does not, according to the prevailing view, conform with the requirements of the EC Directive. The effects of using the corridor method for accruals for severance payments (unrecognized net actuarial gains or losses) are insignificant.

Amortization of goodwill

According to U.S. GAAP, goodwill that was aquired in a business combination after June 30, 2001 is not to be amortized. This rule is not in compliance with the Fourth and Seventh EC Directives. This amortization shortfall results in a variation in the amount of € 370.

Classification of the Consolidated Financial Statements

The classification of consolidated financial statements required by the SEC differs from the regulations contained in the Fourth and Seventh EC Directives. The classification pursuant to the provisions of the Fourth and Seventh EC Directives results in the following balance sheet in condensed form (values according to U.S. GAAP):

	December 31, 2001	December 31, 2000
ASSETS		
A. Fixed assets		
I. Intangible assets	722,279	498,985
II. Property, plant and equipment	837,964	669,405
III. Financial assets	9,740	3,934
	1,569,983	1,172,324
B. Other assets		
I. Inventories	50,213	44,175
II. Accounts receivable and other assets	506,951	493,791
III. Short-term investments	2,380	1,353
IV. Cash in hand, bank balances	8,911	36,988
	568,455	576,307
C. Prepaid Expenses	75,663	215,386
TOTAL ASSETS	2,214,101	1,964,017
LIABILITIES AND STOCKHOLDERS' EQUITY		
A. Stockholders´ equity		
I. Common stock	100	72,673
II. Share capital	79,940	0
III. Additional paid in capital	7,819	7,819
IV. Retained earnings	579,607	720,842
V. Accumulated other comprehensive income	641	52
	668,107	801,386
B. Accrued liabilities	60,478	64,171
C. Liabilities	1,433,177	1,051,421
D. Deferred Income	52,339	47,039
TOTAL LIABILITIES AND STOCKHOLDERS' EQUITY	2,214,101	1,964,017

All amounts in € '000s omitted

Main differences between Austrian accounting principles (HGB – commercial code) and U.S. GAAP (sect. 245 a subsect. 1 para. 1 HGB)

In part, the accounting rules laid out in HGB and U.S. GAAP are based on varying principles. Accounting according to HGB emphasizes the principles of prudence and creditor protection, while U.S. GAAP focuses more strongly on providing investors with information relevant for decision-making.

In the present combined consolidated financial statements, the differences between HGB and U.S. GAAP regulations affect the following accounting areas:

1. Deferred taxes

According to U.S. GAAP, deferred taxes, arising from temporary differences between the carrying amounts of assets and liabilities in the U.S. GAAP balance sheet and their tax bases on the one hand and expected benefits from tax loss carry-forwards on the other, must be capitalized. According to Austrian accounting rules, while an obligation to capitalize deferred tax liabilities exists, deferred tax assets may be capitalized for individual financial statements but must be capitalized for consolidated financial statements. According to the prevailing view, the recognition of deferred tax assets for tax loss carry-forwards is prohibited under HGB.

2. Other accruals

According to U.S. GAAP, accruals are recorded for obligations due to third parties considered likely to arise and which can be reliably valued. According to HGB, the prudence principle governs whether accruals are set up. This means in practice that often accruals are set up already when a potential obligation is only recognized.

According to U.S. GAAP, for non-current obligations the reported amount requires to be discounted. According to the prevailing view, such discounting is prohibited by HGB.

3. Accruals for severance payments and service awards

In the combined consolidated financial statements prepared according to U.S. GAAP, accruals for severance payments and service awards are accounted for according to the projected unit credit method, applying the corridor method for severance accruals. According to the prevailing view, using the protjected unit credit method does not contradict the provision of HGB. Applying the corridor method does not, according to the prevailing view, conform to the requirements of HGB.

4. Valuation of marketable securities

With the exception of held-to-maturity securities, securities are valued at fair value in accordance with U.S. GAAP. Unrealized gains and losses are recorded in stockholders' equity not affecting income. According to HGB, non-current securities are to be reported at cost less impairment charges. Marketable securities not held longterm are reported according to HGB at the lower of acquisition cost or fair value on the balance sheet date.

5. Valuation of foreign currencies

In accordance with U.S. GAAP, monetary balance sheet items denominated in foreign currencies are translated using exchange rates applicable on the balance sheet date. Thus, not only unrealized losses but also unrealized gains are recognized. HGB does not allow unrealized foreign currency translation gains to be recognized. For this reason, HGB requires currency translation of monetary items according to the lower-of-cost or market principle.

6. Derivative financial instruments

According to U.S. GAAP, derivative financial instruments are valued at fair value. Changes in fair value are recorded directly in income. For derivative financial instruments to which hedge accounting in accordance with SFAS 133 is applicable, changes in fair value are recognized either in income or stockholders' equity (as a component of other comprehensive income), depending on whether the derivative is being used to hedge changes in fair value or cash flows. Moreover, the ineffective portion of any value changes in cash flow hedges is recognized in earnings immediately. Upon realization of cash flow hedges amounts recorded at stockholders' equity are transferred to statements of operations.

According to Austrian accounting principles, unrealized losses from changes in fair value are accrued. Unrealized gains are thereby not recognized. In cases when a valuation unit for the derivative financial instruments and the hedged item is permissible, value changes of the derivative financial instrument and the hedged item are not accounted for.

Additional Notes in accordance with HGB (sect. 245 a subsect. 1 Para. 3 HGB)

Combined consolidated fixed assets movement schedule

Acquisition/manufacturing costs	Jan. 1, 2001	Additions	Retirement	Transfers	Currency adjust-ments	Dec. 31, 2001
Goodwill	17,689	192,232	0	0	484	210,405
Concessions, industrial property and similar rights and assets, and licenses in such rights and assets	621,848	115,827	(411)	12,817	697	750,778
Other intangible assets	5,306	2,963	(1,792)	(1,152)	145	5,470
Intangible assets	644,843	311,022	(2,203)	11,665	1,326	966,653
Land, building and leasehold improvements 1)	27,159	10,411	(81)	3,378	312	41,179
Communication networks and other equipment	929,053	244,509	(21,872)	44,548	4,230	1,200,468
Capital leases	0	6,715	0	0	0	6,715
Construction in progress	68,437	98,908	0	(59,591)	224	107,978
Property, plant and equipment	1,024,649	360,543	(21,953)	(11,665)	4,766	1,356,340
Other financial assets	5,511	6,434	0	0	0	11,945
Total	1,675,003	677,999	(24,156)	0	6,092	2,334,938
1) value of land thereof	1,483					1,590

Accumulated amortization and depreciation	Jan. 1, 2001	Additions 2)	Retirement	Transfers	Currency adjust-ments	Dec. 31, 2001
Goodwill	1,980	33,816	0	0	64	35,860
Concessions, industrial property and similar rights and assets, and licenses in such rights and assets	143,310	63,293	(205)	18	194	206,610
Other intangible assets	568	1,573	(119)	(152)	34	1,904
Intangible assets	145,858	98,682	(324)	(134)	292	244,374
Land, building and leasehold improvements	2,906	2,937	(13)	152	30	6,012
Communication networks and other equipment	352,338	173,403	(15,242)	(18)	1,213	511,694
Capital leases	0	671	0	0	0	671
Construction in progress	0	0	0	0	0	0
Property, plant and equipment	355,244	177,011	(15,255)	134	1,243	518,377
Other financial assets	1,577	628	0	0	0	2,205
Total	502,679	276,321	(15,579)	0	1,535	764,956

2) Amortization of financial assets is shown in the consolidated statement of operations under the item "Equity in eamings of affiliates"

All amounts in € '000s omitted

Carrying amount	Jan. 1, 2001	Additions	Retirement	Transfers	Amortization	Currency adjust-ments	Dec. 31, 2001
Goodwill	15,709	192,232	0	0	(33,816)	420	174,545
Concessions, industrial property and similar rights and assets, and licenses in such rights and assets	478,538	115,827	(206)	12,799	(63,293)	503	544,168
Other intangible assets	4,738	2,963	(1,673)	(1,000)	(1,573)	111	3,566
Intangible assets	498,985	311,022	(1,879)	11,799	(98,682)	1,034	722,279
Land, building and leasehold improvements	24,253	10,411	(68)	3,226	(2,937)	282	35,167
Communication networks and other equipment	576,715	244,509	(6,630)	44,566	(173,403)	3,018	688,775
Capital leases	0	6,715	0	0	(671)	0	6,044
Construction in progress	68,437	98,908	0	(59,591)	0	224	107,978
Property, plant and equipment	669,405	360,543	(6,698)	(11,799)	(177,011)	3,524	837,964
Other financial assets	3,934	6,434	0	0	(628)	0	9,740
Total	1,172,324	677,999	(8,577)	0	(276,321)	4,558	1,569,983

Totals in the tables may differ from the sum of their components as a result of rounding effects.

Affiliated Companies

Name and Corporate Seat	Share in capital as of Dec. 31, 2001
Fully consolidated subsidiaries:	
VIPnet d.o.o., Zagreb	66.00%
Si.mobil telekomunikacijske storitve d.d., Ljubljana	75.00%
mobilkom [liechtenstein] AG, Vaduz	100.00%
TELEIMPULS, druzba za telekomunikacije d.o.o., Ljubljana	100.00%
Mobilkom International GmbH, Vienna	100.00%
Mobilkom International GmbH & Co KEG, Vienna	100.00%
Affiliated companies consolidated at equity:	
paybox Österreich AG, Munich	48.98%

Personnel

The average number of employees during the business year 2001 was 3,353 (2000: 2,576).

Expenses for Severance Payments	2001	2000
Board members	315	180
Other employees	753	588
Total	1,068	768

Details of managing board members' remunerations

Managing Board members' remunerations amounted to € 842 and € 336 in 2001 and 2000 respectively.

Vienna, March 15, 2002

The Managing Board

Boris Nemsic (CEO and CTO), Hannes Ametsreiter (CMO), Riccardo Todini (CSO)

All amounts in € '000s omitted

Confirmation According to Para 245a Austrian Commercial Code

According to the provisions of Austrian commercial law, the group management report and the existence of the legal preconditions granting exemption from drawing up combined consolidated financial statements according to Austrian law must be examined.

We confirm that the group management report is consistent with the consolidated financial statements and that the legal requirements for exemption from the obligation to prepare combined consolidated financial statements according to Austrian law have been fulfilled.

Vienna, March 15, 2002

Grant Thornton – Jonasch & Platzer
Wirtschaftsprüfungs- und Steuerberatungs-OHG

Univ.-Doz. Dr. Walter Platzer
Mag. Josef Töglhofer

KPMG Austria GmbH
Wirtschaftsprüfungs- und Steuerberatungsgesellschaft

DDr. Martin Wagner
ppa Lieve Van Utterbeeck

Information for Shareholders

Useful facts about the Telekom Austria share

Securities identification number (Austria)	-72000-
Securities identification number (Germany)	-588811-
SYMBOL	TKA
ISIN	AT0000720008
REUTERS	TELA.VIE
BLOOMBERG	TKA AV
Listings	Vienna Stock Exchange
	New York Stock Exchange (NYSE)
American Depositary Receipts (ADR) *	1 ADR = 2 ordinary shares
Number of shares	500,000,000 shares
Share capital	EUR 1,090,500,000

* Contact point for ADR holders: Bank of New York, Jim Kelly, Phone: 001 646 885 3285, e-mail: jkelly@bankofny.com

Financial calendar 2002 of the Telekom Austria Group

9 April 2002	Full year results 2001
28 May 2002	First quarter results 2002
12 June 2002	Annual general meeting 2002
27 August 2002	Second quarter results 2002
20 November 2002	Third quarter results 2002

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Glossary

ADSL (Asymmetric Digital Subscriber Line): Digital transmission method permitting data transmission rates of up to 8 Mbit/s to the customer and up to 700 Kbit/s from the customer, via standard telephone cables.

All IP-Network: All IP networks are based on the Internet Protocol (IP), a protocol which became primarily known by being used to connect computers to the Internet. In IP networks, all kinds of traffic (voice, data, multimedia contents) are divided into data packages and transmitted via different routes. By contrast, in pure voice telephony networks point-to-point connections are used between transmitter and receiver.

ASP: Application Service Provider; enterprises that distribute and administrate software-based services for customers from a central data center via WAN (Wide Area Network).

ATM (Asynchronous Transfer Mode): Network technology to transmit voice, data and multimedia in the form of cells of constant size (53 bytes) in a uniform network. ATM combines the advantages of connection-oriented transmission (fixed channel) with the advantages of packet-switched communication. The bandwidth of ATM ranges from 2 Mbit/s to 2.5 Gbit/s.

Backbone: Main connections of a network, consisting of several network nodes connected to each other by high-capacity transmission paths.

Broadband Service: Network accesses for the customer with high data transmission rate.

Carrier Services: Marketing of network services to national and international carriers (network operators) and resellers.

Churn Rate: The number of customers, who changed to another provider, in relation to the average subscriber base.

Convergence: The growing together of computer technology, electronic media and telecommunications.

Digital Signature: A code that is assigned to a data packet, when transmitting information, which verifies the author, the content and the generating date with the help of encoding and decoding procedures. For example: a-sign.

Digital Voice Transmission: In digital transmissions via telecommunications networks, analog voice signals are transformed into a digital impulse current of 64 Kbit/s. This results in a better voice quality and a lower failure susceptibility.

DWDM (Dense Wavelength Division Multiplexing): Use of several wavelengths for the transmission of optical signals via optical fiber.

Electronic Commerce (e-commerce): Designation for electronic exchange of data and goods via Internet.

Electronic Data Interchange (EDI): Through EDI the electronic transmission of business data has been internationally standardized. The advantages of EDI solutions are: acceleration of order processing with customers and suppliers, reduction of inventory levels, simplification of the entire administration in a company, efficient use of valuable human resources, realization of just-in-time production and automation of numerous e-commerce procedures.

Ethernet: A LAN architecture, developed by Xerox Corporation, DEC, and Intel in 1976, using a bus or star topology and enabling a data rate of up to 10 Mbit/s. Nowadays, Fast Ethernets (100 Mbit/s) and Gigabyte-Ethernets (1,000 Mbit/s) are deployed.

Equipment: A device that can be operated connected to a communications network or a telecommunications system, e.g. telephones, fax machines, answering machines, ISDN PCs etc.

Good Call Rate: Evaluation of voice quality in mobile communications networks on the basis of a five-point scale through the comparison of samples of the transmitted voice with original voices.

GPRS (General Packet Radio Service): Data carrier service based on GSM. GPRS permits data transmission rates between 56 and 114 Kbit/s.

GSM (Global System for Mobile Communications): Internationally standardized, European-wide digital radio network enabling both telephone-quality voice transmission as well as data transmission.

IN (Intelligent Network): Architecture and/or design for the central control of services in an existing telecommunications network. Is meant to facilitate the launching, control and management of new services in a cost-effective, swift and efficient manner.

Interactive Media: Modern technologies which enable user interaction while calling up contents. Examples are e-learning or streaming of video and audio content, such as the ones offered at www.speed.at.

Interconnection: Physical and logical connection of different telecommunications networks that enables direct or indirect communication between the users of these different telecommunications networks.

IN-VPN-Service: Based on the IN (Intelligent Network) Virtual Private Network is realized with parameters defined by the customer.

IP (Internet Protocol): Part of the TCP/IP Communications Protocol. A network layer which contains the network address and is necessary for the routing of data packets to different networks and sub-networks.

IP-Connectivity: Refers to the connection of a residential customer or a corporate network to the worldwide web. In addition, IP-connectivity can also refer to the available bandwidth for a certain part of the Internet.

ISDN (Integrated Services Digital Network): Digital telecommunications network enabling simultaneous voice and data transmission with one subsriber line (bandwidth 2 x 64 Kbit/s to 2 Mbit/s).

ISP: Internet Service Provider; enterprises that provide Internet access.

IST: A research program of the European Commission, DG Information Society, with a budget of EUR 3,600million, promoting the development of convergent solutions and products in the areas of information processing, communications and media technologies.

Leased Lines: Fixed transmission routes between two equipment units for data transfer that are 'always on' and ready for communication.

Line Sharing: Joint access to the subscriber access line through two operators, where one operator provides voice telephony and the other operator uses the frequency spectrum of the copper line which is not used for voice-related services.

Macro Cells: Mobile communications transmission stations with a coverage area of several kilometers.

Metro-DWDM: Technology connecting locations with high transmission capacity within cities or metropolitan areas by using Dense Wavelength Division Multiplexing technologies (DWDM) for multiple use of fiber optic cables.

Micro Cells: Mobile communications transmission stations with a coverage area of a few hundred meters. Micro Cells are used primarily in cities and for the coverage of buildings.

MPLS (Multi Protocol Label Switching): IETF (Internet Engineering Task Force) standard which integrates routing information (e.g. target, bandwidth, delay, original IP address etc.) via more than one network layer, improving traffic management. Via MPLS it is possible to prioritize time-critical data streams (such as multimedia content).

Next Generation Network: NGN refers to the further development of existing voice telephony networks into uniform broadband networks, which integrate the currently existing independent networks for voice, data, video etc.

Open Service Access Standard: 3GPP platform for the application development in mobile communications networks with focus on UMTS to shorten time-to-market cycles.

Page Impressions: The visual contact of a user with a content-relevant page. The count refers to the number of page call-ups, not to the requests for elements on that page (pictures, multimedia etc.).

Premium Rate Services: PRS are value-added telephony services where the end customer pays an extra fee in addition to the regular telephone tariff for accessing specific information (Tele BusinessLine, EroticLine).

PSTN (Public Switched Telephone Network): Public telephone network.

Quality of Service: Quality of service (Qos) is based on the idea that different parameters of a telecommunications service (e.g. transmission rates, failure rates, delays, fault tolerance) can be measured, improved and, to a certain extent, guaranteed in advance. QoS is particularly critical when transmitting voice information or performing videostreams.

Roaming: A performance feature of cellular radio communications networks which ensures the availability of activated mobile telephones regardless of location in third party mobile telephone networks.

Router: Equipment used for connecting physically different networks using the same transmission protocol. They forward e.g. data packets from LANs to the Internet and determine optimal transmission paths.

SMS (Short Message Service): Features used in mobile communications for the transmission of short alphanumeric data (up to 160 characters).

Streaming Applications: Reproduction of videos or sound from the network without buffer memory.

TETRA: Terrestrial trunked radio is a new standard, developed by ETSI, for unified digital radio communications systems; TETRA enables fast and secure voice and data transmission at the highest quality level (efficient use of frequencies, fast access, group call). Target customers for TETRA are emergency organizations and public authorities with security functions.

UMTS (Universal Mobile Telecommunications System): New, worldwide uniform mobile communications standard integrating various continental mobile communications standards. The most important performance criteria are greater capacities and larger data quantities, also enabling the use of mobile multimedia equipment.

Unique User: Internet user who visits a web site at least once a month. Unique User measures the actual number of users, as opposed to page impressions, where the number of page call-ups is measured.

URL: Uniform Resource Locator; addresses which define the path to a file in the web; URLs consist of the protocol prefix, the port number, the name of the domain, subdirectory names as well as the file name.

Value-added services: Services and performances that go beyond the usual services and performances of a telecommunications network an/or alter existing services.

VoIP (Voice over IP): Voice communications via IP networks.

VPN (Virtual Private Network): Closed logical data network building on the structure of one or several other networks, but acting as an independent, separate network.

WAP (Wireless Application Protocol): Using a micro browser, special websites are transmitted from the Internet to the mobile phone.

WINDS: Wireless Networks for Differentiated Services; project launched by the Research Center Telecommunications Vienna (RCT), focused on quality of service and access technologies related to mobile communications networks.

Wireless LAN: Mobile access to LAN (Local Area Network); a service conforming to the American standard IEEE 802.11b with a current data rate of up to 11 Mbit/s.

xDSL: Refers to all kinds of digital subscriber line technologies. The best known are ADSL (asymmetric) and SDSL (symmetric), further technologies are HDSL (high data rate) and VDSL (very high). xDSL uses the copper cables of a telephone line and enables transmission rates of up to 50 Mbit/s.

Financial Terms

EBIT: Operating income plus costs for idle workforce.

EBITDA: EBIT plus costs for depreciation and amortization.

Net Debt: Long-term debt and short-term borrowings plus capital lease obligations minus cash and cash equivalents plus short-term financial investments.

Key Data of Telekom Austria Group

Key Data – Operational	At Dec 31, 2001	At Dec 31, 2000	At Dec 31, 1999
Access lines (´000)	3,166.9	3,269.0	3,454.2
of these ADSL access lines (´000)	100.6	38.5	0.9
Access channels (´000)	3,806.2	3,832.9	3,862.4
Mobile communications customers – in Austria (´000)	2,849.9	2,804.3	2,259.8
– in Croatia (´000)	855.7	531.4	155.1
– in Slovenia (´000)	269.6	-	-
– in Liechtenstein (´000)	1.3	0.2	-
Total	3,976.5	3,335.9	2,414.9
Internet customers – in Austria (´000)	666.4	293.4	106.1
– in the Czech Republic (´000)	238.2	188.7	94.5
Employees – at the end of the year*	16,586	18,301	18,645
– average for the year *	17,549	18,560	18,650

Key Data – Financial (in EUR million) according to U.S. GAAP	2001	2000	1999
Telekom Austria Group, total managed figures			
Operating revenues	3,943.5	3,897.2	3,778.6
EBITDA **	1,472.8	1,060.9	1,479.6
EBIT **	156.0	(29.4)	494.4
Additions to property, plant and equipment	812.2	917.7	983.2
Net debt **	3,282.1	3,420.3	3,150.4
EBITDA margin (%)	37.3	27.2	39.2
Telekom Austria, consolidated			
Operating revenues	2,659.7	2,814.4	2,948.2
EBITDA **	903.7	624.3	1,132.2
EBIT **	(145.5)	(291.6)	267.6
Net income (loss)	(104.6)	(285.6)	200.2
Additions to property, plant and equipment	449.0	594.7	695.8
Stockholders´equity	2,500.4	2,603.6	3,030.1
Net debt **	2,534.1	2,953.9	2,845.8
EBITDA margin (%)	34.0	22.2	38.4
Mobilkom Austria, consolidated			
Operating revenues	1,713.2	1,501.0	1,243.3
EBITDA **	571.3	436.5	347.5
EBIT **	303.5	262.1	226.7
Net income	131.7	167.5	155.6
Additions to property, plant and equipment	363.2	323.1	287.4
Stockholders´equity	668.1	801.4	721.0
Net debt **	748.1	466.4	235.5
EBITDA margin (%)	33.3	29.1	27.9

* full-time employees
** see glossary for definition

Structure of Telekom Austria Group

Telekom Austria AG

- **74,999% Mobilkom Austria AG & Co KG, Austria**
  - **66%** VIPnet d.o.o., Croatia
  - **100%** Mobilkom International GmbH, Austria
  - **1 %**
  - **99%** Mobilkom International GmbH & Co KEG, Austria
    - **75%** plus 1 share Si.mobil d.d., Slovenia
  - **100%** mobilkom [liechtenstein] AG, Liechtenstein
  - **49%** paybox Österreich AG, Germany
  - **100%** A1 Bank AG, Austria
- **74,999% Mobilkom Austria AG, Austria**
- **100% Datakom Austria GmbH, Austria**
  - **100%** Datakom International Solutions GmbH, Austria
  - **49%** Walky Talky Telecom GmbH, Austria
  - **26%** World-Direct eBusiness Solutions GmbH, Austria
- **97,5% Jet2Web Internet Services GmbH, Austria**
  - **85%** Jet2Web Bizmarket e-Business Services GmbH, Austria
  - **66,67%** IVS - Interactive Video Services GmbH, Austria
  - **15%** Internet-Lösungen und Dienstleistungen - RIS GmbH, Austria
- **100% Czech On Line a.s., Czech Republic**
- **100% Jet2Web Network Services GmbH, Austria**
- **100% Telekom Beteiligungs- und Entwicklungs GmbH, Austria**
  - **100%** Telekom Finanzmanagement GmbH, Austria
- **100% Telekom Austria Personalmanagement GmbH, Austria**
- **100% Österreichische Fernmeldetechnische Entwicklungs- und Förderungs GmbH, Austria**
- **100% Telekom Building Systems GmbH, Austria**
- **26% Herold Business Data AG, Austria**
- **26% Omnimedia Werbegesellschaft m.b.H., Austria**
- **25,1% Output Service GmbH, Austria**
- **16,67% WWOM Projektentwicklungs GmbH, Austria**
- **12% A-Trust Gesellschaft für Sicherheitssysteme im elektronischen Datenverkehr GmbH, Austria**

Status: March 2002

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